

Standalone Balance Sheet as at 31st March, 2025

	Note	As at 31st March, 2025 (₹ in Crores)		As at 31st March, 2024 (₹ in Crores)	
ASSETS					
Non-current assets					
(a) Property, Plant and Equipment	3A	16445.49		22015.50	
(b) Capital work-in-progress	3B	1067.79		1077.97	
(c) Investment Property	3C	399.89		373.09	
(d) Goodwill	3D	577.20		577.20	
(e) Other Intangible assets	3E	2024.04		2055.74	
(f) Intangible assets under development	3F	2.91		9.07	
(g) Right-of-use assets	3G	541.86		721.69	
(h) Financial Assets					
(i) Investments	4	20701.17		22821.94	
(ii) Loans	5	6.28		2.63	
(iii) Others	6	1522.90	22230.35	372.88	23197.45
(i) Other non-current assets	7	963.73	44253.26	1229.22	51256.93
Current assets					
(a) Inventories	8	15061.01		12631.51	
(b) Financial Assets					
(i) Investments	9	15285.91		11916.88	
(ii) Trade receivables	10	3910.77		3311.45	
(iii) Cash and cash equivalents	11	222.06		197.63	
(iv) Bank Balances other than (iii) above	12	2962.32		6020.06	
(v) Loans	5	8.96		9.10	
(vi) Others	6	1261.20	23651.22	849.86	22304.98
(c) Other current assets	7	1043.71	39755.94	1134.18	36070.67
TOTAL ASSETS		84009.20		87327.60	
EQUITY AND LIABILITIES					
Equity					
(a) Equity Share capital	13	1251.41		1248.47	
(b) Other Equity		66648.73	67900.14	70984.83	72233.30
Liabilities					
Non-current liabilities					
(a) Financial Liabilities					
(i) Borrowings	14	—		1.76	
(ii) Lease liabilities	15	117.45		261.95	
(iii) Other financial liabilities	16	87.89	205.34	109.87	373.58
(b) Provisions	17		225.23		221.45
(c) Deferred tax liabilities (Net)	18	2556.35	2986.92	2083.66	2678.69
Current liabilities					
(a) Financial Liabilities					
(i) Borrowings	14	1.76		1.52	
(ii) Lease liabilities	15	37.54		46.74	
(iii) Trade Payables	19				
(A) total outstanding dues of micro and small enterprises; and		178.24		206.85	
(B) total outstanding dues of creditors other than micro and small enterprises		4311.58		4282.70	
(iv) Other financial liabilities	16	1448.69	5977.81	1659.33	6197.14
(b) Other current liabilities	20		6070.02		5389.75
(c) Provisions	17		46.53		68.72
(d) Current Tax Liabilities (Net)	21	1027.78	13122.14	760.00	12415.61
TOTAL EQUITY AND LIABILITIES		84009.20		87327.60	

The accompanying notes 1 to 32 are an integral part of the Standalone Financial Statements.

In terms of our report attached
For S R B C & CO LLP
Chartered Accountants
Firm Registration Number: 324982E / E300003
Arvind Sethi
Partner
(Membership No.: 89802)
Kolkata, May 22, 2025

On behalf of the Board

S. PURI
(DIN : 00280529) Chairman & Managing Director
S. DUTTA
(DIN : 01804345) Director & Chief Financial Officer
R. K. SINGHI
(Membership No.: FCS 3770) Company Secretary

Standalone Statement of Profit and Loss for the year ended 31st March, 2025

	Note	For the year ended 31st March, 2025 (₹ in Crores)	For the year ended 31st March, 2024 (₹ in Crores)
I Revenue From Operations	22A, 22B	74236.07	67292.60
II Other Income	23	3454.31	3529.76
III Total Income (I+II)		77690.38	70822.36
IV EXPENSES			
Cost of materials consumed		23440.12	21055.85
Purchases of Stock-in-Trade		8936.22	6039.81
Changes in inventories of finished goods, Stock-in-Trade, work-in-progress and intermediates	24	(640.50)	(370.09)
Excise duty		4912.55	4664.48
Employee benefits expense	25	3416.73	3200.93
Finance costs	26	36.35	34.39
Depreciation and amortization expense		1441.93	1357.20
Other expenses	27	10146.12	9207.67
Total expenses (IV)		51689.52	45190.24
V Profit before exceptional items and tax (III-IV)		26000.86	25632.12
VI Exceptional Items	29(i)	527.96	—
VII Profit before tax (V+VI)		26528.82	25632.12
VIII Tax expense:			
Current Tax	28	5990.17	5516.91
Deferred Tax	28	446.80	204.98
IX Profit for the year from continuing operations (VII-VIII)		20091.85	19910.23
X Profit before exceptional items and tax from discontinued operations		572.52	691.22
XI Exceptional Items of discontinued operations		15163.06	(7.57)
XII Tax expense of discontinued operations	28	631.82	171.91
XIII Profit for the year from discontinued operations (X+XI-XII)	29(x)	15103.76	511.74
XIV Profit for the year (IX+XIII)		35195.61	20421.97
Other Comprehensive Income			
A (i) Items that will not be reclassified to profit or loss:			
– Remeasurements of the defined benefit plans	29(vii)	(27.41)	(22.97)
– Equity instruments through other comprehensive income		(999.57)	2515.06
– Effective portion of gains/(losses) on designated portion of hedging instruments in a cash flow hedge		0.23	(10.46)
(ii) Income tax relating to items that will not be reclassified to profit or loss	28	85.34	(228.72)
B (i) Items that will be reclassified to profit or loss:			
– Exchange differences on net investment in foreign operations	29(x)	(40.55)	—
– Debt instruments through other comprehensive income		72.07	17.91
– Effective portion of gains/(losses) on designated portion of hedging instruments in a cash flow hedge		(8.22)	19.71
(ii) Income tax relating to items that will be reclassified to profit or loss	28	(11.27)	(9.47)
XV Other Comprehensive Income [A(i+ii) + B(i+ii)]		(929.38)	2281.06
XVI Total Comprehensive Income for the year (XIV+XV)		34266.23	22703.03
XVII Earnings per equity share (Face Value ₹ 1.00 each):	29(ii)		
For Continuing Operations			
(a) Basic (in ₹)		16.07	15.98
(b) Diluted (in ₹)		16.05	15.94
For Discontinued Operations			
(a) Basic (in ₹)		12.08	0.41
(b) Diluted (in ₹)		12.06	0.41
For Continuing and Discontinued Operations			
(a) Basic (in ₹)		28.15	16.39
(b) Diluted (in ₹)		28.11	16.35

The accompanying notes 1 to 32 are an integral part of the Standalone Financial Statements.

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For S R B C & CO LLP
Chartered Accountants
Firm Registration Number: 324982E/E300003
Arvind Sethi
Partner
(Membership No.: 89802)
Kolkata, May 22, 2025

On behalf of the Board

S. PURI
(DIN : 00280529)
Chairman & Managing Director
S. DUTTA
(DIN : 01804345)
Director & Chief Financial Officer
R. K. SINGHI
(Membership No.: FCS 3770)
Company Secretary

Standalone Statement of Changes in Equity for the year ended 31st March, 2025

A. Equity Share Capital

(₹ in Crores)

	Balance at the beginning of the reporting year	Changes in equity share capital during the year	Balance at the end of the reporting year
For the year ended 31st March, 2025	1248.47	2.94	1251.41
For the year ended 31st March, 2024	1242.80	5.67	1248.47

B. Other Equity

(₹ in Crores)

	Reserves and Surplus						Items of Other Comprehensive Income					
	Capital Reserve	Securities Premium	Share Options Outstanding Account	Capital Redemption Reserve	Contingency Reserve	General Reserve	Retained Earnings	Debt Instruments through Other Comprehensive Income	Equity Instruments through Other Comprehensive Income	Effective portion of Cash Flow Hedges	Foreign Currency Translation Reserve	Total
Balance as at 1st April, 2024	2.48	14842.78	507.59	0.30	363.05	17585.31	34488.10	(10.02)	3163.40	1.29	40.55	70984.83
Profit for the year	-	-	-	-	-	-	35195.61	-	-	-	-	35195.61
Other Comprehensive Income (net of tax)	-	-	-	-	-	-	(23.66)	58.73	(917.92)	(5.98)	(40.55)	(929.38)
Total Comprehensive Income for the year	-	-	-	-	-	-	35171.95	58.73	(917.92)	(5.98)	(40.55)	34266.23
Issue of equity shares under ITC Employee Stock Option Schemes	-	794.39	-	-	-	-	-	-	-	-	-	794.39
Dividends												
- Final Dividend (2023-24 - ₹ 7.50 per share)	-	-	-	-	-	-	(9363.54)	-	-	-	-	(9363.54)
- Interim Dividend (2024-25 - ₹ 6.50 per share)	-	-	-	-	-	-	(8133.11)	-	-	-	-	(8133.11)
Dividend distribution tax refund received	-	-	-	-	-	-	19.45	-	-	-	-	19.45
Transfer from Share Options Outstanding Account on exercise and lapse	-	197.53	(199.21)	-	-	-	1.00	-	-	-	-	(0.68)
Transferred to initial carrying amount of hedged items (net of tax)	-	-	-	-	-	-	-	-	-	0.15	-	0.15
Recognition of share based payment	-	-	137.27	-	-	-	-	-	-	-	-	137.27
Fair value of the Demerged Undertaking distributed to the shareholders of the Company [Refer Note 29(x)]	-	-	-	-	-	(22033.37)	-	-	-	-	-	(22033.37)
Transfer from retained earnings [Refer Note 29(x)]	-	-	-	-	-	4448.06	(4448.06)	-	-	-	-	-
Derecognised pursuant to Scheme of Demerger [Refer Note 29(xv)(A)]	-	-	(22.89)	-	-	-	-	-	-	-	-	(22.89)
Balance as at 31st March, 2025	2.48	15934.70	422.76	0.30	363.05	-	47735.79	48.71	2245.48	(4.54)	-	66648.73
Balance as at 1st April, 2023	2.48	13065.62	741.45	0.30	363.05	17585.31	33687.70	(23.42)	885.48	2.48	40.55	66351.00
Profit for the year	-	-	-	-	-	-	20421.97	-	-	-	-	20421.97
Other Comprehensive Income (net of tax)	-	-	-	-	-	-	(17.18)	13.40	2277.92	6.92	-	2281.06
Total Comprehensive Income for the year	-	-	-	-	-	-	20404.79	13.40	2277.92	6.92	-	22703.03
Issue of equity shares under ITC Employee Stock Option Schemes	-	1437.16	-	-	-	-	-	-	-	-	-	1437.16

Standalone Statement of Changes in Equity for the year ended 31st March, 2025

B. Other Equity (Contd.)

(₹ in Crores)

	Reserves and Surplus							Items of Other Comprehensive Income					Total
	Capital Reserve	Securities Premium	Share Options Outstanding Account	Capital Redemption Reserve	Contingency Reserve	General Reserve	Retained Earnings	Debt Instruments through Other Comprehensive Income	Equity Instruments through Other Comprehensive Income	Effective portion of Cash Flow Hedges	Foreign Currency Translation Reserve		
Dividends													
– Final Dividend (2022-23 - ₹ 6.75 per share)	–	–	–	–	–	–	(8388.91)	–	–	–	–	(8388.91)	
– Special Dividend (2022-23 - ₹ 2.75 per share)	–	–	–	–	–	–	(3417.70)	–	–	–	–	(3417.70)	
– Interim Dividend (2023-24 - ₹ 6.25 per share)	–	–	–	–	–	–	(7799.45)	–	–	–	–	(7799.45)	
Transfer from Share Options Outstanding Account on exercise and lapse	–	340.00	(342.50)	–	–	–	1.67	–	–	–	–	(0.83)	
Transferred to initial carrying amount of hedged items (net of tax)	–	–	–	–	–	–	–	–	–	(8.11)	–	(8.11)	
Recognition of share based payment	–	–	108.64	–	–	–	–	–	–	–	–	108.64	
Balance as at 31st March, 2024	2.48	14842.78	507.59	0.30	363.05	17585.31	34488.10	(10.02)	3163.40	1.29	40.55	70984.83	

The Board of Directors of the Company have recommended Final Dividend of ₹ 7.85 per Ordinary Share of ₹ 1/- each for the financial year ended 31st March, 2025 (previous year: Final Dividend ₹ 7.50 per Ordinary Share) amounting to ₹ 9823.58 Crores. The said Final Dividend is subject to the approval of the shareholders at the Annual General Meeting and has not been included as a liability in these financial statements.

Together with the Interim Dividend of ₹ 6.50 per Ordinary Share (previous year: ₹ 6.25 per Ordinary Share) paid on 7th March, 2025, the total Equity Dividend for the financial year ended 31st March, 2025 is ₹ 14.35 per Ordinary Share (previous year: ₹ 13.75 per Ordinary Share).

Capital Reserve: This Reserve represents the difference between value of the net assets transferred to the Company in the course of business combinations and the consideration paid for such combinations.

Securities Premium: This Reserve represents the premium on issue of shares and can be utilized in accordance with the provisions of the Companies Act, 2013.

Share Options Outstanding Account: This Reserve relates to stock options granted by the Company to employees under ITC Employee Stock Option Schemes. This Reserve is transferred to Securities Premium or Retained Earnings on exercise or lapse of vested options.

Capital Redemption Reserve: This Reserve has been transferred to the Company in the course of business combinations and can be utilized in accordance with the provisions of the Companies Act, 2013.

Contingency Reserve: This Reserve has been created out of Retained Earnings, as a matter of prudence, to take care of any unforeseen adverse developments in pending legal disputes.

General Reserve: This Reserve has been created by an appropriation from one component of equity (generally Retained Earnings) to another, not being an item of Other Comprehensive Income. The same can be utilized in accordance with the provisions of the Companies Act, 2013.

Retained Earnings: This Reserve represents the cumulative profits of the Company and effects of remeasurement of defined benefit obligations. This Reserve can be utilized in accordance with the provisions of the Companies Act, 2013.

Debt Instruments through Other Comprehensive Income: This Reserve represents the cumulative gains (net of losses) arising on revaluation of Debt Instruments measured at Fair Value through Other Comprehensive Income, net of amounts reclassified, if any, to profit or loss when those instruments are disposed of.

Equity Instruments through Other Comprehensive Income: This Reserve represents the cumulative gains (net of losses) arising on revaluation of Equity Instruments measured at Fair Value through Other Comprehensive Income, net of amounts reclassified, if any, to Retained Earnings when those instruments are disposed of.

Effective portion of Cash Flow Hedges: This Reserve represents the cumulative effective portion of changes in Fair Value of hedging instrument that are designated as Cash Flow Hedges. It will be reclassified to profit or loss or included in the carrying amount of the non-financial asset in accordance with the Company's accounting policy.

Foreign Currency Translation Reserve: This Reserve contains the accumulated balance of foreign exchange differences arising on monetary items that, in substance, form part of the Company's net investment in a foreign operation whose functional currency is other than Indian Rupee. Exchange differences previously accumulated in this Reserve are reclassified to profit or loss on disposal of the foreign operation.

The accompanying notes 1 to 32 are an integral part of the Standalone Financial Statements.

In terms of our report attached

For S R B C & CO LLP

Chartered Accountants

Firm Registration Number: 324982E/E3000003

Arvind Sethi

Partner

(Membership No.: 89802)

Kolkata, May 22, 2025

On behalf of the Board

S. PURI
(DIN : 00280529)

Chairman & Managing Director

S. DUTTA
(DIN : 01804345)

Director & Chief Financial Officer

R. K. SINGHI
(Membership No.: FCS 3770)

Company Secretary



Standalone Statement of Cash Flows for the year ended 31st March, 2025

	For the year ended 31st March, 2025 (₹ in Crores)	For the year ended 31st March, 2024 (₹ in Crores)
A. Cash Flow from Operating Activities		
PROFIT BEFORE TAX FROM CONTINUING OPERATIONS	26528.82	25632.12
PROFIT BEFORE TAX FROM DISCONTINUED OPERATIONS	15735.58	683.65
ADJUSTMENTS FOR:		
Depreciation and amortization expense	1668.88	1647.82
Share based payments to employees	130.00	103.10
Finance costs	44.84	45.73
Interest Income	(1423.52)	(1592.41)
Dividend Income	(1019.59)	(990.35)
Net gain on sale of property, plant and equipment, lease termination	(105.37)	(54.07)
Inventory write-offs/write-downs (net of reversals)	223.23	149.62
Doubtful and bad debts	11.53	9.23
Doubtful and bad advances, loans and deposits	1.87	25.03
Impairment of investment in associate	11.00	—
Gain recognised on divestment of shares held in joint venture	—	(9.49)
Gain recognised on fair valuation of net assets distributed pursuant to Scheme of Demerger [Refer Note 29(x)]	(15617.37)	—
Net gain arising on financial instruments measured at amortised cost/fair value through profit or loss/fair value through other comprehensive income	(1396.92)	(784.82)
Foreign currency translations and transactions - Net	4.36 (17467.06)	(6.28) (1456.89)
OPERATING PROFIT BEFORE WORKING CAPITAL CHANGES	24797.34	24858.88
ADJUSTMENTS FOR:		
Trade receivables, advances and other assets	(839.29)	(887.87)
Inventories	(2695.45)	(2187.23)
Trade payables, other liabilities and provisions	1332.98 (2201.76)	17.30 (3057.80)
CASH GENERATED FROM OPERATIONS	22595.58	21801.08
Income tax paid (net of refunds)	(5844.57)	(5682.85)
NET CASH FROM OPERATING ACTIVITIES	16751.01	16118.23
B. Cash Flow from Investing Activities		
Purchase of property, plant and equipment, Intangibles, ROU asset etc.	(1788.64)	(2647.23)
Sale of property, plant and equipment	157.77	100.85
Purchase of current investments	(59298.75)	(64931.45)
Sale/redemption of current investments	59961.52	67992.14
Investment in subsidiaries	(866.08)	(1050.35)
Investment in associates	(29.99)	(86.26)
Investment in joint venture	—	(0.90)
Purchase of non-current investments	(390.52)	(2745.51)
Sale/redemption of non-current investments	390.19	2622.86
Dividend received	1019.59	990.35
Interest received	986.69	1016.53
Investment in bank deposits (original maturity more than 3 months)	(5217.10)	(3578.11)
Redemption/maturity of bank deposits (original maturity more than 3 months)	5920.74	4446.34
Investment in deposit with financial institution	(1200.00)	—
Maturity of deposit with financial institution	500.00	—
Loans given	(17.39)	(12.22)
Loans realised	13.45	10.51
NET CASH FROM INVESTING ACTIVITIES	141.48	2127.55

Standalone Statement of Cash Flows for the year ended 31st March, 2025

	For the year ended 31st March, 2025 (₹ in Crores)	For the year ended 31st March, 2024 (₹ in Crores)
C. Cash Flow from Financing Activities		
Proceeds from issue of share capital	797.33	1442.83
Repayment of non-current borrowings	(1.52)	(1.26)
Principal payment of lease liabilities	(47.48)	(56.64)
Interest paid	(44.84)	(46.02)
Net increase in statutory restricted accounts balances	8.09	12.12
Dividend paid	(17496.65)	(19606.06)
Dividend distribution tax refund received	19.45	—
NET CASH USED IN FINANCING ACTIVITIES	(16765.62)	(18255.03)
NET INCREASE/(DECREASE) IN CASH AND CASH EQUIVALENTS	126.87	(9.25)
OPENING CASH AND CASH EQUIVALENTS	197.63	206.88
LESS: ON DEMERGER [Refer Note 29(x)]	(102.44)	—
CLOSING CASH AND CASH EQUIVALENTS	222.06	197.63

Notes:

- The above Statement of Cash Flows has been prepared under the "Indirect Method" as set out in Ind AS - 7 "Statement of Cash Flows".
- CASH AND CASH EQUIVALENTS:**

	As at 31st March, 2025	As at 31st March, 2024
Cash and cash equivalents as above	222.06	197.63
Unrealised gain/(loss) on foreign currency cash and cash equivalents	...	...
Cash and cash equivalents (Note 11)	222.06	197.63
- Net Cash Flow from Operating Activities includes an amount of ₹ 442.68 Crores (2024 - ₹ 436.16 Crores) spent towards Corporate Social Responsibility.
- Disclosure of change arising from financing activities in respect of lease liabilities - Refer Note 15.

The accompanying notes 1 to 32 are an integral part of the Standalone Financial Statements.

In terms of our report attached
For S R B C & CO LLP
Chartered Accountants
Firm Registration Number: 324982E/E300003
Arvind Sethi
Partner
(Membership No.: 89802)
Kolkata, May 22, 2025

On behalf of the Board

S. PURI
(DIN : 00280529)
S. DUTTA
(DIN : 01804345)
R. K. SINGHI
(Membership No.: FCS 3770)

Chairman & Managing Director
Director & Chief Financial Officer
Company Secretary

Notes to the Standalone Financial Statements

Company Information

ITC Limited (the 'Company') [CIN: L16005WB1910PLC001985] is a public limited company domiciled in India with its registered office located at Virginia House, 37 Jawaharlal Nehru Road, Kolkata 700 071. The Company's shares are listed on the National Stock Exchange of India Limited, BSE Limited and The Calcutta Stock Exchange Limited.

The Company is a diversified conglomerate with businesses spanning Fast-Moving Consumer Goods (Cigarettes & Cigars, Foods, Personal Care Products, Education & Stationery Products, Safety Matches and Agarbattis), Paperboards, Paper and Packaging, and Agri Business.

1. Material Accounting Policies

Statement of Compliance

These financial statements have been prepared in accordance with Indian Accounting Standards (Ind AS) notified under Section 133 of the Companies Act, 2013 and amendments thereto. The financial statements have also been prepared in accordance with the relevant presentation requirements of the Companies Act, 2013. The Company adopted Ind AS from 1st April, 2016.

Basis of Preparation

The financial statements are prepared in accordance with the historical cost convention, except for certain items that are measured at amortised cost or fair value, as explained in the accounting policies.

Fair Value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date, regardless of whether that price is directly observable or estimated using another valuation technique. In estimating the fair value of an asset or a liability, the Company takes into account the characteristics of the asset or liability if market participants would take those characteristics into account when pricing the asset or liability at the measurement date. Fair value for measurement and/or disclosure purposes in these financial statements is determined on such a basis, except for share-based payment transactions that are within the scope of Ind AS 102 – Share-based Payment, leasing transactions that are within the scope of Ind AS 116 – Leases, and measurements that have some similarities to fair value but are not fair value, such as net realisable value in Ind AS 2 – Inventories or value in use in Ind AS 36 – Impairment of Assets.

The preparation of financial statements in conformity with Ind AS requires management to make judgements, estimates and assumptions that affect the application of the accounting policies and the reported amounts of assets and liabilities, the disclosure of contingent assets and liabilities at the date of the financial statements, and the reported amounts of revenues and expenses during the year. Actual results could differ from those estimates. The estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised in the period in which the estimate is revised if the revision affects only that period; they are recognised in the period

of the revision and future periods if the revision affects both current and future periods.

Operating Cycle

All assets and liabilities have been classified as current or non-current as per the Company's normal operating cycle and other criteria set out in the Schedule III to the Companies Act, 2013 and Ind AS 1 – Presentation of Financial Statements based on the nature of products and the time between the acquisition of assets for processing and their realisation in cash and cash equivalents. The Company has identified twelve months as its operating cycle.

Property, Plant and Equipment

Property, plant and equipment (PP&E) are stated at cost of acquisition or construction less accumulated depreciation and accumulated impairment, if any. For this purpose, cost includes deemed cost which represents the carrying value of PP&E recognised as at 1st April, 2015 measured as per the previous Generally Accepted Accounting Principles (GAAP).

Cost is inclusive of inward freight, import duties & non-refundable taxes and incidental expenses related to acquisition. In respect of major projects involving construction, related pre-operational expenses form part of the value of assets capitalised. Expenses capitalised also include applicable borrowing costs for qualifying assets, if any. All upgradation/enhancements are charged off as revenue expenditure unless they bring similar significant additional benefits.

An item of PP&E is derecognised upon disposal or when no future economic benefits are expected to arise from the continued use of asset. Any gain or loss arising on the disposal or retirement of an item of PP&E is determined as the difference between the sales proceeds and the carrying amount of the asset and is recognised in Statement of Profit and Loss.

Depreciation of these assets commences when the assets are ready for their intended use, which is generally on commissioning. Items of PP&E are depreciated in a manner that amortizes the cost (or other amount substituted for cost) of the assets after commissioning, less its residual value, over their useful lives as specified in Schedule II of the Companies Act, 2013 on a straight-line basis. Land is not depreciated.

Notes to the Standalone Financial Statements

1. Material Accounting Policies (Contd.)

The estimated useful lives of PP&E of the Company are as follows:

Buildings	30-60 Years
Leasehold Improvements	Shorter of lease period or estimated useful lives
Plant and Equipment	3-25 Years
Furniture and Fixtures	8-10 Years
Vehicles	8-10 Years
Office Equipment	5 Years

PP&E's residual values, useful lives and method of depreciation are reviewed at each Balance Sheet date and changes, if any, are treated as changes in accounting estimate.

Goodwill and Other Intangible Assets

Goodwill

Goodwill arising on Business Combination is carried at cost less any accumulated impairment losses.

Goodwill is annually tested for impairment. Impairment loss, if any, to the extent the carrying amount exceeds the recoverable amount is charged off to the Statement of Profit and Loss as it arises and is not reversed. For impairment testing, goodwill is allocated to Cash Generating Unit (CGU) or group of CGUs to which it relates, which is not larger than an operating segment, and is monitored for internal management purposes.

On disposal of the CGU or group of CGUs, attributable amount of goodwill is included in the determination of the profit or loss recognised in the Statement of Profit and Loss.

Other Intangible Assets

Other Intangible Assets that the Company controls and from which it expects future economic benefits are capitalised upon acquisition and measured initially:

- for assets acquired in a business combination, at fair value on the date of acquisition.
- for separately acquired assets, at cost comprising the purchase price (including import duties and non-refundable taxes) and directly attributable costs to prepare the asset for its intended use.

Internally generated assets for which the cost is clearly identifiable are capitalised at cost. Research expenditure is recognised as an expense when it is incurred. Development costs are capitalised only after the technical and commercial feasibility of the asset for sale or use has been established. Thereafter, all directly attributable expenditure incurred to prepare the asset for its intended use are recognised as the cost of such assets. Internally generated brands, websites and customer lists are not recognised as intangible assets.

The carrying value of intangible assets includes deemed cost which represents the carrying value of intangible assets recognised as at 1st April, 2015 measured as per the previous GAAP.

After initial recognition, an intangible asset is carried at its cost less accumulated amortization and/or impairment losses.

The useful life of an intangible asset is considered finite where the rights to such assets are limited to a specified period of time by contract or law (e.g. patents, licences, trademarks, franchise and servicing rights) or the likelihood of technical, technological obsolescence (e.g. computer software, design, prototypes) or commercial obsolescence (e.g. lesser known brands are those to which adequate marketing support may not be provided). If, there are no such limitations, the useful life is taken to be indefinite.

Intangible assets that have finite lives are amortized over their estimated useful lives by the straight-line method unless it is practical to reliably determine the pattern of benefits arising from the asset. An intangible asset with an indefinite useful life is not amortized. However, it is annually tested for impairment. Amortization expenses and impairment losses and reversal of impairment losses are included in the 'Depreciation and amortization expense' in the Statement of Profit and Loss.

The estimated useful lives of intangible assets of the Company with finite lives are as follows:

Trademarks/Know How, Business and Commercial Rights	10 Years (unless shorter useful life is required based on contractual or legal terms)
Computer Software	5 Years
Customer Relationships	8 Years

The useful lives of intangible assets are reviewed annually to determine if a reset of such useful life is required for assets with finite lives and to confirm that business circumstances continue to support an indefinite useful life assessment for assets so classified. Based on such review, the useful life may change or the useful life assessment may change from indefinite to finite. The impact of such changes is accounted for as a change in accounting estimate.

Investment Property

Properties that are held for long-term rental yields and/or for capital appreciation are classified as investment properties. Investment properties are stated at cost of acquisition or construction less accumulated depreciation and impairment, if any. Depreciation is recognised using the straight-line method so as to amortise the cost of investment properties over their useful lives as specified in Schedule II of the Companies Act, 2013. Freehold land and properties under construction are not depreciated.

Notes to the Standalone Financial Statements

1. Material Accounting Policies (Contd.)

The estimated useful lives of investment properties are same as those disclosed for PP&E.

Transfers to, or from, investment properties are made at the carrying amount when and only when there is a change in use.

An item of investment property is derecognised upon disposal or when no future economic benefits are expected to arise from the continued use of asset. Any gain or loss arising on the disposal or retirement of an item of investment property is determined as the difference between the sales proceeds and the carrying amount of the property and is recognised in the Statement of Profit and Loss.

Income received from investment property is recognised in the Statement of Profit and Loss on a straight-line basis over the term of the lease.

Impairment of Assets

Impairment loss, if any, is provided to the extent, the carrying amount of assets or CGU exceeds their recoverable amount.

Recoverable amount is higher of an asset's fair value less costs of disposal and its value in use. Value in use is the present value of estimated future cash flows expected to arise from the continuing use of an asset or CGU and from its disposal at the end of its useful life.

Impairment losses recognised in prior years are reversed when there is an indication that the impairment losses recognised no longer exist or have decreased. Such reversals are recognised as an increase in carrying amounts of assets to the extent that it does not exceed the carrying amounts that would have been determined (net of amortization or depreciation) had no impairment loss been recognised in previous years.

Inventories

Inventories are stated at lower of cost and net realisable value. The cost is calculated on weighted average method. Cost comprises expenditure incurred in the normal course of business in bringing such inventories to their present location and condition and includes, where applicable, appropriate overheads based on normal level of activity. Net realisable value is the estimated selling price less estimated costs for completion and sale.

Obsolete, slow moving and defective inventories are identified from time to time and, where necessary, a provision is made for such inventories.

Foreign Currency Transactions

The functional and presentation currency of the Company is Indian Rupee.

Transactions in foreign currency are accounted for at the exchange rate prevailing on the transaction date. Gains/losses arising on settlement, as also on translation

of monetary items are recognised in the Statement of Profit and Loss.

Exchange differences arising on monetary items that, in substance, form part of the Company's net investment in a foreign operation (having a functional currency other than Indian Rupee) are recognised in other comprehensive income and accumulated in Foreign Currency Translation Reserve.

Derivatives and Hedge Accounting

Derivatives are initially recognised at fair value and are subsequently remeasured to their fair value at the end of each reporting period. The resulting gains/losses are recognised in Statement of Profit and Loss immediately unless the derivative is designated and effective as a hedging instrument, in which case the resulting gain/loss is recognised as per the hedge accounting principles stated below.

The Company complies with the principles of hedge accounting where derivative contracts and/or non-derivative financial assets/liabilities that are permitted under applicable accounting standards are designated as hedging instruments. At the inception of the hedge relationship, the Company documents the relationship between the hedging instrument and the hedged item, along with the risk management objectives and its strategy for undertaking hedge transaction, which can be a fair value hedge or a cash flow hedge.

(i) Fair value hedges

Changes in fair value of the designated portion of hedging instruments that qualify as fair value hedges are recognised in the Statement of Profit and Loss immediately, together with any changes in the fair value of the hedged asset or liability that are attributable to the hedged risk. Such fair value changes are recognised in the line item relating to the hedged item in the Statement of Profit and Loss.

Hedge accounting is discontinued when the hedging instrument is derecognised, expires or is sold, terminated, or exercised, or when it no longer qualifies for hedge accounting. The fair value adjustment to the carrying amount of the hedged item arising from the hedged risk is included in the Statement of Profit and Loss from that date.

(ii) Cash flow hedges

The effective portion of changes in the fair value of hedging instruments that are designated and qualify as cash flow hedges is recognised in the other comprehensive income and accumulated as 'Cash Flow Hedge Reserve'. The gains/losses relating to the ineffective portion are recognised immediately in the Statement of Profit and Loss.

Amounts previously recognised and accumulated in other comprehensive income are reclassified to

Notes to the Standalone Financial Statements

1. Material Accounting Policies (Contd.)

profit or loss when the hedged item affects the Statement of Profit and Loss. However, when the hedged item results in the recognition of a non-financial asset, such gains/losses are transferred from equity (but not as reclassification adjustment) and included in the initial measurement cost of the non-financial asset.

Hedge accounting is discontinued when the hedging instrument is derecognised, expires or is sold, terminated, or exercised, or when it no longer qualifies for hedge accounting. Any gains/losses recognised in other comprehensive income and accumulated in equity at that time remain in equity and is reclassified when the underlying transaction is ultimately recognised. When an underlying transaction is no longer expected to occur, the gains/losses accumulated in equity are recognised immediately in the Statement of Profit and Loss.

Investment in Subsidiaries, Associates and Joint Ventures

Investment in subsidiaries, associates and joint ventures are carried at cost less accumulated impairment, if any.

Financial instruments, Financial assets, Financial liabilities and Equity instruments

Financial assets and financial liabilities are recognised when the Company becomes a party to the contractual provisions of the relevant instrument and are initially measured at fair value except for trade receivables that do not contain a significant financing component, which are measured at transaction price.

Transaction costs that are directly attributable to the acquisition or issue of financial assets and financial liabilities (other than financial assets and financial liabilities measured at fair value through profit or loss) are added to or deducted from the fair value on initial recognition of financial assets or financial liabilities. Purchase or sale of financial assets that require delivery of assets within a time frame established by regulation or convention in the market place (regular way trades) are recognised on the trade date, i.e., the date when the Company commits to purchase or sell the asset.

Financial Assets

Recognition: Financial assets include Investments, Trade Receivables, Advances, Security Deposits, Cash and cash equivalents. Such assets are initially recognised at fair value or transaction price, as applicable, when the Company becomes party to contractual obligations. The transaction price includes transaction costs unless the asset is being fair valued through the Statement of Profit and Loss.

Classification: Management determines the classification of an asset at initial recognition depending on the purpose for which the assets were acquired. The subsequent

measurement of financial assets depends on such classification.

Financial assets are classified as those measured at:

- amortised cost, where the financial assets are held solely for collection of cash flows arising from payments of principal and/or interest.
- fair value through other comprehensive income (FVTOCI), where the financial assets are held not only for collection of cash flows arising from payments of principal and interest but also from the sale of such assets. Such assets are subsequently measured at fair value, with unrealised gains and losses arising from changes in the fair value being recognised in other comprehensive income.
- fair value through profit or loss (FVTPL), where the assets are managed in accordance with an approved investment strategy that triggers purchase and sale decisions based on the fair value of such assets. Such assets are subsequently measured at fair value. Unrealised gains and losses arising from changes in the fair value, including interest income and dividend income, if any, are recognised in 'other income' in the Statement of Profit and Loss in the period in which they arise.

Trade Receivables, Advances, Security Deposits, Cash and cash equivalents etc. are classified for measurement at amortised cost while investments may fall under any of the aforesaid classes. However, in respect of particular investments in equity instruments that would otherwise be measured at fair value through profit or loss, an irrevocable election at initial recognition may be made to present subsequent changes in fair value through other comprehensive income.

Impairment: The Company assesses at each reporting date whether a financial asset (or a group of financial assets) such as investments, trade receivables, advances and security deposits held at amortised cost and financial assets that are measured at fair value through other comprehensive income are tested for impairment based on evidence or information that is available without undue cost or effort. Expected credit losses are assessed and loss allowances recognised if the credit quality of the financial asset has deteriorated significantly since initial recognition.

Reclassification: When and only when the business model is changed, the Company shall reclassify all affected financial assets prospectively from the reclassification date as subsequently measured at amortised cost, fair value through other comprehensive income or fair value through profit or loss without restating the previously recognised gains, losses or interest and in terms of the reclassification principles laid down in the Ind AS relating to Financial Instruments.

Notes to the Standalone Financial Statements

1. Material Accounting Policies (Contd.)

Derecognition: Financial assets are derecognised when the right to receive cash flows from the assets has expired, or has been transferred, and the Company has transferred substantially all of the risks and rewards of ownership. Concomitantly, if the asset is one that is measured at:

- (a) amortised cost, the gain or loss is recognised in the Statement of Profit and Loss;
- (b) fair value through other comprehensive income, the cumulative fair value adjustments previously taken to reserves are reclassified to the Statement of Profit and Loss unless the asset represents an equity investment, in which case the cumulative fair value adjustments previously taken to reserves are reclassified within equity.

Income Recognition: Interest income is recognised in the Statement of Profit and Loss using the effective interest method. Dividend income is recognised in the Statement of Profit and Loss when the right to receive dividend is established.

Financial Liabilities

Borrowings, trade payables and other financial liabilities are initially recognised at fair value and are subsequently measured at amortised cost. Any discount or premium on redemption/settlement is recognised in the Statement of Profit and Loss as finance cost over the life of the liability using the effective interest method and adjusted to the liability figure disclosed in the Balance Sheet.

Financial liabilities are derecognised when the liability is extinguished, that is, when the contractual obligation is discharged, cancelled or on expiry.

Offsetting Financial Instruments

Financial assets and liabilities are offset and the net amount is included in the Balance Sheet where there is a legally enforceable right to offset the recognised amounts and there is an intention to settle on a net basis or realise the asset and settle the liability simultaneously.

Equity Instruments

Equity instruments are recognised at the value of the proceeds, net of direct costs of the capital issue.

Revenue

Revenue is measured at the transaction price that the Company receives or expects to receive as consideration for goods supplied and services rendered, net of returns and estimates of variable consideration such as discounts to customers. Revenue from the sale of goods includes Excise Duties and National Calamity Contingent Duty which are payable on manufacture of goods but excludes taxes such as VAT and Goods and Services Tax which are payable in respect of sale of goods and services.

Revenue from the sale of goods and services is recognised when the Company performs its obligations to its customers and the amount of revenue can be measured reliably and recovery of the consideration is probable. The timing of such recognition in case of sale of goods is when the control over the same is transferred to the customer, which is mainly upon delivery and in case of services, in the period in which such services are rendered.

Government Grant

The Company may receive government grants that require compliance with certain conditions related to the Company's operating activities or are provided to the Company by way of financial assistance on the basis of certain qualifying criteria.

Government grants are recognised when there is reasonable assurance that the grant will be received upon the Company complying with the conditions attached to the grant. Accordingly, government grants:

- (a) related to or used for assets, are deducted from the carrying amount of the asset.
- (b) related to incurring specific expenditures are taken to the Statement of Profit and Loss on the same basis and in the same periods as the expenditures incurred.
- (c) by way of financial assistance on the basis of certain qualifying criteria are recognised in the Statement of Profit and Loss as they become receivable.

In the unlikely event that a grant previously recognised is ultimately not received, it is treated as a change in estimate and the amount cumulatively recognised is expensed in the Statement of Profit and Loss.

Dividend Distribution

Dividends paid (including income tax thereon, if any) are recognised in the period in which the interim dividends are approved by the Board of Directors, or in respect of the final dividend when approved by the shareholders.

Employee Benefits

Short-term employee benefits are expensed in the period in which the employee renders the related service on an undiscounted basis. A liability is recognised for the amount expected to be paid within twelve months, if the Company has a present legal or constructive obligation to pay the same as a result of past service provided by the employee and the obligation can be reliably estimated.

The Company makes contributions to both defined benefit and defined contribution schemes which are mainly administered through duly constituted and approved Trusts. Provident Fund contributions are in the nature of defined contribution scheme. In respect of employees who are members of constituted and approved trusts, the Company

Notes to the Standalone Financial Statements

1. Material Accounting Policies (Contd.)

recognises contribution payable to such trusts as an expense including any shortfall in interest between the amount of interest realised by the investment and the interest payable to members at the rate declared by the Government of India. In respect of other employees, provident funds are deposited with the Government administered funds and recognised as expense.

The Company makes contribution to defined contribution pension plan. The contribution payable is recognised as an expense, when an employee renders the related service.

The Company also makes contribution to defined benefit pension and gratuity plan. The cost of providing benefits under the defined benefit obligation is calculated by independent actuary using the projected unit credit method. Service costs and net interest expense or income is reflected in the Statement of Profit and Loss. Gain or Loss on account of remeasurements are recognised immediately through other comprehensive income in the period in which they occur.

The employees of the Company are entitled to compensated leave for which the Company records the liability based on actuarial valuation computed using projected unit credit method. These benefits are unfunded.

Actual disbursements made under the Workers' Voluntary Retirement Scheme are accounted as revenue expenses.

Employee Share Based Compensation

Stock Options

Equity settled Stock Options are granted to eligible employees under the ITC Employee Stock Option Schemes ('ITC ESOS'), as may be decided by the Nomination & Compensation Committee / Board. Further, eligible employees of the Company have been granted equity settled Stock Options under the ITC Hotels Special Purpose Employee Stock Option Scheme ('ITCHL SP ESOS'), in terms of the 'Scheme of Arrangement between the Company and ITC Hotels Limited, and their respective shareholders and creditors'.

Under Ind AS, the cost of equity settled Stock Options is recognised based on the fair value of Stock Options as on the grant date.

The fair value of Stock Options granted to the employees of the Company is recognised as employee benefits expense in the Statement of Profit and Loss over the period in which the performance and /or service conditions are fulfilled with a corresponding credit in equity for ITC ESOS and recognised as a financial liability for ITCHL SP ESOS. The fair value of Stock Options, net of recoveries, granted to employees on deputation and to employees of the group companies is considered as capital contribution / investment.

The Company generally recovers the fair value of Stock Options from such group companies, as applicable. It may,

if recommended by the Corporate Management Committee and approved by the Audit Committee, decide not to seek such recovery from:

- (a) wholly owned subsidiaries who need to conserve financial capacity to sustain their business and growth plans and to address contingencies that may arise, taking into account the economic and market conditions then prevailing and opportunities and threats in the competitive context.
- (b) other companies not covered under (a) above, who need to conserve financial capacity to sustain their business and growth plans and where the quantum of reimbursement is not material - the materiality threshold being ₹ 5 Crores for each entity for a financial year.

Stock Appreciation Linked Reward (SAR) Plan

Cash Settled SAR units are granted to eligible employees under the ITC Employee Cash Settled Stock Appreciation Linked Reward Plan ('ITC ESARP'), as may be decided by the CMC / Nomination & Compensation Committee / Board.

For such Cash Settled SAR units, a liability is initially measured at fair value on the grant date and is subsequently remeasured at each reporting period, until settled. The fair value of ITC ESARP units granted is recognised as employee benefits expense in the Statement of Profit and Loss over the period in which the performance and /or service conditions are fulfilled for employees of the Company. In case of ITC ESARP units granted to employees on deputation and to employees of the group companies, the Company generally recovers the fair value of ITC ESARP units from the concerned group companies.

Leases

The Company assesses at contract inception whether a contract is, or contains, a lease. A contract is, or contains, a lease if it conveys the right to control the use of an identified asset for a period of time in exchange for consideration.

Company as a Lessee

Right-of-use (ROU) assets are recognised at inception of a contract or arrangement for significant lease components at cost less lease incentives, if any. ROU assets are subsequently measured at cost less accumulated depreciation and accumulated impairment losses, if any. The cost of ROU assets includes the amount of lease liabilities recognised, initial direct cost incurred and lease payments made at or before the lease commencement date. ROU assets are generally depreciated over the shorter of the lease term and estimated useful lives of the underlying assets on a straight-line basis. Lease term is determined based on consideration of facts and circumstances that create an economic incentive to exercise an extension option, or not to exercise a termination option. Lease payments associated with short-term leases (i.e., those

Notes to the Standalone Financial Statements

1. Material Accounting Policies (Contd.)

leases that have a lease term of 12 months or less from the commencement date and do not contain a purchase option) and low value leases (i.e., where the value of the underlying asset, when new, in order of magnitude is ₹ 5 lakhs or less) are charged to the Statement of Profit and Loss on a straight-line basis over the term of the relevant lease.

The Company recognises lease liabilities measured at the present value of lease payments to be made on the date of recognition of the lease. Such lease liabilities do not include variable lease payments (that do not depend on an index or a rate), which are recognised as expense in the periods in which they are incurred. Interest on lease liability is recognised using the effective interest method. Lease liabilities are subsequently increased to reflect the accretion of interest and reduced for the lease payments made. The carrying amount of lease liabilities is also remeasured upon modification of lease arrangement or upon change in the assessment of the lease term. The effect of such remeasurements is adjusted to the value of the ROU assets.

Company as a Lessor

Leases in which the Company does not transfer substantially all the risks and rewards of ownership of an asset are classified as operating leases. Where the Company is a lessor under an operating lease, the asset is capitalised within property, plant and equipment or investment property and depreciated over its useful economic life. Payments received under operating leases are recognised in the Statement of Profit and Loss on a straight-line basis over the term of the lease.

Taxes on Income

Taxes on income comprise current taxes and deferred taxes. Current tax in the Statement of Profit and Loss is provided as the amount of tax payable in respect of taxable income for the period using tax rates and tax laws enacted during the period, together with any adjustment to tax payable in respect of previous years.

Deferred tax is recognised on temporary differences between the carrying amounts of assets and liabilities and the amounts used for taxation purposes (tax base), at the tax rates and tax laws enacted or substantively enacted by the end of the reporting period.

Deferred tax assets are recognised for the future tax consequences to the extent it is probable that future taxable profits will be available against which the deductible temporary differences can be utilised.

Income tax, insofar as it relates to items disclosed under other comprehensive income or equity, is disclosed separately under other comprehensive income or equity, as applicable.

Deferred tax assets and liabilities are offset when there is legally enforceable right to offset current tax assets and liabilities and when the deferred tax balances relate to the same taxation authority. Current tax assets and tax liabilities are offset where the entity has a legally enforceable right to offset and intends either to settle on net basis, or to realize the asset and settle the liability simultaneously.

Claims

Claims against the Company not acknowledged as debts are disclosed after a careful evaluation of the facts and legal aspects of the matter involved.

Provisions

Provisions are recognised when, as a result of a past event, the Company has a legal or constructive obligation; it is probable that an outflow of resources will be required to settle the obligation; and the amount can be reliably estimated. The amount so recognised is a best estimate of the consideration required to settle the obligation at the reporting date, taking into account the risks and uncertainties surrounding the obligation.

In an event when the time value of money is material, the provision is carried at the present value of the cash flows estimated to settle the obligation.

Operating Segments

Operating segments are reported in a manner consistent with the internal reporting provided to the chief operating decision-maker (CODM). The CODM, who is responsible for allocating resources and assessing performance of the operating segments, has been identified as the Corporate Management Committee.

Segments are organised based on businesses which have similar economic characteristics as well as exhibit similarities in nature of products and services offered, the nature of production processes, the type and class of customer and distribution methods.

Segment revenue arising from third party customers is reported on the same basis as revenue in the financial statements. Inter-segment revenue is reported on the basis of transactions which are primarily market led. Segment results represent profits before finance charges, unallocated corporate expenses and taxes.

“Unallocated Corporate Expenses” include revenue and expenses that relate to initiatives/costs attributable to the enterprise as a whole.

Financial and Management Information Systems

The Company's Accounting System is designed to unify the Financial and Cost Records and also to comply with the relevant provisions of the Companies Act, 2013, to provide financial and cost information appropriate to the businesses and facilitate Internal Control.

Notes to the Standalone Financial Statements

2. Use of estimates and judgements

The preparation of financial statements in conformity with generally accepted accounting principles requires management to make estimates and assumptions that affect the reported amounts of assets and liabilities and disclosure of contingent liabilities at the date of the financial statements and the results of operations during the reporting period end. Although these estimates are based upon management's best knowledge of current events and actions, actual results could differ from these estimates.

The estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised in the period in which the estimate is revised if the revision affects only that period, or in the period of the revision and future periods if the revision affects both current and future periods.

A. Judgements in applying accounting policies

The judgements, apart from those involving estimations (see note B below), that the Company has made in the process of applying its accounting policies and that have a significant effect on the amounts recognised in these financial statements pertain to useful life of intangible assets. The Company is required to determine whether its intangible assets have indefinite or finite life which is a subject matter of judgement. Certain trademarks have been considered of having an indefinite useful life taking into account that there are no technical, technological or commercial risks of obsolescence or limitations under contract or law. Other trademarks have been amortised over their useful economic life. Refer notes to the financial statements.

B. Key sources of estimation uncertainty

The following are the key assumptions concerning the future, and other key sources of estimation uncertainty at the end of the reporting period that may have a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next financial year.

1. Useful lives of property, plant and equipment, investment property and intangible assets:

As described in the material accounting policies, the Company reviews the estimated useful lives of property, plant and equipment, investment property and intangible assets at the end of each reporting

period and the impact of changes in the estimated useful life is considered in the period in which the estimate is revised.

2. Fair value measurements and valuation processes:

Some of the Company's assets and liabilities are measured at fair value for financial reporting purposes. In estimating the fair value of an asset or a liability, the Company uses market-observable data to the extent it is available. Where Level 1 inputs are not available, the Company engages third party valuers, where required, to perform the valuation. Information about the valuation techniques and inputs used in determining the fair value of various assets, liabilities and share based payments are disclosed in the notes to the financial statements.

3. Actuarial Valuation:

The determination of Company's liability towards defined benefit obligation to employees is made through independent actuarial valuation including determination of amounts to be recognised in the Statement of Profit and Loss and in Other Comprehensive Income. Such valuation depends upon assumptions determined after taking into account inflation, seniority, promotion and other relevant factors such as supply and demand factors in the employment market. Information about such valuation is provided in the notes to the financial statements.

4. Claims, Provisions and Contingent Liabilities:

The Company has ongoing litigations with various regulatory authorities and third parties. Where an outflow of funds is believed to be probable and a reliable estimate of the outcome of the dispute can be made based on management's assessment of specific circumstances of each dispute and relevant external advice, management provides for its best estimate of the liability. Such accruals are by nature complex and can take number of years to resolve and can involve estimation uncertainty. Information about such litigations is provided in the notes to the financial statements.

Notes to the Standalone Financial Statements

(₹ in Crores)

Particulars	Gross Block							As at 31st March, 2025
	As at 31st March, 2023	Additions	Withdrawals and adjustments [#]	As at 31st March, 2024	Additions	Withdrawals and adjustments [#]	Transferred pursuant to Scheme of Demerger*	
3A. Property, Plant and Equipment¹								
Land ²	2018.10	4.13	17.57	2004.66	58.31	3.92	930.28	1128.77
Buildings	9105.41	929.54	42.04	9992.91	401.44	62.65	3563.11	6768.59
Leasehold Improvements	12.61	9.13	–	21.74	0.83	0.16	7.56	14.85
Plant and Equipment	17805.06	2101.72	157.53	19749.25	1224.89	186.02	2427.80	18360.32
Furniture and Fixtures	980.68	65.05	7.02	1038.71	35.67	6.47	806.17	261.74
Vehicles	156.26	24.12	22.04	158.34	23.61	18.46	48.99	114.50
Office Equipment	30.62	6.53	0.88	36.27	9.55	1.30	1.31	43.21
Railway Sidings	1.73	–	–	1.73	–	–	–	1.73
TOTAL	30110.47	3140.22	247.08	33003.61	1754.30	278.98	7785.22	26693.71
3B. Capital work-in-progress	1681.47	2471.14	3074.64	1077.97	1738.49	1715.95	32.72	1067.79
3C. Investment Property³	410.63	–	(41.40)	452.03	1.75	(51.67)	–	505.45
3D. Goodwill⁴	577.20	–	–	577.20	–	–	–	577.20
3E. Other Intangible assets (acquired)								
Assets with indefinite life ⁴								
Trademarks	1889.78	–	–	1889.78	–	–	–	1889.78
Assets with finite life								
Trademarks	30.57	–	–	30.57	–	–	–	30.57
Computer Software	300.33	49.69	1.84	348.18	25.51	4.65	58.95	310.09
Know How, Business and Commercial Rights	43.89	12.51	–	56.40	3.77	–	3.77	56.40
Customer Relationships	35.21	–	–	35.21	–	–	–	35.21
TOTAL	2299.78	62.20	1.84	2360.14	29.28	4.65	62.72	2322.05
3F. Intangible assets under development	15.13	52.40	58.46	9.07	21.17	25.68	1.65	2.91
3G. Right-of-use assets[^]								
Land	516.63	9.09	0.19	525.53	0.07	0.32	95.16	430.12
Buildings	297.59	85.40	39.54	343.45	63.14	90.41	102.69	213.49
Plant and Equipment	48.63	–	6.80	41.83	–	9.86	–	31.97
TOTAL	862.85	94.49	46.53	910.81	63.21	100.59	197.85	675.58

[#] Includes amounts transferred to Investment Property on its recognition

* Refer Note 29(x)

[&] includes ₹ 226.95 Crores (2024 - ₹ 290.62 Crores) relating to discontinued operations.

[^] Also refer Note 29(viii)

Notes:

1. a) The above includes following assets given on operating lease:

Particulars	As at 31st March, 2024			2024	As at 31st March, 2025			2025
	Gross Block	Accumulated Depreciation	Net Block		Gross Block	Accumulated Depreciation	Net Block	
Land	1.48	–	1.48	–	1.48	–	1.48	–
Buildings	3.59	1.15	2.44	0.06	1.82	1.07	0.75	0.55
Plant and Equipment	267.22	183.41	83.81	14.24	285.90	196.72	89.18	12.95
TOTAL	272.29	184.56	87.73	14.30	289.20	197.79	91.41	13.50

b) The amount of expenditure recognised in the carrying amount of property, plant and equipment in the course of construction is ₹ 72.55 Crores (2024 - ₹ 129.01 Crores).

2. Land includes certain lands at Munger with Gross Block ₹ 1.16 Crores (2024 - ₹ 1.16 Crores) which stood vested with the State of Bihar under the Bihar Land Reforms Act, 1950 for which compensation has not yet been determined.

Notes to the Standalone Financial Statements

(₹ in Crores)

Particulars	Depreciation and Amortization							Net Book Value		
	Upto 31st March, 2023	For the year ^{&}	On Withdrawals and adjustments [#]	Upto 31st March, 2024	For the year ^{&}	On Withdrawals and adjustments [#]	Transferred pursuant to Scheme of Demerger [*]	Upto 31st March, 2025	As at 31st March, 2025	As at 31st March, 2024
3A. Property, Plant and Equipment¹										
Land ²	–	–	–	–	–	–	–	–	1128.77	2004.66
Buildings	1364.95	234.28	9.96	1589.27	244.18	12.41	414.86	1406.18	5362.41	8403.64
Leasehold Improvements	8.73	0.33	–	9.06	0.81	0.14	5.14	4.59	10.26	12.68
Plant and Equipment	7604.87	1188.01	124.26	8668.62	1212.84	155.64	1131.94	8593.88	9766.44	11080.63
Furniture and Fixtures	540.82	82.82	6.00	617.64	70.84	5.13	521.74	161.61	100.13	421.07
Vehicles	76.95	16.31	14.84	78.42	15.49	11.30	26.72	55.89	58.61	79.92
Office Equipment	21.79	2.96	0.82	23.93	3.18	1.10	1.24	24.77	18.44	12.34
Railway Sidings	1.04	0.13	–	1.17	0.13	–	–	1.30	0.43	0.56
TOTAL	9619.15	1524.84	155.88	10988.11	1547.47	185.72	2101.64	10248.22	16445.49	22015.50
3B. Capital work-in-progress	–	–	–	–	–	–	–	–	1067.79	1077.97
3C. Investment Property³	58.37	13.53	(7.04)	78.94	15.39	(11.23)	–	105.56	399.89	373.09
3D. Goodwill⁴	–	–	–	–	–	–	–	–	577.20	577.20
3E. Other Intangible assets (acquired)										
Assets with indefinite life ⁴										
Trademarks	–	–	–	–	–	–	–	–	1889.78	1889.78
Assets with finite life										
Trademarks	23.58	3.14	–	26.72	2.28	–	–	29.00	1.57	3.85
Computer Software	199.79	32.34	1.84	230.29	35.18	4.65	47.75	213.07	97.02	117.89
Know How, Business and Commercial Rights	27.20	4.00	–	31.20	4.28	–	0.13	35.35	21.05	25.20
Customer Relationships	11.79	4.40	–	16.19	4.40	–	–	20.59	14.62	19.02
TOTAL	262.36	43.88	1.84	304.40	46.14	4.65	47.88	298.01	2024.04	2055.74
3F. Intangible assets under development	–	–	–	–	–	–	–	–	2.91	9.07
3G. Right-of-use assets^A										
Land	29.23	8.02	–	37.25	7.45	0.03	12.74	31.93	398.19	488.28
Buildings	95.64	52.26	16.59	131.31	48.74	85.94	6.71	87.40	126.09	212.14
Plant and Equipment	22.07	5.29	6.80	20.56	3.69	9.86	–	14.39	17.58	21.27
TOTAL	146.94	65.57	23.39	189.12	59.88	95.83	19.45	133.72	541.86	721.69

3. The fair value of the investment property is ₹ 1647.41 Crores (2024 - ₹ 1166.02 Crores). The fair value has been determined on the basis of valuation carried out at the reporting date by registered valuer as defined under Rule 2 of Companies (Registered Valuers and Valuation) Rules, 2017 and the same has been categorised as Level 2 based on the valuation techniques used and inputs applied. The main inputs considered by the valuer are government rates, property location, market research & trends, contracted rentals, terminal yields, discount rates and comparable values, as appropriate.

Amounts recognised in the Statement of Profit and Loss in respect of the investment property is as under:

(₹ in Crores)

Particulars	For the year ended 31st March, 2025	For the year ended 31st March, 2024
Rental Income etc. from investment property	156.54	138.90
Direct Operating Expenses arising from investment property that generated rental income during the year ⁵	19.45	14.75
Direct Operating Expenses arising from investment property that did not generate rental income during the year	–	–

⁵As per the contractual arrangements, the Company is responsible for the maintenance of common area at its own cost. The expenses arising out of such arrangements are not material.

4. Assets with indefinite life pertain to the 'FMCG - Others' Segment and are related to the Branded Packaged Foods and Personal Care Products businesses of the Company. Impairment testing for goodwill and intangible assets with indefinite useful lives has been carried out considering their recoverable amounts which, inter-alia, includes estimation of their value-in-use based on management projections. These projections have been made for a period of five years, or longer, as applicable and consider various factors, such as market scenario, growth trends, growth and margin projections, and terminal growth rates specific to the business. For such projections, discount rate of 10% (2024 - 10%) and long-term growth rates ranging between 5% to 6% (2024 - 5% to 6%) have been considered. Discount rate has been determined considering the Weighted Average Cost of Capital (WACC) of market benchmarks. Based on the above assessment, no impairment has been recognised during the year. Further, the Company has also performed sensitivity analysis around the base assumptions and has concluded that there are no reasonably possible changes to key assumptions that would cause the carrying amount of the aforesaid assets to exceed their recoverable values.

Notes to the Standalone Financial Statements

Capital work-in-progress (CWIP) ageing schedule

(₹ in Crores)

Particulars	As at 31st March, 2024					As at 31st March, 2025				
	Amount in CWIP for a period of					Amount in CWIP for a period of				
	Less than 1 year	1 - 2 years	2 - 3 years	More than 3 years	Total	Less than 1 year	1 - 2 years	2 - 3 years	More than 3 years	Total
Projects in Progress	870.57	149.72	25.69	31.99	1077.97	803.32	172.34	61.25	30.88	1067.79
Projects temporarily suspended	–	–	–	–	–	–	–	–	–	–
TOTAL	870.57	149.72	25.69	31.99	1077.97	803.32	172.34	61.25	30.88	1067.79

Intangible assets under development (IAUD) ageing schedule

(₹ in Crores)

Particulars	As at 31st March, 2024					As at 31st March, 2025				
	Amount in IAUD for a period of					Amount in IAUD for a period of				
	Less than 1 year	1 - 2 years	2 - 3 years	More than 3 years	Total	Less than 1 year	1 - 2 years	2 - 3 years	More than 3 years	Total
Projects in Progress	7.62	1.45	–	–	9.07	2.34	0.57	–	–	2.91
Projects temporarily suspended	–	–	–	–	–	–	–	–	–	–
TOTAL	7.62	1.45	–	–	9.07	2.34	0.57	–	–	2.91

Note: There are no projects in CWIP and IAUD, which are overdue or have exceeded their cost compared to their original plan as at 31st March, 2025 and 31st March, 2024.

Notes to the Standalone Financial Statements

	Face Value ₹ (Fully Paid unless stated otherwise)	As at 31st March, 2025		As at 31st March, 2024	
		Number	(₹ in Crores)	Number	(₹ in Crores)
4. Non-current Investments					
INVESTMENT IN EQUITY INSTRUMENTS					
In Subsidiaries (at cost)					
Unquoted					
Gold Flake Corporation Limited	10	1,59,98,385	16.00	1,59,98,385	16.00
Russell Credit Limited					
Fully paid	10	59,74,54,177	619.29	59,74,54,177	619.29
₹ 6.50 per share paid	10	7,54,22,400	39.22	7,54,22,400	39.22
ITC Infotech India Limited	10	9,08,50,000	1014.50	8,80,00,000	616.18
Landbase India Limited^	10	—	—	31,70,00,000	325.57
Surya Nepal Private Limited (Ordinary Shares)	Nepalese Rupee (NRS) 50	2,37,88,800	10.15	2,37,88,800	10.15
Srinivasa Resorts Limited^	10	—	—	1,63,20,477	18.53
Fortune Park Hotels Limited^	10	—	—	4,50,008	0.45
Bay Islands Hotels Limited^	100	—	—	11,875	0.12
WelcomHotels Lanka (Private) Limited^	No par value	—	—	66,58,32,260	1952.35
Wimco Limited	1	18,50,81,193	3.50	18,50,81,193	3.50
Technico Pty Limited (Ordinary Shares) (₹ 16.29 Crores impaired)	No par value	1,00,15,502	31.88	1,00,15,502	31.88
Technico Agri Sciences Limited	10	3,79,62,800	121.00	3,79,62,800	121.00
ITC Integrated Business Services Limited	10	75,00,000	7.50	75,00,000	7.50
ITC IndiVision Limited	10	12,00,00,000	120.00	12,00,00,000	120.00
North East Nutrients Private Limited	10	5,54,80,000	55.48	5,54,80,000	55.48
Pavan Poplar Limited (cost ₹ 5.99 Crores, fully impaired)	10	55,10,004	—	55,10,004	—
Prag Agro Farm Limited (cost ₹ 12.82 Crores, fully impaired)	1	1,28,00,020	—	1,28,00,020	—
ITC Fibre Innovations Limited	10	29,00,00,000	290.00	20,00,00,000	200.00
ITC Hotels Limited^	1	—	—	83,00,00,000	83.00
Greenacre Holdings Limited	10	4,20,60,166	42.10	—	—
In Associates (at cost)					
Quoted					
ITC Hotels Limited^	1	83,00,00,000	4298.32	—	—
International Travel House Limited^	10	—	—	39,14,233	21.87
Gujarat Hotels Limited^	10	—	—	17,33,907	1.94
Carried over			6668.94		4244.03

Notes to the Standalone Financial Statements

	Face Value ₹ (Fully Paid unless stated otherwise)	As at 31st March, 2025		As at 31st March, 2024	
		Number	(₹ in Crores)	Number	(₹ in Crores)
4. Non-current Investments (Contd.)					
Brought forward			6668.94		4244.03
INVESTMENT IN EQUITY INSTRUMENTS (Contd.)					
Unquoted					
Delectable Technologies Private Limited [Refer Note 29(xiv)] [₹ 3.60 Crores (2024 - NIL) impaired]	10	2,386	–	2,386	3.60
Mother Sparsh Baby Care Private Limited [Refer Note 29(xiii)]	10	100	0.96	100	0.96
Sproutlife Foods Private Limited [Refer Note 29(vi)(b)]	10	2,443	40.33	2,443	40.33
In Joint Ventures (at cost)					
Unquoted					
Maharaja Heritage Resorts Limited ^A	100	–	–	1,80,000	1.80
Logix Developers Private Limited [Refer Note 29(ix)] [cost ₹ 41.95 Crores, fully impaired]	10	77,66,913	–	77,66,913	–
In Others (at fair value through other comprehensive income unless stated otherwise)					
Quoted					
EIH Limited [Refer Note 29(ii)]	2	10,08,53,602	3565.17	8,56,21,473	3848.69
HLV Limited [Refer Note 29(i)]	2	5,34,13,884	64.20	4,99,53,055	130.13
Tourism Finance Corporation of India Limited	10	25,000	0.42	25,000	0.43
VST Industries Limited	10	5,236	0.14	476	0.17
Unquoted					
Andhra Pradesh Gas Power Corporation Limited	10	8,04,000	–	8,04,000	–
Bihar Hotels Limited	2	8,00,000	0.04	8,00,000	0.04
Woodlands Multispeciality Hospital Limited	10	13,605	0.01	13,605	0.01
Mirage Advertising and Marketing Limited	10	–	–	12,488	–
Blupin Technologies Private Limited (at fair value through profit or loss)	10	400	3.64	400	3.82
INVESTMENT IN PREFERENCE SHARES					
In Subsidiaries (at amortised cost unless stated otherwise)					
Unquoted					
WelcomHotels Lanka (Private) Limited (at cost) ^A (Cumulative Non-Convertible Redeemable Preference Shares)	No par value	–	–	38,33,73,340	1527.42
Carried over			10343.85		9801.43

Notes to the Standalone Financial Statements

	Face Value ₹ (Fully Paid unless stated otherwise)	As at 31st March, 2025		As at 31st March, 2024	
		Number	(₹ in Crores)	Number	(₹ in Crores)
4. Non-current Investments (Contd.)					
Brought forward			10343.85		9801.43
INVESTMENT IN PREFERENCE SHARES (Contd.)					
Wimco Limited (Cumulative Non-Convertible Redeemable Preference Shares)	100	5,00,000	5.00	—	—
ITC IndiVision Limited (Cumulative Non-Convertible Redeemable Preference Shares)	100	2,20,00,000	220.00	2,20,00,000	220.00
In Associates (at cost)					
Unquoted					
Delectable Technologies Private Limited [Refer Note 29(xiv)] (Compulsorily Convertible Cumulative Preference Shares) [₹ 7.40 Crores (2024 - NIL) impaired]	10	7,759	—	7,759	7.40
Mother Sparsh Baby Care Private Limited [Refer Note 29(xiii)] (Compulsorily Convertible Cumulative Preference Shares)	10	3,837	44.04	3,837	44.04
Sproutlife Foods Private Limited [Refer Note 29(vi)(b)] (Compulsorily Convertible Preference Shares)	10	10,984	214.67	9,571	184.67
In Others (at fair value through profit or loss)					
Unquoted					
Blupin Technologies Private Limited (Compulsorily Convertible Cumulative Preference Shares)	100	3,232	29.33	2,980	35.52
INVESTMENT IN GOVERNMENT OR TRUST SECURITIES (at amortised cost)					
Quoted					
Government of India Zero Coupon Government Stock					
Zero Coupon Government Stock - 15-Jun-2025	100	—	—	10,20,000	9.51
Zero Coupon Government Stock - 22-Aug-2025	100	—	—	25,35,000	23.31
Zero Coupon Government Stock - 15-Dec-2025	100	—	—	36,34,800	32.83
Zero Coupon Government Stock - 17-Dec-2025	100	—	—	6,02,300	5.42
Zero Coupon Government Stock - 22-Feb-2026	100	—	—	25,35,000	22.52
Zero Coupon Government Stock - 15-Jun-2026	100	10,20,000	9.47	10,20,000	8.89
Zero Coupon Government Stock - 22-Aug-2026	100	63,54,400	58.14	63,54,400	54.55
Zero Coupon Government Stock - 15-Dec-2026	100	10,20,000	9.15	10,20,000	8.58
Zero Coupon Government Stock - 22-Feb-2027	100	40,11,000	35.44	40,11,000	33.20
Zero Coupon Government Stock - 15-Jun-2027	100	31,17,000	27.01	31,17,000	25.32
Zero Coupon Government Stock - 22-Aug-2027	100	48,54,400	41.37	48,54,400	38.70
Carried over			11037.47		10555.89

Notes to the Standalone Financial Statements

	Face Value ₹ (Fully Paid unless stated otherwise)	As at 31st March, 2025		As at 31st March, 2024	
		Number	(₹ in Crores)	Number	(₹ in Crores)
4. Non-current Investments (Contd.)					
Brought forward			11037.47		10555.89
INVESTMENT IN GOVERNMENT OR TRUST SECURITIES (Contd.)					
Unquoted					
Government Securities - cost ₹ 70000.00			0.01		0.01
National Savings Certificates (pledged with various Mandi Samitis) (cost ₹ 6000.00)			...		...
INVESTMENT IN BONDS IN THE NATURE OF DEBENTURES (at amortised cost)					
Quoted					
Tax Free Bonds - Secured, Redeemable & Non-Convertible					
Housing and Urban Development Corporation Limited					
7.07% - Series B - 01-Oct-2025	10,00,000	—	—	4,300	432.13
7.19% - Series A - 31-Jul-2025	10,00,000	—	—	150	15.18
7.39% - Series 2A - 08-Feb-2031	1,000	7,00,696	70.07	7,00,696	70.07
8.20% - Series 2 - 05-Mar-2027	1,000	5,00,000	51.77	5,00,000	52.62
India Infrastructure Finance Company Limited					
7.36% - Series II - 22-Jan-2028	1,000	3,00,000	31.04	3,00,000	31.38
8.26% - Series V B - 23-Aug-2028	10,00,000	1,175	121.05	1,175	121.96
8.46% - Series VI B - 30-Aug-2028	10,00,000	1,300	135.79	1,300	137.27
8.48% - Series VII B - 05-Sep-2028	10,00,000	1,780	184.24	1,780	185.83
Indian Railway Finance Corporation Limited					
7.07% - Series 102 - 21-Dec-2025	1,000	—	—	70,498	7.13
7.15% - Series 100 - 21-Aug-2025	10,00,000	—	—	250	25.28
7.19% - Series 99 - 31-Jul-2025	10,00,000	—	—	2,250	225.26
7.34% - Series 86A - 19-Feb-2028	1,000	1,00,000	10.39	1,00,000	10.51
8.48% - Series 89A - 21-Nov-2028	10,00,000	1,250	129.22	1,250	130.20
8.55% - Series 94A - 12-Feb-2029	10,00,000	130	13.49	130	13.60
National Bank for Agriculture and Rural Development					
7.07% - Series 1A - 25-Feb-2026	10,00,000	—	—	2,000	203.14
Carried over			11784.54		12217.46

Notes to the Standalone Financial Statements

	Face Value ₹ (Fully Paid unless stated otherwise)	As at 31st March, 2025		As at 31st March, 2024	
		Number	(₹ in Crores)	Number	(₹ in Crores)
4. Non-current Investments (Contd.)					
Brought forward			11784.54		12217.46
INVESTMENT IN BONDS IN THE NATURE OF DEBENTURES (Contd.)					
National Highways Authority of India					
7.11% - Series NHAI - II A - 18-Sep-2025	10,00,000	—	—	2,600	260.23
7.14% - Series I A - 11-Jan-2026	1,000	—	—	8,06,381	81.19
7.28% - Series NHAI - II B - 18-Sep-2030	10,00,000	2,500	250.00	2,500	250.00
7.35% - Series II A - 11-Jan-2031	1,000	17,49,943	180.62	17,49,943	181.40
8.50% - Series II A - 05-Feb-2029	1,000	5,00,000	53.87	5,00,000	54.74
8.75% - Series II B - 05-Feb-2029	1,000	2,50,000	27.26	2,50,000	27.77
National Housing Bank					
8.46% - Series V - 30-Aug-2028	10,00,000	800	82.44	800	83.07
Power Finance Corporation Limited					
7.16% - Series 136 - 17-Jul-2025	10,00,000	—	—	600	60.63
8.46% - Series 107B - 30-Aug-2028	10,00,000	500	51.53	500	51.92
8.54% - Series 2A - 16-Nov-2028	1,000	3,50,000	38.00	3,50,000	38.73
REC Limited					
7.17% - Series 5A - 23-Jul-2025	10,00,000	—	—	850	85.88
8.46% - Series 3B - 29-Aug-2028	10,00,000	1,190	124.54	1,190	125.96
8.46% - Series 2A - 24-Sep-2028	1,000	3,50,000	37.81	3,50,000	38.52
8.54% - Series 4B - 11-Oct-2028	10,00,000	50	5.17	50	5.21
Taxable Bonds - Unsecured, Redeemable & Non-Convertible					
National Bank for Agriculture and Rural Development					
7.49% - Series 24 B - 15-Oct-2026	1,00,000	10,000	99.36	10,000	99.06
7.62% - Series 23 I - 31-Jan-2028	1,00,000	19,000	189.02	19,000	188.72
7.62% - Series 24 H - 10-May-2029	1,00,000	20,000	199.89	20,000	200.00
8.22% - Series PMAYG-PB-2 - 13-Dec-2028	10,00,000	1,550	157.83	1,550	158.48
Carried over			13281.88		14208.97

Notes to the Standalone Financial Statements

	Face Value ₹ (Fully Paid unless stated otherwise)	As at 31st March, 2025		As at 31st March, 2024	
		Number	(₹ in Crores)	Number	(₹ in Crores)
4. Non-current Investments (Contd.)					
Brought forward			13281.88		14208.97
INVESTMENT IN BONDS IN THE NATURE OF DEBENTURES (Contd.)					
Small Industries Development Bank of India					
7.43% - Series I - 31-Aug-2026	1,00,000	5,000	49.68	5,000	49.50
7.44% - Series II - 04-Sep-2026	1,00,000	5,000	49.69	5,000	49.52
7.68% - Series IX - 10-Aug-2027	1,00,000	30,000	299.92	30,000	299.99
7.79% - Series IV - 19-Apr-2027	1,00,000	30,000	300.15	30,000	299.90
7.79% - Series VI - 14-May-2027	1,00,000	25,000	249.82	25,000	249.86
7.83% - Series V - 24-Nov-2028	1,00,000	40,500	404.89	40,500	404.91
Perpetual Bonds - Unsecured, Subordinated & Non-Convertible[#]					
State Bank of India					
7.72% - Series I (with first Call option 03-Sep-2026)	1,00,00,000	313	313.00	313	313.00
7.72% - Series II (with first Call option 18-Oct-2026)	1,00,00,000	400	400.00	400	400.00
Zero Coupon Bonds - Secured, Redeemable & Non-Convertible					
LIC Housing Finance Limited					
Tranche 416 - 25-Apr-2025	10,00,000	—	—	10,000	1144.67
INVESTMENT IN DEBT MUTUAL FUNDS					
Quoted					
Fixed Maturity Plans (at amortised cost)*					
Aditya Birla Sun Life Mutual Fund	10	2,19,98,900	26.37	2,19,98,900	24.84
DSP Mutual Fund	10	4,99,97,500	58.99	4,99,97,500	55.04
Nippon India Mutual Fund	10	1,49,99,250	18.20	1,49,99,250	17.09
SBI Mutual Fund	10	21,19,89,401	255.96	23,69,88,151	269.91
Exchange Traded Funds (at fair value through other comprehensive income) **					
Axis Mutual Fund	1	5,50,00,000	68.84	13,25,00,000	154.00
Edelweiss Mutual Fund	1,000	—	—	33,03,209	395.25
Nippon India Mutual Fund	10	12,84,26,359	915.01	6,50,00,000	778.38
Carried over			16692.40		19114.83

Notes to the Standalone Financial Statements

	Face Value ₹ (Fully Paid unless stated otherwise)	As at 31st March, 2025		As at 31st March, 2024	
		Number	(₹ in Crores)	Number	(₹ in Crores)
4. Non-current Investments (Contd.)					
Brought forward			16692.40		19114.83
INVESTMENT IN DEBT MUTUAL FUNDS (Contd.)					
Unquoted					
Target Maturity Index Funds (at fair value through other comprehensive income) **					
Aditya Birla Sun Life Mutual Fund	10	86,52,07,440	1050.21	84,29,49,728	945.75
Axis Mutual Fund	10	12,39,16,078	148.99	16,74,27,323	185.66
Bandhan Mutual Fund	10	4,24,53,511	54.21	—	—
DSP Mutual Fund	10	4,76,41,228	58.00	4,76,41,228	53.08
HDFC Mutual Fund	10	2,24,75,231	27.62	—	—
ICICI Prudential Mutual Fund	10	64,66,52,376	786.80	54,91,10,334	615.29
Kotak Mahindra Mutual Fund	10	59,85,34,837	728.62	59,85,34,837	669.83
Nippon India Mutual Fund	10	28,00,48,239	334.51	24,38,33,990	269.43
SBI Mutual Fund	10	56,98,58,756	687.00	75,82,85,035	846.11
INVESTMENT IN ALTERNATIVE INVESTMENT FUNDS (at fair value through profit or loss)					
Unquoted					
Chiratae Ventures India Fund IV	1,00,000	1,421	20.53	1,279	18.74
Fireside Ventures Investments Fund I	1,00,000	1,182	37.61	1,289	42.29
Fireside Ventures Investments Fund II	1,000	1,87,606	31.10	1,79,000	28.37
Fireside Ventures Investments Fund III	1,00,000	1,000	9.49	560	4.42
India Foundation Fund Series I	100	8,39,020	8.37	4,73,457	4.80
Roots Ventures I	100	9,36,923	21.86	9,63,113	23.34
Avaana Sustainability Fund	1,000	41,178	3.85	—	—
Aggregate amount of quoted investments			13763.75		12824.99
Aggregate amount of unquoted investments			6937.42		9996.95
Total			20701.17		22821.94

Aggregate market value of quoted investments ₹ 25924.28 Crores (2024 - ₹ 12915.49 Crores).

Aggregate amount of impairment in value of investments ₹ 88.05 Crores (2024 - ₹ 77.05 Crores).

[^] Also refer Note 29(x)

[#] Additional Tier 1 bonds, which are perpetual in nature, are issued by commercial banks under the Reserve Bank of India guidelines. These have been classified as debt instruments by the Company based on the substantive characteristics of the contract.

^{*} Investments in Fixed Maturity Plans (FMPs) that are intended to be held by the Company till maturity are classified as amortised cost. The underlying instruments in the portfolio of these FMPs have minimal churn and are held to receive contractual cash flows.

^{**} Exchange Traded/Target Maturity Index Funds follow a passive buy and hold investment strategy to receive contractual cash flows except for meeting redemption and rebalancing requirements. Investment in such funds are classified as FVTOCI as cash flows from these investments are realised on maturity or upon sale.

Notes to the Standalone Financial Statements

	As at 31st March, 2025 (₹ in Crores)		As at 31st March, 2024 (₹ in Crores)	
	Current	Non-Current	Current	Non-Current
5. Loans				
Other Loans - Employees				
– Unsecured, considered good	8.96	6.28	9.10	2.63
TOTAL	8.96	6.28	9.10	2.63
6. Other Financial Assets				
Security Deposits *	21.89	22.42	28.49	72.59
Bank deposits with more than 12 months maturity	–	1250.00	–	300.00
Others				
Deposits other than Security Deposits	451.92	250.48	8.16	0.29
Interest accrued on Loans, Deposits, Investments etc.	277.70	–	403.25	–
Other Receivables **	509.69	–	409.96	–
TOTAL	1261.20	1522.90	849.86	372.88

* Include deposits to Directors and Key Management Personnel ₹ 0.01 Crore (2024 - ₹ 0.01 Crore) (Refer Note 31).

** Comprise receivables on account of government grants, claims, rentals, derivatives etc.

Notes to the Standalone Financial Statements

	As at 31st March, 2025 (₹ in Crores)		As at 31st March, 2024 (₹ in Crores)	
	Current	Non-Current	Current	Non-Current
7. Other Assets				
Capital Advances	—	68.33	—	194.32
Advances other than capital advances				
Security Deposits				
— With Statutory Authorities	0.48	702.34	0.71	790.91
— Others	6.26	117.60	0.97	162.10
Advances to related parties (Refer Note 31)	—	—	21.30	—
Other Advances (including advances with statutory authorities, prepaid expenses, employees etc.)	885.31	75.46	965.13	81.89
Other Receivables *	151.66	—	146.07	—
TOTAL	1043.71	963.73	1134.18	1229.22

* Comprise receivables on account of government grants, withholding taxes etc.

	As at 31st March, 2025 (₹ in Crores)	As at 31st March, 2024 (₹ in Crores)
8. Inventories *		
(At lower of cost and net realisable value)		
Raw materials (including packing materials)	10265.38	8494.87
Work-in-progress	405.30	322.10
Finished goods (manufactured)	2363.72	2115.45
Stock-in-trade (goods purchased for resale)	1277.45	979.40
Stores and spares	644.84	623.96
Intermediates - Tissue paper and Paperboards	104.32	95.73
TOTAL	15061.01	12631.51

The above includes goods in transit as under:

Raw materials (including packing materials)	255.00	159.15
Stock-in-trade (goods purchased for resale)	8.36	2.89
Stores and spares	3.03	2.05
TOTAL	266.39	164.09

The cost of inventories recognised as an expense includes ₹ 224.54 Crores (2024 - ₹ 151.49 Crores) in respect of write-offs/write-downs of inventory to net realisable value. During the year, reversal of previous write-downs of ₹ 1.31 Crores (2024 - ₹ 1.87 Crores) have been made owing to subsequent increase in net realisable value.

Inventories of ₹ 886.65 Crores (2024 - ₹ 670.06 Crores) are expected to be recovered after more than twelve months.

* Cash credit facilities are secured by hypothecation of inventories of the Company, both present and future. The quarterly returns/statements filed by the Company with the bank(s) in respect of such facilities are in agreement with the books of accounts.

Notes to the Standalone Financial Statements

	Face Value ₹ (Fully Paid unless stated otherwise)	As at 31st March, 2025		As at 31st March, 2024	
		Number	(₹ in Crores)	Number	(₹ in Crores)
9. Current Investments (at fair value through profit or loss, unless stated otherwise)					
INVESTMENT IN BONDS IN THE NATURE OF DEBENTURES					
Quoted					
Taxable Bonds - Unsecured, Redeemable & Non-Convertible					
National Bank for Agriculture and Rural Development					
5.70% - Series 22 D - 31-Jul-2025	10,00,000	2,800	275.19	—	—
7.25% - Series 23 C - 01-Aug-2025	10,00,000	1,000	98.75	—	—
7.35% - Series 23 B - 08-Jul-2025	10,00,000	150	14.85	—	—
Small Industries Development Bank of India					
7.15% - Series II - 21-Jul-2025	10,00,000	250	24.71	—	—
7.25% - Series III - 31-Jul-2025	10,00,000	750	74.07	—	—
INVESTMENT IN CERTIFICATES OF DEPOSIT					
Unquoted					
Axis Bank Limited - 18-Jul-2024	5,00,000	—	—	42,000	2039.00
Axis Bank Limited - 16-Jul-2025	5,00,000	10,000	484.63	—	—
Axis Bank Limited - 17-Oct-2025	5,00,000	5,000	235.90	—	—
Axis Bank Limited - 18-Nov-2025	5,00,000	5,000	233.82	—	—
HDFC Bank Limited - 18-Jul-2024	5,00,000	—	—	10,000	485.47
HDFC Bank Limited - 25-Jul-2025	5,00,000	3,000	145.04	—	—
INVESTMENT IN DEBT MUTUAL FUNDS					
Quoted					
Exchange Traded Funds					
Nippon India Mutual Fund	10	—	—	58,69,560	70.52
Unquoted					
Liquid/Overnight Funds					
LIC Mutual Fund	1,000	—	—	2,31,584	100.18
Carried over			1586.96		2695.17

Notes to the Standalone Financial Statements

	Face Value ₹ (Fully Paid unless stated otherwise)	As at 31st March, 2025		As at 31st March, 2024	
		Number	(₹ in Crores)	Number	(₹ in Crores)
9. Current Investments (at fair value through profit or loss, unless stated otherwise) (Contd.)					
Brought forward			1586.96		2695.17
INVESTMENT IN DEBT MUTUAL FUNDS (Contd.)					
Ultra Short Term Funds					
Aditya Birla Sun Life Mutual Fund	100	1,86,63,673	1015.34	1,86,63,673	940.65
ICICI Prudential Mutual Fund	10	1,74,13,815	51.09	—	—
Kotak Mahindra Mutual Fund	10	23,75,47,122	1036.62	23,75,47,122	963.52
SBI Mutual Fund	1,000	2,47,159	147.37	2,47,159	136.90
Low Duration Funds					
Aditya Birla Sun Life Mutual Fund	100	87,701	6.24	87,701	5.78
Axis Mutual Fund	1,000	14,17,525	449.84	14,17,525	416.27
Bandhan Mutual Fund	10	7,34,11,386	284.06	7,34,11,386	263.71
DSP Mutual Fund	10	17,22,63,805	334.81	17,22,63,805	311.47
ICICI Prudential Mutual Fund	100	1,40,07,103	755.44	1,40,07,103	699.32
Kotak Mahindra Mutual Fund	1,000	1,44,778	51.61	—	—
Nippon India Mutual Fund	1,000	2,65,846	103.23	—	—
SBI Mutual Fund	1,000	21,18,791	753.41	19,73,814	650.49
Money Market Funds					
Aditya Birla Sun Life Mutual Fund	100	40,95,539	150.50	40,95,539	139.49
Axis Mutual Fund	1,000	20,57,053	291.12	20,57,053	269.73
Bandhan Mutual Fund	10	4,22,87,680	180.89	4,22,87,680	167.70
DSP Mutual Fund	10	28,79,974	15.33	—	—
HDFC Mutual Fund	1,000	7,47,666	427.20	7,47,666	396.04
Kotak Mahindra Mutual Fund	1,000	6,53,754	290.46	6,53,754	269.36
Nippon India Mutual Fund	1,000	6,60,345	272.04	6,60,345	252.20
SBI Mutual Fund	10	6,33,58,708	276.12	6,33,58,708	256.09
UTI Mutual Fund	1,000	84,377	25.81	—	—
Carried over			8505.49		8833.89

Notes to the Standalone Financial Statements

	Face Value ₹ (Fully Paid unless stated otherwise)	As at 31st March, 2025		As at 31st March, 2024	
		Number	(₹ in Crores)	Number	(₹ in Crores)
9. Current Investments (at fair value through profit or loss, unless stated otherwise) (Contd.)					
Brought forward			8505.49		8833.89
INVESTMENT IN DEBT MUTUAL FUNDS (Contd.)					
Floating Rate Funds					
Aditya Birla Sun Life Mutual Fund	100	1,94,01,569	678.34	1,94,01,569	627.15
HDFC Mutual Fund	10	10,07,90,662	501.54	10,07,90,662	461.93
Nippon India Mutual Fund	10	6,22,64,756	288.73	6,22,64,756	265.83
Short Duration Funds					
Aditya Birla Sun Life Mutual Fund	10	82,38,313	41.40	—	—
DSP Mutual Fund	10	2,31,36,440	114.32	2,31,36,440	105.31
Kotak Mahindra Mutual Fund	10	1,94,81,292	109.13	1,02,55,708	52.81
Nippon India Mutual Fund	10	1,95,36,507	109.27	1,02,78,225	52.81
SBI Mutual Fund	10	5,40,50,081	179.96	5,40,50,081	165.74
Banking & PSU Debt Funds					
Axis Mutual Fund	1,000	31,86,227	833.77	31,86,227	770.87
Bandhan Mutual Fund	10	14,17,61,931	341.56	14,17,61,931	316.53
Corporate Bond Funds					
HDFC Mutual Fund	10	1,58,86,798	51.67	—	—
ICICI Prudential Mutual Fund	10	4,30,40,789	131.43	4,30,40,789	121.08
Kotak Mahindra Mutual Fund	1,000	2,98,810	114.92	2,98,810	105.58
SBI Mutual Fund	10	6,63,37,836	103.48	—	—
Current Portion of Non-current Investments					
INVESTMENT IN PREFERENCE SHARES					
In Subsidiaries (at amortised cost)					
Unquoted					
Wimco Limited (Cumulative Non-Convertible Redeemable Preference Shares)	100	—	—	5,00,000	5.00
Carried over			12105.01		11884.53

Notes to the Standalone Financial Statements

	Face Value ₹ (Fully Paid unless stated otherwise)	As at 31st March, 2025		As at 31st March, 2024	
		Number	(₹ in Crores)	Number	(₹ in Crores)
9. Current Investments (at fair value through profit or loss, unless stated otherwise) (Contd.)					
Brought forward			12105.01		11884.53
INVESTMENT IN GOVERNMENT OR TRUST SECURITIES (at amortised cost)					
Quoted					
Government of India Zero Coupon Government Stock					
Zero Coupon Government Stock - 22-Feb-2025	100	—	—	34,00,000	32.35
Zero Coupon Government Stock - 15-Jun-2025	100	10,20,000	10.08	—	—
Zero Coupon Government Stock - 22-Aug-2025	100	25,35,000	24.75	—	—
Zero Coupon Government Stock - 15-Dec-2025	100	36,34,800	34.84	—	—
Zero Coupon Government Stock - 17-Dec-2025	100	6,02,300	5.77	—	—
Zero Coupon Government Stock - 22-Feb-2026	100	25,35,000	23.97	—	—
INVESTMENT IN BONDS IN THE NATURE OF DEBENTURES (at amortised cost)					
Quoted					
Tax Free Bonds - Secured, Redeemable & Non-Convertible					
Housing and Urban Development Corporation Limited					
7.07% - Series B - 01-Oct-2025	10,00,000	4,300	430.54	—	—
7.19% - Series A - 31-Jul-2025	10,00,000	150	15.04	—	—
Indian Railway Finance Corporation Limited					
7.07% - Series 102 - 21-Dec-2025	1,000	70,498	7.08	—	—
7.15% - Series 100 - 21-Aug-2025	10,00,000	250	25.09	—	—
7.19% - Series 99 - 31-Jul-2025	10,00,000	2,250	225.11	—	—
National Bank for Agriculture and Rural Development					
7.07% - Series 1A - 25-Feb-2026	10,00,000	2,000	201.52	—	—
National Highways Authority of India					
7.11% - Series NHAI - II A - 18-Sep-2025	10,00,000	2,600	260.14	—	—
7.14% - Series I A - 11-Jan-2026	1,000	8,06,381	80.90	—	—
Carried over			13449.84		11916.88

Notes to the Standalone Financial Statements

	Face Value ₹ (Fully Paid unless stated otherwise)	As at 31st March, 2025		As at 31st March, 2024	
		Number	(₹ in Crores)	Number	(₹ in Crores)
9. Current Investments (at fair value through profit or loss, unless stated otherwise) (Contd.)					
Brought forward			13449.84		11916.88
INVESTMENT IN BONDS IN THE NATURE OF DEBENTURES (Contd.)					
Power Finance Corporation Limited					
7.16% - Series 136 - 17-Jul-2025	10,00,000	600	60.12	—	—
REC Limited					
7.17% - Series 5A - 23-Jul-2025	10,00,000	850	85.21	—	—
Zero Coupon Bonds - Secured, Redeemable & Non-Convertible					
LIC Housing Finance Limited					
Tranche 416 - 25-Apr-2025	10,00,000	10,000	1211.85	—	—
INVESTMENT IN DEBT MUTUAL FUNDS					
Quoted					
Fixed Maturity Plans (at amortised cost)*					
SBI Mutual Fund	10	2,49,98,750	29.58	—	—
Exchange Traded Funds (at fair value through other comprehensive income) **					
Edelweiss Mutual Fund	1,000	33,03,209	425.60	—	—
Unquoted					
Target Maturity Index Funds (at fair value through other comprehensive income) **					
Axis Mutual Fund	10	1,98,53,868	23.71	—	—
Aggregate amount of quoted Investments			3644.76		102.87
Aggregate amount of unquoted Investments			11641.15		11814.01
Total			15285.91		11916.88

Aggregate market value of quoted Investments ₹ 3648.50 Crores (2024 - ₹ 102.50 Crores).

* Investments in Fixed Maturity Plans (FMPs) that are intended to be held by the Company till maturity are classified as amortised cost. The underlying instruments in the portfolio of these FMPs have minimal churn and are held to receive contractual cash flows.

** Exchange Traded / Target Maturity Index Funds follow a passive buy and hold investment strategy to receive contractual cash flows except for meeting redemption and rebalancing requirements. Investment in such funds are classified as FVTOCI as cash flows from these investments are realised on maturity or upon sale.

Notes to the Standalone Financial Statements

	As at 31st March, 2025 (₹ in Crores)	As at 31st March, 2024 (₹ in Crores)
10. Trade receivables (Current)		
Considered good – Secured	50.90	51.44
Considered good – Unsecured	3859.87	3260.01
Which have significant increase in Credit Risk	–	–
Credit impaired	154.36	161.19
Less: Allowance for credit impairment [Refer Note 32]	154.36	161.19
TOTAL	3910.77	3311.45

Trade receivables ageing schedule

(₹ in Crores)

Not Due	Outstanding for following periods from due date of payment as at 31st March, 2025					Total
	Less than 6 months	6 months- 1 year	1-2 years	2-3 years	More than 3 years	
Undisputed Trade Receivables – considered good	1609.82	2292.71	7.70	0.54	–	3910.77
Undisputed Trade Receivables – which have significant increase in credit risk	–	–	–	–	–	–
Undisputed Trade Receivables – credit impaired	–	0.25	3.36	12.81	0.16	47.76
Disputed Trade Receivables – considered good	–	–	–	–	–	–
Disputed Trade Receivables – which have significant increase in credit risk	–	–	–	–	–	–
Disputed Trade Receivables – credit impaired	–	0.38	3.20	2.40	2.68	106.60
SUB-TOTAL	1609.82	2293.34	14.26	15.75	2.84	4065.13
Less: Allowance for credit impairment						154.36
TOTAL						3910.77

(₹ in Crores)

Not Due	Outstanding for following periods from due date of payment as at 31st March, 2024					Total
	Less than 6 months	6 months- 1 year	1-2 years	2-3 years	More than 3 years	
Undisputed Trade Receivables – considered good	1405.64	1862.76	37.83	5.22	–	3311.45
Undisputed Trade Receivables – which have significant increase in credit risk	–	–	–	–	–	–
Undisputed Trade Receivables – credit impaired	–	0.13	5.24	1.29	1.28	43.80
Disputed Trade Receivables – considered good	–	–	–	–	–	–
Disputed Trade Receivables – which have significant increase in credit risk	–	–	–	–	–	–
Disputed Trade Receivables – credit impaired	–	1.03	3.27	2.98	0.65	117.39
SUB-TOTAL	1405.64	1863.92	46.34	9.49	1.93	3472.64
Less: Allowance for credit impairment						161.19
TOTAL						3311.45

Notes to the Standalone Financial Statements

	As at 31st March, 2025 (₹ in Crores)	As at 31st March, 2024 (₹ in Crores)
11. Cash and cash equivalents[@]		
Balances with Banks		
Current accounts	220.00	192.48
Cheques, drafts on hand	1.08	1.85
Cash on hand	0.98	3.30
TOTAL	222.06	197.63

[@] Cash and cash equivalents include cash on hand, cheques, drafts on hand, cash at bank and deposits with banks with original maturity of 3 months or less.

The Company does not have any cash and cash equivalents that are not available for use.

12. Bank Balances other than cash and cash equivalents		
Earmarked balances *	264.71	268.81
In deposit accounts **	2697.61	5751.25
TOTAL	2962.32	6020.06

* Includes balances towards unpaid dividend, unspent corporate social responsibility.

** Represents deposits with original maturity of more than 3 months having remaining maturity of less than 12 months from the Balance Sheet date.

Notes to the Standalone Financial Statements

	As at 31st March, 2025 (No. of Shares)	As at 31st March, 2025 (₹ in Crores)	As at 31st March, 2024 (No. of Shares)	As at 31st March, 2024 (₹ in Crores)
13. Equity Share capital				
Authorised				
Ordinary Shares of ₹ 1.00 each	20,00,00,00,000	2000.00	20,00,00,00,000	2000.00
Issued and Subscribed				
Ordinary Shares of ₹ 1.00 each, fully paid	12,51,41,19,781	1251.41	12,48,47,21,471	1248.47
A) Reconciliation of number of Ordinary Shares outstanding				
As at beginning of the year	12,48,47,21,471	1248.47	12,42,80,17,741	1242.80
Add: Issue of Shares on exercise of Options	2,93,98,310	2.94	5,67,03,730	5.67
As at end of the year	12,51,41,19,781	1251.41	12,48,47,21,471	1248.47
B) Shareholders holding more than 5% of the Ordinary Shares in the Company				
	As at 31st March, 2025 (No. of Shares)	As at 31st March, 2025 (%)	As at 31st March, 2024 (No. of Shares)	As at 31st March, 2024 (%)
Tobacco Manufacturers (India) Limited	2,54,14,95,863	20.31	2,54,14,95,863	20.36
Life Insurance Corporation of India	1,94,17,50,542	15.52	1,89,68,61,285	15.19
Specified Undertaking of the Unit Trust of India	97,45,31,427	7.79	97,45,31,427	7.81
C) Shareholding of Promoters: Nil				
D) Ordinary Shares allotted as fully paid pursuant to contract(s) without payment being received in cash or as fully paid up Bonus Shares during the period of five years immediately preceding 31st March: Nil				
E) Rights, preferences and restrictions attached to the Ordinary Shares				
The Ordinary Shares of the Company, having par value of ₹ 1.00 per share, rank <i>pari passu</i> in all respects including voting rights and entitlement to dividend.				
F) Shares reserved for issue under Options				
	As at 31st March, 2025 (No. of Shares)		As at 31st March, 2024 (No. of Shares)	
Ordinary Shares of ₹ 1.00 each	7,43,49,690		8,99,46,120	

Terms and Conditions of Options Granted

Each Option entitles the holder thereof to apply for and be allotted ten Ordinary Shares of the Company of ₹ 1.00 each upon payment of the exercise price during the exercise period. The exercise period commences from the date of vesting of the Options and expires at the end of five years from the date of vesting in respect of Options.

The vesting period for conversion of Options is as follows:

On completion of 12 months from the date of grant of the Options : 30% vests

On completion of 24 months from the date of grant of the Options : 30% vests

On completion of 36 months from the date of grant of the Options : 40% vests

The Options have been granted at the 'market price' as defined under the Securities and Exchange Board of India (Share Based Employee Benefits and Sweat Equity) Regulations, 2021.

Further details of ITC Employee Stock Option Schemes are provided in Note 29(xv).

Notes to the Standalone Financial Statements

	As at 31st March, 2025 (₹ in Crores)		As at 31st March, 2024 (₹ in Crores)	
	Current	Non-Current	Current	Non-Current
14. Borrowings				
Unsecured				
Deferred payment liabilities				
Sales tax deferment loans*	1.76	—	1.52	1.76
TOTAL	1.76	—	1.52	1.76

*Interest free deferral period of 14 years and repayable by 2025-26.

The repayment schedule is summarised as under:

	As at 31st March, 2025 (₹ in Crores)	As at 31st March, 2024 (₹ in Crores)
In the first year	1.76	1.52
In the second year	—	1.76
TOTAL	1.76	3.28

	As at 31st March, 2025 (₹ in Crores)		As at 31st March, 2024 (₹ in Crores)	
	Current	Non-Current	Current	Non-Current
15. Lease liabilities*				
Lease liabilities	37.54	117.45	46.74	261.95
TOTAL	37.54	117.45	46.74	261.95

* Refer Note 29(viii)

Movement of Lease liabilities during the year

Particulars	31st March, 2025	31st March, 2024
Opening Lease liabilities	308.69	320.13
New leases recognised	24.29	69.45
Remeasurements and withdrawals	(3.87)	(24.25)
Interest expense on Lease liabilities	21.76	25.84
Payment of Lease liabilities (including interest)	(69.24)	(82.48)
Transferred pursuant to Scheme of demerger [Refer Note 29(x)]	(126.64)	—
Closing Lease liabilities	154.99	308.69

Notes to the Standalone Financial Statements

	As at 31st March, 2025 (₹ in Crores)	As at 31st March, 2024 (₹ in Crores)
16. Other financial liabilities		
Non-current		
Others (Includes payable towards employee benefits, retention money payable towards property, plant and equipment etc.)	87.89	109.87
TOTAL	87.89	109.87
Current		
Interest accrued	1.92	2.01
Unpaid dividend*	259.28	251.19
Unpaid matured deposits and interest accrued thereon	...	...
Unpaid matured debentures/bonds and interest accrued thereon**	0.30	0.30
Others (Includes payable towards employee benefits, property, plant and equipment, derivatives, contingent consideration on business combination etc.)	1187.19	1405.83
TOTAL	1448.69	1659.33

* Represents dividend amounts either not claimed or kept in abeyance in accordance with Section 126 of the Companies Act, 2013 or such amounts in respect of which Prohibitory/Attachment Orders are on record with the Company.

** Represents amounts which are subject matter of a pending legal dispute with a bank for which the Company has filed a suit.

	As at 31st March, 2025 (₹ in Crores)		As at 31st March, 2024 (₹ in Crores)	
	Current	Non-Current	Current	Non-Current
17. Provisions				
Provision for employee benefits				
Retirement benefits [Refer Note 29(vii)]	42.29	148.04	60.70	148.79
Other benefits	4.24	77.19	8.02	72.66
TOTAL	46.53	225.23	68.72	221.45

Notes to the Standalone Financial Statements

	As at 31st March, 2025 (₹ in Crores)	As at 31st March, 2024 (₹ in Crores)
18. Deferred tax liabilities (Net)		
Deferred tax liabilities	3053.77	2618.85
Less: Deferred tax assets	497.42	535.19
TOTAL	2556.35	2083.66

(₹ in Crores)

Movement in deferred tax liabilities/assets balances	Opening Balance	Recognised in profit or loss*	Recognised in OCI	Recognised directly in Equity	Reclassified to profit or loss	Transferred pursuant to Scheme of Demerger®	Closing Balance
2024-25							
Deferred tax liabilities/assets in relation to:							
On fiscal allowances on property, plant and equipment, investment property etc.	1843.74	97.91	—	—	—	(439.69)	1501.96
On Excise Duty/National Calamity Contingent Duty on closing stock	100.61	(7.91)	—	—	—	—	92.70
On cash flow hedges	0.43	—	(4.85)	0.05	2.84	—	(1.53)
Other timing differences	674.07	882.80	(67.56)	—	(0.75)	(27.92)	1460.64
Total deferred tax liabilities	2618.85	972.80	(72.41)	0.05	2.09	(467.61)	3053.77
On employees' separation and retirement etc.	121.53	(16.35)	3.75	—	—	(14.98)	93.95
On provision for doubtful debts/advances	57.10	(2.12)	—	—	—	(0.86)	54.12
On State and Central taxes etc.	73.25	15.81	—	—	—	(10.16)	78.90
Other timing differences	283.31	19.01	—	—	—	(31.87)	270.45
Total deferred tax assets	535.19	16.35	3.75	—	—	(57.87)	497.42
Deferred tax liabilities (Net)	2083.66	956.45	(76.16)	0.05	2.09	(409.74)	2556.35
2023-24							
Deferred tax liabilities/assets in relation to:							
On fiscal allowances on property, plant and equipment, investment property etc.	1721.61	122.13	—	—	—	—	1843.74
On Excise Duty/National Calamity Contingent Duty on closing stock	117.93	(17.32)	—	—	—	—	100.61
On cash flow hedges	0.84	—	(2.49)	(2.74)	4.82	—	0.43
Other timing differences	306.59	125.83	241.65	—	—	—	674.07
Total deferred tax liabilities	2146.97	230.64	239.16	(2.74)	4.82	—	2618.85
On employees' separation and retirement etc.	132.63	(22.40)	11.30	—	—	—	121.53
On provision for doubtful debts/advances	52.48	4.62	—	—	—	—	57.10
On State and Central taxes etc.	70.07	3.18	—	—	—	—	73.25
Other timing differences	270.66	12.65	—	—	—	—	283.31
Total deferred tax assets	525.84	(1.95)	11.30	—	—	—	535.19
Deferred tax liabilities (Net)	1621.13	232.59	227.86	(2.74)	4.82	—	2083.66

* includes ₹ 509.65 Crores (2024 - ₹ 27.61 Crores) relating to discontinued operations.

@ Refer Note 29(x)

Notes to the Standalone Financial Statements

	As at 31st March, 2025 (₹ in Crores)	As at 31st March, 2024 (₹ in Crores)
19. Trade Payables (Current)		
Total outstanding dues of Micro and Small Enterprises	178.24	206.85
Total outstanding dues of creditors other than Micro and Small Enterprises	4311.58	4282.70
TOTAL	4489.82	4489.55

Trade Payables ageing schedule

(₹ in Crores)

Not Due	Outstanding for following periods from due date of payment as at 31st March, 2025				Total
	Less than 1 year	1-2 years	2-3 years	More than 3 years	
Undisputed Dues – Micro and Small Enterprises	57.67	–	–	–	57.67
Undisputed Dues – Others	844.49	167.23	0.05	1.61	1013.38
Disputed Dues – Micro and Small Enterprises	–	–	–	–	–
Disputed Dues – Others	–	–	–	0.28	0.28
SUB-TOTAL	902.16	167.23	0.05	0.28	1071.33
Accrued Payables (not due)					
– Micro and Small Enterprises					120.57
– Others					3297.92
TOTAL					4489.82

(₹ in Crores)

Not Due	Outstanding for following periods from due date of payment as at 31st March, 2024				Total
	Less than 1 year	1-2 years	2-3 years	More than 3 years	
Undisputed Dues – Micro and Small Enterprises	31.86	–	–	–	31.86
Undisputed Dues – Others	639.77	26.35	1.69	–	667.81
Disputed Dues – Micro and Small Enterprises	–	–	–	–	–
Disputed Dues – Others	–	–	–	0.28	0.28
SUB-TOTAL	671.63	26.35	1.69	0.28	699.95
Accrued Payables (not due)					
– Micro and Small Enterprises					174.99
– Others					3614.61
TOTAL					4489.55

Notes to the Standalone Financial Statements

19. Trade Payables (Current) (Contd.)

Disclosure under the Micro, Small and Medium Enterprises Development Act, 2006 (MSMED Act, 2006)

There are no Micro and Small Enterprises to whom the Company owes dues, which are outstanding for more than 45 days during the year and also as at 31st March, 2025. This information as required to be disclosed under the MSMED Act, 2006 has been determined to the extent such parties have been identified on the basis of information available with the Company.

		(₹ in Crores)	
		31st March, 2025	31st March, 2024
(a)	Principal amount remaining unpaid to any supplier as at the end of the accounting year		
	– On account of trade payables	178.24	206.85
	– On account of liabilities other than trade payables	19.85	36.41
	TOTAL	198.09	243.26
(b)	Interest due thereon remaining unpaid to any supplier as at the end of the accounting year	–	–
(c)	Amount of interest paid under MSMED Act, 2006 along with the amounts of the payment made to the supplier beyond the appointed day during the accounting year	–	–
(d)	Amount of interest due and payable for the period of delay in making payment (which has been paid but beyond the appointed day during the year but without adding the interest specified under the MSMED Act, 2006)	–	–
(e)	Amount of interest accrued and remaining unpaid at the end of accounting year	–	–
(f)	Amount of further interest remaining due and payable even in the succeeding year, until such date when the interest dues as above are actually paid to the small enterprise	–	–

20. Other liabilities (Current)

	As at 31st March, 2025 (₹ in Crores)	As at 31st March, 2024 (₹ in Crores)
Statutory Liabilities	4688.79	4398.88
Advances received from customers	1357.07	828.69
Others (includes deferred revenue, accruals etc.)	24.16	162.18
TOTAL	6070.02	5389.75

Notes to the Standalone Financial Statements

	As at 31st March, 2025 (₹ in Crores)	As at 31st March, 2024 (₹ in Crores)
21. Current Tax Liabilities (Net)		
Current taxation (net of advance payment)	1027.78	760.00
TOTAL	1027.78	760.00

	For the year ended 31st March, 2025 (₹ in Crores)	For the year ended 31st March, 2024 (₹ in Crores)
22A. Revenue from operations		
Sale of Products	73290.34	66506.84
Sale of Services	174.21	150.20
Gross Revenue from sale of products and services* [including Excise Duty/National Calamity Contingent Duty of ₹ 4944.00 Crores (2024 - ₹ 4733.29 Crores)]	73464.55	66657.04
Other Operating Revenues [#]	771.52	635.56
TOTAL	74236.07	67292.60

* Net of sales returns, damaged stocks and estimates of variable consideration such as discounts to customers.

[#] Includes Government grants of ₹ 294.82 Crores (2024 - ₹ 234.71 Crores) on account of Fiscal and Export Incentives etc.

22B. Gross Revenue from sale of products and services*		
FMCG		
– Cigarettes etc.	32631.27	30596.59
– Branded Packaged Food Products	18270.38	17219.23
– Others (Education and Stationery Products, Personal Care Products, Safety Matches, Agarbattis etc.)	3704.90	3739.03
Agri Business		
– Unmanufactured Tobacco	3547.28	2612.06
– Other Agri Products and Commodities (Wheat, Rice, Spices, Coffee, Soya etc.)	8518.36	5810.33
Paperboards, Paper and Packaging		
– Paperboards and Paper	5958.96	5871.71
– Packaging and Printed Materials	667.27	664.25
Others		
– Others (ITC Grand Central Hotel, Mumbai)	166.13	143.84
TOTAL	73464.55	66657.04

* Net of sales returns, damaged stocks and estimates of variable consideration such as discounts to customers.

Notes to the Standalone Financial Statements

	For the year ended 31st March, 2025 (₹ in Crores)	For the year ended 31st March, 2024 (₹ in Crores)
23. Other income		
Interest income	1413.80	1591.68
Dividend income	1016.41	989.22
Other non-operating income	1024.10	948.86
TOTAL	3454.31	3529.76
Interest income:		
a) Deposits with banks etc. - carried at amortised cost	377.40	537.66
b) Financial assets:		
– mandatorily measured at FVTPL	127.53	211.95
– measured at amortised cost	561.33	554.29
– measured at FVTOCI	334.62	287.72
c) Others (from statutory authorities etc.)	12.92	0.06
TOTAL	1413.80	1591.68
Dividend income:		
a) Equity instruments measured at FVTOCI held at the end of reporting period	10.31	9.43
b) Other investments	1006.10	979.79
TOTAL	1016.41	989.22
Other non-operating income:		
Net foreign exchange gain/(loss)	(0.98)	(3.82)
Net gain/(loss) arising on financial instruments measured at amortised cost/fair value through profit or loss/fair value through other comprehensive income (Refer Note 32)*	863.95	781.25
Gain recognised on divestment of shares held in joint venture	–	9.49
Impairment of investment in associate [Refer Note 29(xiv)]	(11.00)	–
Others (including income from leases etc.)	172.13	161.94
TOTAL	1024.10	948.86

* Includes ₹ 125.93 Crores (2024 - ₹ 149.37 Crores) being net gain/(loss) on sale of investments.

Notes to the Standalone Financial Statements

	For the year ended 31st March, 2025 (₹ in Crores)	For the year ended 31st March, 2024 (₹ in Crores)
24. Changes in inventories of finished goods, Stock-in-Trade, work-in-progress and intermediates		
Opening inventories		
Finished goods (manufactured)	2115.45	2063.30
Work-in-progress	322.10	263.47
Stock-in-Trade (goods purchased for resale)	979.40	700.11
Intermediates - Tissue paper and Paperboards	95.73	115.09
Less: Closing inventories		
Finished goods (manufactured)	2363.72	2115.45
Work-in-progress	405.30	322.10
Stock-in-Trade (goods purchased for resale)	1277.45	979.40
Intermediates - Tissue paper and Paperboards	104.32	95.73
Less: Inventory on account of discontinued operations [Refer Note 29(x)]	2.39	(0.62)
TOTAL	(640.50)	(370.09)
25. Employee benefits expense		
Salaries and wages	2873.83	2714.86
Contribution to Provident and other funds	169.65	144.81
Share based payments to employees [Includes cash-settled share based payments ₹ 8.42 Crores (2024 - ₹ 32.06 Crores)]*	140.37	135.16
Staff welfare expenses	275.91	245.82
	3459.76	3240.65
Less: Recoveries made/reimbursements received	43.03	39.72
TOTAL	3416.73	3200.93
* Refer Note 29(xv) and 29(xvi)		
26. Finance costs		
Interest expense:		
– On Lease liabilities	13.27	14.50
– On financial liabilities measured at amortised cost	12.91	8.40
– Others (to statutory authorities etc.)	10.17	11.49
TOTAL	36.35	34.39

Notes to the Standalone Financial Statements

	For the year ended 31st March, 2025 (₹ in Crores)	For the year ended 31st March, 2024 (₹ in Crores)
27. Other expenses		
Power and fuel	942.47	929.54
Consumption of stores and spare parts	390.49	358.90
Contract processing charges	1208.50	1046.72
Rent	273.22	243.28
Rates and taxes	168.13	179.28
Insurance	124.93	115.84
Repairs	395.11	384.53
Maintenance and upkeep	206.70	177.32
Outward freight and handling charges	1891.85	1582.34
Warehousing charges	270.30	244.35
Advertising/Sales promotion	1319.94	1374.19
Corporate Social Responsibility expense [Refer Note 29(iii)]	443.68	388.53
Commission to selling agents etc.	61.01	38.15
Doubtful and bad debts	11.77	9.64
Doubtful and bad advances, loans and deposits	1.87	25.03
Information technology services	351.71	304.34
Travelling and conveyance	325.39	301.14
Training and development	25.68	23.53
Legal and professional fees	223.10	206.01
(Gain)/Loss on sale of property, plant and equipment - Net	(108.26)	(58.86)
Miscellaneous expenses	1618.53	1333.87
TOTAL	10146.12	9207.67
Miscellaneous expenses include:		
(1) Auditors' remuneration and expenses*		
Audit fees	3.80	3.85
Tax audit fees	0.78	0.85
Fees for limited review	1.62	1.62
Fees for other services ¹	0.97	0.43
Reimbursement of expenses	0.26	0.19
(2) Cost auditors' fees	0.12	0.12

* Excluding taxes.

1. (a) Auditors' remuneration excludes remuneration for services amounting to ₹ 1.90 Crores (2024 - ₹ 1.90 Crores) rendered by network firm/entity which is a part of the network of which auditor is a member firm.
- (b) In addition to the above, ₹ 0.15 Crore (2024 - ₹ 0.25 Crore) has been paid to the Statutory Auditors in respect of certification fees relating to demerger of hotels business which are included in discontinued operations [Refer Note 29(x)].

Notes to the Standalone Financial Statements

	For the year ended 31st March, 2025 (₹ in Crores)	For the year ended 31st March, 2024 (₹ in Crores)
28. Income tax expenses		
A (i). Amount recognised in profit or loss relating to continuing operations		
Current tax		
Income tax for the year	6003.26	5993.95
Adjustments/(credits) related to previous years - Net	(13.09)	(477.04)
Total current tax	5990.17	5516.91
Deferred tax		
Deferred tax for the year	441.96	196.38
Adjustments/(credits) related to previous years - Net	4.84	8.60
Total deferred tax	446.80	204.98
TOTAL	6436.97	5721.89
(ii). Amount recognised in profit or loss relating to discontinued operations		
Current tax for the year	122.17	144.30
Deferred tax for the year	509.65	27.61
TOTAL	631.82	171.91
B. Amount recognised in other comprehensive income		
The tax (charge)/credit arising on income and expenses recognised in other comprehensive income is as follows:		
On items that will not be reclassified to profit or loss		
Remeasurements gains/(losses) on defined benefit plans	3.75	5.79
Equity instruments through other comprehensive income	81.65	(237.14)
Related to designated portion of hedging instruments in cash flow hedges	(0.06)	2.63
	85.34	(228.72)
On items that will be reclassified to profit or loss		
Related to designated portion of hedging instruments in cash flow hedges	2.07	(4.96)
Debt instruments through other comprehensive income	(13.34)	(4.51)
	(11.27)	(9.47)
TOTAL	74.07	(238.19)
C. Amount recognised directly in equity		
The income tax (charged)/credited directly to equity during the year is as follows:		
Deferred tax		
Arising on gains/(losses) of hedging instruments in cash flow hedges transferred to the initial carrying amounts of hedged items	0.05	(2.74)
TOTAL	0.05	(2.74)
D. Reconciliation of effective tax rate		
The income tax expense for the year can be reconciled to the accounting profit as follows:		
Profit before tax from continuing operations	26528.82	25632.12
Income tax expense calculated @ 25.168% (2024 - 25.168%)	6676.77	6451.09
Effect of tax relating to uncertain tax positions	41.03	34.90
Effect of different tax rate on certain items	(125.08)	(115.87)
Effect of income not taxable	(56.16)	(64.65)
Other differences	(91.34)	(115.14)
TOTAL	6445.22	6190.33
Adjustments recognised during the year in relation to the current tax of prior years *	(8.25)	(468.44)
Income tax recognised in profit or loss relating to continuing operations	6436.97	5721.89
Profit before tax from discontinued operations	15735.58	683.65
Income tax expense calculated @ 25.168% (2024 - 25.168%)	3960.33	172.06
Effect of excess of fair value over carrying value of net assets distributed (non-cash), pursuant to the Scheme of Demerger	(3930.59)	—
Effect of addition to the value of investment in ITCHL	602.79	—
Other differences	(0.71)	(0.15)
Income tax recognised in profit or loss relating to discontinued operations	631.82	171.91

The tax rate of 25.168% (22% + surcharge @10% and cess @4%) used for the year 2024-25 and 2023-24 is the corporate tax rate applicable on taxable profits under the Income-tax Act, 1961.

* The Company had, in the previous year, reassessed its provisions relating to uncertain tax positions for earlier years based on a favourable order of the Hon'ble Supreme Court received during the previous year. This has resulted in a credit of ₹ 468.44 Crores in the Current Tax expense for the year ended 31st March, 2024.

Notes to the Standalone Financial Statements

29. Additional Notes to the Financial Statements

- (i) The Company on 18th December, 2024 acquired 1,52,32,129 Equity Shares of ₹ 2/- each of EIH Limited and 34,60,829 Equity Shares of ₹ 2/- each of HLV Limited, from Russell Credit Limited, a wholly owned subsidiary of the Company, at their respective book value. The fair value gain of ₹ 527.96 Crores upon acquisition has been disclosed as an 'Exceptional Item'.

(ii) Earnings per share:	2025	2024
Earnings per share has been computed as under:		
(a) i) Profit for the year from continuing operations (₹ in Crores)	20091.85	19910.23
ii) Profit for the year from discontinued operations (₹ in Crores)	15103.76	511.74
iii) Profit for the year (₹ in Crores)	35195.61	20421.97
(b) Weighted average number of Ordinary shares outstanding for the purpose of basic earnings per share	12,50,23,78,226	12,46,10,58,425
(c) Effect of potential Ordinary shares on Employee Stock Options outstanding	1,86,64,293	2,80,92,231
(d) Weighted average number of Ordinary shares in computing diluted earnings per share [(b) + (c)]	12,52,10,42,519	12,48,91,50,656
(e) Earnings per share (Face Value ₹ 1.00 per share)		
For Continuing Operations		
– Basic [(ai)/(b)]	16.07	15.98
– Diluted [(ai)/(d)]	16.05	15.94
For Discontinued Operations		
– Basic [(aii)/(b)]	12.08	0.41
– Diluted [(aii)/(d)]	12.06	0.41
For Continuing and Discontinued Operations		
– Basic [(aiii)/(b)]	28.15	16.39
– Diluted [(aiii)/(d)]	28.11	16.35

- (iii) Amount required to be spent by the Company during the year as per Section 135 read with Section 198 of the Companies Act, 2013 - ₹ 460.70 Crores (2024 - ₹ 403.47 Crores) being 2% of the average Net Profits of the Company.

Expenditure incurred during the year is ₹ 461.50 Crores (2024 - ₹ 404.05 Crores) comprising employee benefits expense of ₹ 17.82 Crores (2024 - ₹ 15.52 Crores) and other expenses of ₹ 443.68 Crores (2024 - ₹ 388.53 Crores), of which ₹ 49.42 Crores (2024 - ₹ 30.60 Crores) is accrued for payment as on 31st March, 2025. Such CSR expenditure does not include any spends on construction/acquisition of assets. Amount available for set off in succeeding financial years is ₹ 1.97 Crores (2024 - ₹ 1.93 Crores). Such CSR expenditure of ₹ 461.50 Crores (2024 - ₹ 404.05 Crores) excludes ₹ 6.98 Crores (2024 - ₹ 10.89 Crores) being the excess of expenditure of salaries of CSR personnel and administrative expenses over the limit of 5% of total CSR expenditure laid down under Rule 7(1) of the Companies (Corporate Social Responsibility Policy) Rules, 2014 for such expenses.

CSR activities undertaken during the year pertain to: poverty alleviation; promoting education and skill development; promoting healthcare including preventive healthcare; providing sanitation and drinking water; ensuring environmental sustainability; promoting gender equality and women empowerment; enabling climate resilience; rural development projects; creating livelihoods for people (especially those from disadvantaged sections of society); protection of national heritage, art and culture; preserving and promoting music; promoting sports; conducting research in science, technology, engineering and medicine aimed at promoting Sustainable Development Goals (SDGs) and providing relief and assistance to victims of disasters and calamities.

- (iv) Research and Development expenses for the year amount to ₹ 187.68 Crores (2024 - ₹ 170.37 Crores).
- (v) During the year, the following contributions were made by the Company in compliance with Section 182 of the Companies Act, 2013: Bharatiya Janata Party ₹ 39.00 Crores (2024 - Nil), Indian National Congress ₹ 4.00 Crores (2024 - Nil).
- (vi) Contingent liabilities and commitments:
- (a) Contingent liabilities

Claims against the Company not acknowledged as debts ₹ 917.02 Crores (2024 - ₹ 963.29 Crores), including interest on claims, where applicable, estimated to be ₹ 299.11 Crores (2024 - ₹ 314.23 Crores). These comprise:

Notes to the Standalone Financial Statements

29. Additional Notes to the Financial Statements (Contd.)

- Excise duty, VAT/sales taxes, GST and other indirect taxes claims disputed by the Company relating to issues of applicability and classification aggregating ₹ 627.02 Crores (2024 - ₹ 645.81 Crores), including interest on claims, where applicable, estimated to be ₹ 267.27 Crores (2024 - ₹ 288.56 Crores).
- Local Authority taxes/cess/royalty on property, utilities etc. claims disputed by the Company relating to issues of applicability and determination aggregating ₹ 237.21 Crores (2024 - ₹ 264.79 Crores), including interest on claims, where applicable, estimated to be ₹ 20.22 Crores (2024 - ₹ 18.72 Crores).
- Third party claims arising from disputes relating to contracts aggregating ₹ 39.40 Crores (2024 - ₹ 41.27 Crores), including interest on claims, where applicable, estimated to be ₹ 0.46 Crore (2024 - ₹ 0.29 Crore).
- Other matters ₹ 13.39 Crores (2024 - ₹ 11.42 Crores), including interest on other matters, where applicable, estimated to be ₹ 11.16 Crores (2024 - ₹ 6.66 Crores).

It is not practicable for the Company to estimate the closure of these issues and the consequential timings of cash flows, if any, in respect of the above.

(b) Commitments

- Estimated amount of contracts remaining to be executed on capital accounts and not provided for ₹ 912.50 Crores (2024 - ₹ 896.78 Crores).
- Uncalled liability on partly paid-up shares and other investments is ₹ 50.50 Crores (2024 - ₹ 50.86 Crores).
- The Company on 19th April, 2023, executed transaction documents for acquisition of 100% of the share capital (on a fully diluted basis) of Sproutlife Foods Private Limited ('Sproutlife') over a time period of about three to four years. The Company held 47.50% of the share capital (on a fully diluted basis) of Sproutlife as on 31st March, 2025 (Refer Note 4). The consideration for acquisition of the balance stake of 52.50% will be determined based on pre-agreed valuation criteria and fulfilment of applicable terms and conditions.
- The Company on 6th February, 2025, executed transaction documents for acquisition of 100% of the share capital of Ample Foods Private Limited ('Ample Foods') over a time period of about three years. Consequently, the Company acquired 43.75% stake in Ample Foods on 4th April, 2025 for a consideration of ₹ 131.25 Crores. The Company's stake in Ample Foods will increase to 62.50% by April, 2027 through secondary purchase of ₹ 56.00 crores. The consideration for acquisition of balance stake of 37.50% will be determined based on pre-agreed valuation criteria and fulfilment of applicable terms and conditions.
- The Company on 31st March, 2025, entered into a Business Transfer Agreement (BTA) with Aditya Birla Real Estate Limited for acquisition of the Undertaking pertaining to manufacture, distribution and sale of pulp and paper products operated under the name of 'Century Pulp and Paper', as a going concern on a slump sale basis for a lumpsum consideration of up to ₹ 3500.00 Crores on a cash-free debt-free basis, payable as per the terms and conditions laid down in the BTA. The transaction is expected to be consummated in about 6 months from date of signing of BTA, subject to receipt of statutory approvals and fulfilment of the conditions laid down in the BTA.

(vii) Employee Benefit Plans

Description of Plans

The Company makes contributions to both Defined Benefit and Defined Contribution Plans for qualifying employees. These Plans are administered through approved Trusts, which operate in accordance with the Trust Deeds, Rules and applicable Statutes. The concerned Trusts are managed by Trustees who provide strategic guidance with regard to the management of their investments and liabilities and also periodically review their performance.

Provident Fund, Pension and Gratuity Benefits are funded and Leave Encashment Benefits are unfunded in nature. The Defined Benefit Pension Plans are based on employees' pensionable remuneration and length of service. Under the Provident Fund, Gratuity and Leave Encashment Schemes, employees are entitled to receive lump sum benefits.

(a) Defined Benefit Plans:

The liabilities arising in the Defined Benefit Schemes are determined in accordance with the advice of independent, professionally qualified actuaries, using the projected unit credit method. The Company makes regular contributions to these Defined Benefit Plans. Additional contributions are made to these plans as and when required based on actuarial valuation. Some Group companies also participate in these Plans. These participating Group companies make contributions to the Plans for their respective employees on a uniform basis and each entity ascertains their obligation through actuarial valuation. The net Defined benefit cost is recognised by these companies in their respective Financial Statements.

Risk Management

The Defined Benefit Plans expose the Company to risk of actuarial deficit arising out of investment risk, interest rate risk and salary cost inflation risk.

Investment Risk: This may arise from volatility in asset values due to market fluctuations and impairment of assets due to credit losses. These Plans primarily invest in debt instruments such as Government securities and highly rated corporate bonds – the valuation of which is inversely proportional to the interest rate movements.

Interest Rate Risk: The present value of Defined Benefit Plan liability is determined using the discount rate based on the market yields prevailing at the end of reporting period on Government securities. A decrease in yields will increase the fund liabilities and vice-versa.

Salary Cost Inflation Risk: The present value of the Defined Benefit Plan liability is calculated with reference to the future salaries of participants under the Plan. Increase in salary might lead to higher liabilities.

Notes to the Standalone Financial Statements

29. Additional Notes to the Financial Statements (Contd.)

These Plans have a relatively balanced mix of investments in order to manage the above risks. The investment strategy is designed based on the interest rate scenario, liquidity needs of the Plans and pattern of investment as prescribed under various statutes.

The Trustees regularly monitor the funding and investments of these Plans. Risk mitigation systems are in place to ensure that the health of the portfolio is regularly reviewed and investments do not pose any significant risk of impairment. Periodic audits are conducted to ensure adequacy of internal controls. Pension obligation of the employees is secured by purchasing annuities thereby de-risking the Plans from future payment obligation.

		For the year ended 31st March, 2025 (₹ in Crores)			For the year ended 31st March, 2024 (₹ in Crores)		
		Pension	Gratuity	Leave Encashment	Pension	Gratuity	Leave Encashment
		Funded		Unfunded	Funded		Unfunded
I	Components of Employer Expense						
–	Recognised in the Statement of Profit and Loss						
1	Current Service Cost	33.54	34.56	13.50	37.63	33.48	12.87
2	Past Service Cost	–	–	–	–	–	–
3	Net Interest Cost	(4.09)	(1.45)	11.09	(3.65)	(1.95)	11.06
4	Total expense recognised in the Statement of Profit and Loss	29.45	33.11	24.59	33.98	31.53	23.93
–	Remeasurements recognised in Other Comprehensive Income						
5	Return on plan assets (excluding amounts included in Net interest cost)	(9.03)	(3.10)	–	(21.85)	(3.45)	–
6	Effect of changes in demographic assumptions	–	–	–	1.65	0.74	0.42
7	Effect of changes in financial assumptions	9.38	8.94	3.00	25.08	17.30	6.00
8	Changes in asset ceiling (excluding interest income)	–	–	–	–	–	–
9	Effect of experience adjustments	12.18	6.11	(0.07)	(26.79)	23.27	0.60
10	Total remeasurements included in Other Comprehensive Income	12.53	11.95	2.93	(21.91)	37.86	7.02
11	Total defined benefit cost recognised in the Statement of Profit and Loss and Other Comprehensive Income (4+10)	41.98	45.06	27.52	12.07	69.39	30.95
The current service cost, past service cost and net interest cost for the year, as applicable, pertaining to Pension and Gratuity expenses have been recognised in “Contribution to Provident and other funds” and Leave Encashment in “Salaries and wages” under Note 25 and in the expenses of discontinued operations. The remeasurements of the net defined benefit liability are included in Other Comprehensive Income.							
(₹ in Crores)							
		Pension	Gratuity	Leave Encashment	Pension	Gratuity	Leave Encashment
II	Actual Returns	70.50	36.16	–	88.39	36.53	–
III	Net Asset/(Liability) recognised in Balance Sheet						
1	Present Value of Defined Benefit Obligation	799.61	452.71	162.73	898.65	496.77	171.48
2	Fair Value of Plan Assets	786.95	437.77	–	919.95	458.76	–
3	Status [Surplus/(Deficit)]	(12.66)	(14.94)	(162.73)	21.30	(38.01)	(171.48)
4	Restrictions on Asset Recognised	–	–	–	–	–	–

Notes to the Standalone Financial Statements

29. Additional Notes to the Financial Statements (Contd.)

(₹ in Crores)

5	Net Asset/(Liability) recognised in Balance Sheet	As at 31st March, 2025		As at 31st March, 2024	
		Current	Non-current	Current	Non-current
	– Pension	(12.66)	–	21.30	–
	– Gratuity	(14.94)	–	(38.01)	–
	– Leave Encashment	(14.69)	(148.04)	(22.69)	(148.79)

		For the year ended 31st March, 2025 (₹ in Crores)			For the year ended 31st March, 2024 (₹ in Crores)		
		Pension	Gratuity	Leave Encashment	Pension	Gratuity	Leave Encashment
IV	Change in Defined Benefit Obligation (DBO)						
1	Present Value of DBO at the beginning of the year	898.65	496.77	171.48	878.89	439.40	154.53
2	Current Service Cost	33.54	34.56	13.50	37.63	33.48	12.87
3	Past Service Cost	–	–	–	–	–	–
4	Interest Cost	57.38	31.61	11.09	62.89	31.13	11.06
5	Remeasurement gains/(losses)						
a.	Effect of changes in demographic assumptions	–	–	–	1.65	0.74	0.42
b.	Effect of changes in financial assumptions	9.38	8.94	3.00	25.08	17.30	6.00
c.	Changes in asset ceiling (excluding interest income)	–	–	–	–	–	–
d.	Effect of experience adjustments	12.18	6.11	(0.07)	(26.79)	23.27	0.60
6	Curtailment Cost/(Credits)	–	–	–	–	–	–
7	Settlement Cost/(Credits)	–	–	–	–	–	–
8	Liabilities transferred pursuant to Scheme of Demerger	(106.95)	(70.26)	(20.47)	–	–	–
9	Effects of transfer In/(Out)	(0.02)	–	–	(0.07)	–	–
10	Benefits Paid	(104.55)	(55.02)	(15.80)	(80.63)	(48.55)	(14.00)
11	Present Value of DBO at the end of the year	799.61	452.71	162.73	898.65	496.77	171.48

(₹ in Crores)

V	Best Estimate of Employers' Expected Contribution for the next year	As at 31st March, 2025	As at 31st March, 2024
	– Pension	56.91	41.28
	– Gratuity	71.98	96.95

Notes to the Standalone Financial Statements

29. Additional Notes to the Financial Statements (Contd.)

			For the year ended 31st March, 2025 (₹ in Crores)			For the year ended 31st March, 2024 (₹ in Crores)		
			Pension	Gratuity	Leave Encashment	Pension	Gratuity	Leave Encashment
VI	Change in Fair Value of Assets							
	1	Plan Assets at the beginning of the year	919.95	458.76	—	854.51	423.43	—
	2	Interest Income	61.47	33.06	—	66.54	33.08	—
	3	Remeasurement Gains/(Losses) on plan assets	9.03	3.10	—	21.85	3.45	—
	4	Actual Company Contributions	22.10	67.42	—	57.75	47.35	—
	5	Assets transferred pursuant to Scheme of Demerger	(121.03)	(69.55)	—	—	—	—
	6	Effects of transfer In/(Out)	(0.02)	—	—	(0.07)	—	—
	7	Benefits Paid	(104.55)	(55.02)	—	(80.63)	(48.55)	—
	8	Plan Assets at the end of the year	786.95	437.77	—	919.95	458.76	—

VII	Actuarial Assumptions		As at 31st March, 2025	As at 31st March, 2024
			Discount Rate (%)	Discount Rate (%)
	1	Pension	6.75	7.00
	2	Gratuity	6.75	7.00
	3	Leave Encashment	6.75	7.00

The estimates of future salary increases, generally between 4% to 6%, considered in actuarial valuations take account of inflation, seniority, promotion and other relevant factors such as supply and demand factors in the employment market.

VIII	Major Category of Plan Assets as a % of the Total Plan Assets		As at 31st March, 2025	As at 31st March, 2024
	1	Government Securities / Special Deposit with RBI	14.33%	15.32%
	2	High Quality Corporate Bonds	11.58%	11.62%
	3	Insurer Managed Funds*	61.88%	61.69%
	4	Mutual Funds	7.74%	6.83%
	5	Cash and Cash Equivalents	4.47%	4.54%
	6	Term Deposits	—	—

* In the absence of detailed information regarding plan assets which is funded with Insurance Companies, the composition of each major category of plan assets, the percentage or amount for each category to the fair value of plan assets has not been disclosed.

The fair value of Government securities, corporate bonds and mutual funds are determined based on quoted market prices in active markets. The employee benefit plans do not hold any securities issued by the Company.

Notes to the Standalone Financial Statements

29. Additional Notes to the Financial Statements (Contd.)

IX		Basis used to determine the Expected Rate of Return on Plan Assets					
		The expected rate of return on plan assets is based on the current portfolio of assets, investment strategy and market scenario. In order to protect the capital and optimize returns within acceptable risk parameters, the plan assets are well diversified.					
X	Net Asset/(Liability) recognised in Balance Sheet (including experience adjustment impact)	For the year ended 31st March, 2025 (₹ in Crores)			For the year ended 31st March, 2024 (₹ in Crores)		
		Pension	Gratuity	Leave Encashment	Pension	Gratuity	Leave Encashment
1	Present Value of Defined Benefit Obligation	799.61	452.71	162.73	898.65	496.77	171.48
2	Fair Value of Plan Assets	786.95	437.77	–	919.95	458.76	–
3	Status [Surplus/(Deficit)]	(12.66)	(14.94)	(162.73)	21.30	(38.01)	(171.48)
4	Experience Adjustment of Plan Assets [Gain/(Loss)]	9.03	3.10	–	21.85	3.45	–
5	Experience Adjustment of obligation [(Gain)/Loss]	12.18	6.11	(0.07)	(26.79)	23.27	0.60

XI.		Sensitivity Analysis					
		The Sensitivity Analysis below has been determined based on reasonably possible change of the respective assumptions occurring at the end of the reporting period, while holding all other assumptions constant. These sensitivities show the hypothetical impact of a change in each of the listed assumptions in isolation. While each of these sensitivities holds all other assumptions constant, in practice such assumptions rarely change in isolation and the asset value changes may partially offset this impact. For presenting the sensitivities, the present value of the Defined Benefit Obligation has been calculated using the projected unit credit method at the end of the reporting period, which is the same as that applied in calculating the Defined Benefit Obligation presented above. There was no change in the methods and assumptions used in the preparation of the Sensitivity Analysis from previous year.					
		(₹ in Crores)					
		DBO as at 31st March, 2025			DBO as at 31st March, 2024		
1	Discount Rate + 100 basis points	1333.62			1479.71		
2	Discount Rate - 100 basis points	1500.30			1664.94		
3	Salary Increase Rate + 1%	1501.98			1658.44		
4	Salary Increase Rate – 1%	1336.49			1483.91		

		(₹ in Crores)					
	Maturity Analysis of the Benefit Payments	As at 31st March, 2025			As at 31st March, 2024		
1	Year 1	211.40			203.80		
2	Year 2	210.80			266.30		
3	Year 3	138.61			206.05		
4	Year 4	112.82			131.17		
5	Year 5	143.09			108.20		
6	Next 5 Years	473.50			570.92		

Notes to the Standalone Financial Statements

29. Additional Notes to the Financial Statements (Contd.)

(b) Amounts towards Defined Contribution Plans have been recognised under “Contribution to Provident and other funds” in Note 25 and in the expenses of discontinued operations: ₹ 136.41 Crores (2024 - ₹ 113.44 Crores).

(viii) Leases:

As a Lessee

The Company's significant leasing arrangements are in respect of operating leases for land, buildings (comprising licensed properties, residential premises, office premises, stores, warehouses etc.) and plant & equipment. These arrangements generally range between 2 years and 10 years, except for certain land and building leases where the lease term ranges up to 99 years. The lease arrangements have extension/termination options exercisable by either parties which may make the assessment of lease term uncertain. While determining the lease term, all facts and circumstances that create an economic incentive to exercise an extension option, or not exercise a termination option are considered.

The amount of ROU Assets and Lease Liabilities recognised in the Balance Sheet are disclosed in Note 3G and Note 15 respectively. The total cash outflow for leases for the year is ₹ 429.30 Crores (2024 - ₹ 414.06 Crores) [including payments of ₹ 355.34 Crores (2024 - ₹ 324.74 Crores) in respect of short-term/low-value leases and variable lease payments of ₹ 4.72 Crores (2024 - ₹ 6.84 Crores)].

The sensitivity of variable lease payments and effect of extension/termination options not included in measurement of lease liabilities is not material.

The undiscounted maturities of lease liabilities over the remaining lease term is as follows:

(₹ in Crores)

Term	As at 31st March, 2025	As at 31st March, 2024
Not later than three years	112.04	166.40
Later than three years and not later than ten years	65.85	159.66
Later than ten years and not later than twenty-five years	34.30	211.92
Later than twenty-five years and not later than fifty years	17.02	201.71
Later than fifty years	19.24	184.74

As a Lessor

The Company has leased out its investment properties etc. under operating lease for periods ranging upto 30 years. Lease payments are structured with periodic escalations consistent with the prevailing market conditions. There are no variable lease payments. The details of income from such leases are disclosed under Note 3C and Note 23. The Company does not have any risk relating to recovery of residual value of investment property at the end of leases considering the business requirements and other alternatives.

The undiscounted minimum lease payments to be received over the remaining non-cancellable term on an annual basis are as follows:

(₹ in Crores)

Term	As at 31st March, 2025	As at 31st March, 2024
1st year	49.43	18.53
2nd year	38.84	18.39
3rd year	24.43	8.33
4th year	0.91	0.84
5th year	0.94	0.88
Beyond 5 years	26.00	26.62

- (ix) Under the terms of the Joint Venture Agreement (JVA), Logix Developers Private Limited (LDPL) (CIN: U70101DL2010PTC207640) was to develop a luxury hotel-cum-service apartment complex. However, Logix Estates Private Limited, Noida, the JV partner communicated its intention to explore alternative development plans to which the Company reiterated that it was committed only to the project as envisaged in the JVA. The JV partner refused to progress the project and instead expressed its intent to exit the JV by selling its stake to the Company and subsequently proposed that both parties should find a third party to sell the entire shareholding in LDPL. The resultant deadlock has stalled the project. The Company's petition that the affairs of the JV are being conducted in a manner that is prejudicial to the interest of the Company and the JV entity, as also a petition for winding up of LDPL filed by Logix Estates, are currently before the Hon'ble National Company Law Tribunal, Delhi Bench.

Notes to the Standalone Financial Statements

29. Additional Notes to the Financial Statements (Contd.)

New Okhla Industrial Development Authority (NOIDA), vide letter dated 6th July, 2022, cancelled the sub-lease for the land on which the project was to be constructed on account of non-payment of lease installments and non-fulfilment of the conditions of the sub-lease, including forfeiture of the amount deposited. Upon cancellation of the sub-lease, LDPL is evaluating all options to pursue its rights.

The financial statements of LDPL for the year ended 31st March, 2025 are yet to be approved by its Board of Directors.

- (x) The Hon'ble National Company Law Tribunal, Kolkata Bench, vide Order dated 4th October, 2024, sanctioned the Scheme of Arrangement amongst the Company and ITC Hotels Limited ('ITCHL') and their respective shareholders and creditors under Sections 230 to 232 read with the other applicable provisions of the Companies Act, 2013 ('the Scheme') for demerger of the Hotels Business of the Company (as defined in the Scheme) into ITCHL; certified copy of the Order was received on 16th December, 2024. Upon fulfilment of all the conditions stated in the Scheme, including filing of the aforesaid Order with the Registrar of Companies, West Bengal, the Scheme became effective from 1st January, 2025, being the Appointed Date and the Effective Date of the Scheme.

With effect from the Appointed Date, the Hotels Business of the Company (along with all assets and liabilities thereof, excluding ITC Grand Central, Mumbai) and the investments held by the Company in Hospitality entities viz., Fortune Park Hotels Limited, Bay Islands Hotels Limited, Landbase India Limited, WelcomHotels Lanka (Private) Limited, Srinivasa Resorts Limited, International Travel House Limited, Gujarat Hotels Limited and Maharaja Heritage Resorts Limited were transferred to ITCHL on a going concern basis. Consequently, the carrying/book value of the net assets of the Demerged Undertaking (as defined in the Scheme) amounting to ₹ 10694.76 Crores was transferred to ITCHL on a going concern basis.

Pursuant to the Scheme, ITCHL allotted 125,11,71,040 Equity Shares of ₹ 1/- each on 11th January, 2025 to the shareholders of the Company (as on the Record Date i.e., 6th January, 2025) and therefore it has ceased to be a subsidiary of the Company. The Company's shareholding in ITCHL stands at 39.88% of its paid-up share capital and consequently, ITCHL has become an Associate of the Company.

As provided in the Scheme, the Company has accounted for the aforesaid demerger in its books of accounts in accordance with the Indian Accounting Standards (Ind AS) and generally accepted accounting principles in India. The fair value of the net assets of the Demerged Undertaking distributed to the shareholders of the Company, amounting to ₹ 22033.37 Crores has been debited to General Reserve in the Statement of Changes in Equity. For this purpose, Retained Earnings amounting to ₹ 4448.06 Crores has been transferred to General Reserve.

The carrying/book value of the net assets of the Demerged Undertaking [refer details in (a) below] to the extent of the Company's continued holding in ITCHL amounting to ₹ 4215.32 Crores has been added to the value of investment in ITCHL (Refer Note 4).

The excess of fair value of the net assets distributed to the shareholders of the Company and addition to the value of investment in ITCHL over the carrying value of net assets of the Demerged Undertaking and consequential adjustments of ₹ 63.44 Crores [refer details in (b) below] pursuant to the Scheme, has been recognised as an exceptional gain in the Statement of Profit and Loss amounting to ₹ 15163.06 Crores [net of demerger related expenses of ₹ 454.31 Crores (2024 - ₹ 7.57 Crores)].

In terms of the requirements of Ind AS, the operations of the Hotels Business of the Company (excluding ITC Grand Central, Mumbai) have been classified as 'Discontinued Operations' for the year ended 31st March, 2025 and comparative information in the Statement of Profit and Loss has been presented accordingly.

Brief particulars of the Demerged Undertaking/Discontinued Operations are given as under:

(a) Carrying value of net assets of the Demerged Undertaking transferred as on the Appointed Date:

	Amount (₹ in Crores)
Property, plant and equipment, intangible assets (including capital work-in-progress and intangible assets under development) and right-of-use assets	5911.20
Investments	4185.01
Other non-current assets	1592.88
Inventories	42.72
Trade Receivables	179.83
Cash and Cash equivalents	102.44
Other current assets	74.36
Total Assets (A)	12088.44
Deferred tax liabilities (Net)	409.74
Lease liabilities	126.64
Trade Payables	326.15
Other liabilities	531.15
Total Liabilities (B)	1393.68
Net Assets transferred (A-B)	10694.76

Notes to the Standalone Financial Statements

29. Additional Notes to the Financial Statements (Contd.)

(b) Consequential adjustments in 'Other Equity'

	Amount (₹ in Crores)
Share Options Outstanding Account derecognised [Refer Note 29(xv)(A)]	22.89
Gain arising on net investment in foreign operations reclassified from Other Comprehensive Income to Statement of Profit and Loss	40.55

(c) Profit from Discontinued Operations

(₹ in Crores)

	For the year ended 31st March, 2025 [#]	For the year ended 31st March, 2024
Revenue from Operations	2277.73	2887.97
Total Income	2296.94	2896.58
Total Expenses	1724.42	2205.36
Profit before Exceptional Items and Tax	572.52	691.22
Exceptional Items	15163.06	(7.57)
Tax Expense*	631.82	171.91
Profit from Discontinued Operations	15103.76	511.74

[#] Figures in relation to operations of the Hotels Business are for the nine-month period from 1st April, 2024 to 31st December, 2024.

* Tax expenses for the year ended 31st March, 2025 includes ₹ 602.79 Crores (2024 - Nil) relating to deferred tax liability recognised on addition to the value of investment in ITCHL.

(d) Net Cashflows attributable to the Discontinued Operations

(₹ in Crores)

	For the year ended 31st March, 2025	For the year ended 31st March, 2024
Net Cash from Operating Activities	475.25	958.18
Net Cash used in Investing Activities	(1898.95)	(1057.62)
Net Cash used in Financing Activities	(8.75)	(11.60)

(xi) The Ministry of Corporate Affairs (MCA) had issued the Companies (Indian Accounting Standards) (Amendment) Rules, 2024 amending the following Ind AS, which are effective for annual periods beginning on or after 1st April, 2024:

- Ind AS 116 'Leases' - This amendment specifies the requirements that a seller-lessee uses in measuring the lease liability arising in a sale and leaseback transaction, to ensure the seller-lessee does not recognise any amount of the gain or loss that relates to the right of use it retains.
- Ind AS 117 'Insurance Contracts' – It is a comprehensive new accounting standard which replaces Ind AS 104 'Insurance Contracts'. It applies to all types of insurance contracts, regardless of the type of entities that issue them as well as to certain guarantees and financial instruments with discretionary participation features.

These amendments do not have a material impact on the standalone financial statements.

(xii) The Company on 17th April, 2025, entered into Share Purchase Agreements (SPA) to acquire 100% of the equity share capital of Messrs. Sresta Natural Bioproducts Private Limited, an Indian company primarily engaged in the business of manufacturing and sale of organic packaged food products under the '24 Mantra Organic' brand, for a consideration of up to ₹ 472.50 Crores on a cash-free debt-free basis, subject to customary adjustments and fulfilment of various terms and conditions as specified in the SPA.

Notes to the Standalone Financial Statements

29. Additional Notes to the Financial Statements (Contd.)

- (xiii) The Company on 17th April, 2025, executed Transaction Documents i.e., Share Subscription and Share Purchase Agreement and Shareholders' Agreement, to acquire the balance 73.50% of the share capital (on a fully diluted basis) of Mother Sparsh Baby Care Private Limited ('Mother Sparsh'), an associate company, in one or more tranches over a time period of about two to three years, subject to fulfilment of prescribed terms and conditions. The Company held 26.50% of the share capital (on a fully diluted basis) of Mother Sparsh as at 31st March, 2025 (Refer Note 4). Mother Sparsh is a premium ayurvedic and natural personal care start-up, with focus on baby personal care, health & hygiene and expert baby care.
- (xiv) The Company on 13th May, 2025, divested its entire shareholding of 7,759 Compulsorily Convertible Preference Shares of ₹ 10/- each and 2,386 Equity Shares of ₹ 10/- each held in Delectable Technologies Private Limited ('DTPL'), consequent to which DTPL ceased to be an associate company with effect from the said date.
- (xv) **Employee Stock Option Schemes**

A. Information in respect of Options granted under the Company's Employee Stock Option Schemes ('Schemes'):

Sl. No.		ITC Employee Stock Option Scheme - 2006	ITC Employee Stock Option Scheme - 2010
1.	Date of Shareholders' approval :	22-01-2007	23-07-2010
2.	Total number of Options approved under the Schemes (Adjusted for Bonus Shares issued in terms of Shareholders' approval)	Options equivalent to 37,89,18,503 Ordinary Shares of ₹1.00 each	Options equivalent to 55,60,44,823 Ordinary Shares of ₹1.00 each
3.	Vesting Schedule :	The vesting period for conversion of Options is as follows: - On completion of 12 months from the date of grant of the Options : 30% vests - On completion of 24 months from the date of grant of the Options : 30% vests - On completion of 36 months from the date of grant of the Options : 40% vests	
4.	Pricing Formula :	The Pricing Formula, as approved by the Shareholders of the Company, is such price, as determined by the Nomination & Compensation Committee, which is no lower than the closing price of the Company's Share on National Stock Exchange of India Limited ('the NSE') on the date of grant, or the average price of the Company's Share in the six months preceding the date of grant based on the daily closing price on the NSE, or the 'market price' as defined from time to time under the Securities and Exchange Board of India (Share Based Employee Benefits and Sweat Equity) Regulations, 2021. The Options have been granted at 'market price' as defined under the aforesaid Regulations. In terms of the Scheme of Demerger [Refer Note 29(x)], the Nomination & Compensation Committee has approved fair and reasonable adjustments to the exercise price of outstanding stock options as on the Record Date i.e., 6th January, 2025, in a manner considered appropriate, and in compliance with the applicable laws and regulations. Accordingly, the disclosures given in this note for the financial year ended 31st March, 2025 reflect the adjusted exercise price/market price, wherever applicable. In addition, eligible employees have been granted Stock Options under ITC Hotels Special Purpose Employee Stock Option Scheme ('ITCHL SP ESOP Scheme') [Refer Note 29(xv)(B)] in terms of the Scheme of Demerger. Consequently, balance in Share Options Outstanding Account of the Company amounting to ₹ 22.89 Crores has been derecognised.	
5.	Maximum term of Options granted :	Five years - the exercise period commences from the date of vesting of the Options granted and expires at the end of five years from the date of vesting.	
6.	Source of Shares :	Primary	
7.	Variation in terms of Options :	None	

Notes to the Standalone Financial Statements

29. Additional Notes to the Financial Statements (Contd.)

Sl. No.		ITC Employee Stock Option Scheme - 2006	ITC Employee Stock Option Scheme - 2010
8.	Method used for accounting of share-based payment plans and effect of employee share based plans on the entity's profit or loss for the period and on its financial position	: The employee compensation cost has been calculated using the fair value method of accounting for Options issued under the Company's Employee Stock Option Schemes. The employee compensation cost as per fair value method for the financial year 2024-25 is ₹ 130.00 Crores (2024 - ₹ 103.10 Crores); for the group entities, such compensation cost is ₹ 7.27 Crores (2024 - ₹ 5.54 Crores) [Refer Note 25].	
9.	Nature and extent of employee share based payment plans that existed during the period including the general terms and conditions of each plan	: In addition to the terms and conditions provided in the table under Serial Nos. (3) to (5) hereinbefore, each Option entitles the holder thereof to apply for and be allotted ten Ordinary Shares of the Company of ₹1.00 each upon payment of the exercise price during the exercise period.	
10.	Weighted average exercise prices and weighted average fair values of Options whose exercise price either equals or exceeds or is less than the market price of the stock	: Weighted average exercise price per Option : ₹ 4835.02 (adjusted consequent to Scheme of Demerger to ₹ 4573.99) Weighted average fair value per Option : ₹ 1121.49 (adjusted consequent to Scheme of Demerger to ₹ 1060.95)	
11.	Option movements during the year	ITC Employee Stock Option Scheme - 2006	ITC Employee Stock Option Scheme - 2010
	a) Options outstanding at the beginning of the year	1,97,814	87,96,798
	b) Options granted during the year	—	14,80,700
	c) Options cancelled and lapsed during the year	—	1,00,512
	d) Options vested and exercisable during the year	22,810	12,90,425
	e) Options exercised during the year	67,242	28,72,589
	f) Number of Ordinary Shares of ₹ 1.00 each arising as a result of exercise of Options during the year	6,72,420	2,87,25,890
	g) Options outstanding at the end of the year (a+b-c-e)	1,30,572	73,04,397
	h) Options exercisable at the end of the year	1,26,852	42,72,467
	i) Money realised by exercise of the Options during the year (₹ in Crores)	16.62	780.71

Notes to the Standalone Financial Statements

29. Additional Notes to the Financial Statements (Contd.)

12.	Summary of the status of Options:							
	Particulars		As at 31 st March, 2025		As at 31 st March, 2024			
			No. of Options	Weighted Average Exercise Prices (₹) (adjusted as applicable)	No. of Options	Weighted Average Exercise Prices (₹)		
	Outstanding at the beginning of the year	:	89,94,612	3040.61	1,32,09,479	2655.20		
	Add: Granted during the year	:	14,80,700	4835.02	15,16,450	4530.73		
	Less: Lapsed during the year	:	1,00,512	3621.31	60,944	2739.44		
	Less: Exercised during the year	:	29,39,831	2712.16	56,70,373	2544.51		
	Outstanding at the end of the year	:	74,34,969	3325.29	89,94,612	3040.61		
	Options exercisable at the end of the year	:	43,99,319	2686.93	60,51,382	2657.61		
13.	Weighted average share price of Shares arising upon exercise of Options	:	The weighted average share price of Shares, arising upon exercise of Options during the year ended 31st March, 2025 was ₹ 467.68 (2024 - ₹ 455.45). This was based on the closing market price on NSE on the date of exercise of Options (i.e. the date of allotment of shares by the Securityholders Relationship Committee).					
14.	Summary of Options outstanding, scheme-wise:							
	Particulars		As at 31st March, 2025			As at 31st March, 2024		
			No. of Options Outstanding	Range of Exercise Prices (₹) (adjusted as applicable)	Weighted average remaining contractual life	No. of Options Outstanding	Range of Exercise Prices (₹)	Weighted average remaining contractual life
	ITC Employee Stock Option Scheme - 2006	:	1,30,572	1606.33 – 3276.52	2.78	1,97,814	1698.00 – 3463.50	3.19
	ITC Employee Stock Option Scheme - 2010	:	73,04,397	1606.33 – 4575.39	4.17	87,96,798	1698.00 – 4534.50	3.37
15.	A description of the method used during the year to estimate the fair values of Options, the weighted average exercise prices and weighted average fair values of Options granted	:	The fair value of each Option is estimated using the Black Scholes Option Pricing model. Weighted average exercise price per Option : ₹ 4835.02 (adjusted consequent to Scheme of Demerger to ₹ 4573.99) Weighted average fair value per Option : ₹ 1121.49 (adjusted consequent to Scheme of Demerger to ₹ 1060.95)					
	The significant assumptions used to ascertain the above	:	The fair value of each Option is estimated using the Black Scholes Option Pricing model after applying the following key assumptions on a weighted average basis: (i) Risk-free interest rate 6.65% (ii) Expected life 4.60 years (iii) Expected volatility 22.33% (iv) Expected dividends 2.84% (v) The price of the underlying shares in market at the time of Option grant ₹ 4835.02 (One Option = Ten Ordinary Shares)					

Notes to the Standalone Financial Statements

29. Additional Notes to the Financial Statements (Contd.)

16.	Methodology for determination of expected volatility	:	The volatility used in the Black Scholes Option Pricing model is the annualised standard deviation of the continuously compounded rates of return on the stock over a period of time. The period considered for the working is commensurate with the expected life of the Options and is based on the daily volatility of the Company's stock price on NSE. There are no market conditions attached to the grant and vest.		
17.	Options granted to	:	As provided below:		
	(a) Directors and Senior managerial personnel		Name	Designation	No. of Options granted during the financial year 2024-25
		1	S. Puri	Chairman & Managing Director	1,34,500
		2	S. Dutta	Executive Director & Chief Financial Officer	65,250
		3	H. Malik	Executive Director	65,250
		4	B. Sumant	Executive Director	65,250
		5	S. Kaul	Group Head - ITD, MAB, Start-up Ventures, LS&T & Quality	18,750
		6	A. K. Rajput	President - Corporate Affairs	18,750
		7	S. Sivakumar	Group Head - Agri Business, IT, Sustainability, CSR & EHS	18,750
		8	R. K. Singhi	Executive Vice President & Company Secretary	13,050
	<i>The aforesaid Options were granted at the exercise price of ₹ 4836.50 per Option (adjusted grant price consequent to the Scheme of Demerger: ₹ 4575.39 per Option), being the 'market price' as defined under the Securities and Exchange Board of India (Share Based Employee Benefits and Sweat Equity) Regulations, 2021.</i>				
	(b) Any other employee who received a grant on any one year of Options amounting to 5% or more of the Options granted during the year.	:	None		
	(c) Identified employees who were granted Options, during any one year, equal to or exceeding 1% of the issued capital (excluding outstanding warrants and conversions) of the Company at the time of grant.	:	None		

B. Information in respect of Options granted by ITC Hotels Limited (ITCHL):

In terms of the Scheme of Demerger [Refer Note 29(x)], one stock option of ITCHL (including fractional entitlements) has been granted to the eligible employees of the Company by ITCHL under the ITC Hotels Special Purpose Employee Stock Option Scheme ('ITCHL SP ESOP Scheme') for every ten stock options outstanding under the ITC Employee Stock Option Schemes (ITC ESOS) as on the Record Date i.e. 6th January, 2025, on the terms and conditions similar to the ITC ESOS.

Each option entitles the holder thereof to apply for and be allotted ten Equity Shares of ITCHL of ₹ 1.00 each upon payment of exercise price. These options vest over a period of three years from the date of original grant under the ITC ESOS and are exercisable within a period of five years from the date of vesting. The exercise prices have been determined basis fair and reasonable adjustments approved by the Nomination & Compensation Committees of the Company and ITCHL for outstanding stock options under the ITC ESOS Schemes as on the Record Date.

Notes to the Standalone Financial Statements

29. Additional Notes to the Financial Statements (Contd.)

The employee compensation cost as per fair value method for the financial year 2024-25 is ₹ 1.95 Crores (2024 - Nil) [Refer Note 25].

The summary of movement of the aforesaid Stock Options granted by ITCIL and status of the outstanding Options is as under:

Particulars	As at 31st March, 2025	
	No. of Options	Weighted Average Exercise Prices (₹)
Outstanding at the beginning of the year	—	—
Add: Granted during the year	7,09,895	1871.68
Less: Lapsed during the year	—	—
Less: Exercised during the year	—	—
Outstanding at the end of the year	7,09,895	1871.68
Options exercisable at the end of the year	4,33,614	1519.46
Options vested and exercisable during the year	4,33,614	1519.46

(xvi) Information in respect of Stock Appreciation Linked Reward ('SAR') Plan:

Sl. No.	Particulars	Details
1	Nature and extent of Stock Appreciation Linked Reward Plan that existed during the year along with general terms and conditions	ITC Employee Cash Settled Stock Appreciation Linked Reward Plan (ITC ESAR Plan). Under the ITC ESAR Plan, the eligible employees receive cash on vesting of SAR units, equivalent to the difference between the grant price and the market price of the share on vesting of SAR units subject to the terms and conditions specified in the Plan.
2	Settlement Method	Cash – Settled
3	Vesting period and maximum term of SAR granted	Over a period of five years from the date of grant in accordance with the Plan.
4	Method used to estimate the fair value of SAR granted	Black Scholes Option Pricing model. The said model considers inputs such as Risk-free interest rate, Expected life, Expected volatility, Expected dividend, Market price etc. The number of SAR units outstanding as at 31st March, 2025 is 1,24,850 (2024 - 9,31,606) and the weighted average fair value at measurement date is ₹ 1513.00 (2024 – ₹ 1103.96) per SAR unit.
5	Total cost recognised in the Statement of Profit and Loss	The cost has been calculated using the fair value method of accounting for SAR units issued under the ITC ESAR Plan. The employee benefits expense as per fair value method for the financial year 2024-25 is ₹ 8.42 Crores (2024 - ₹ 32.06 Crores) and ₹ 0.41 Crore (2024 - ₹ 1.43 Crores) for group entities (Refer Note 25). The amount carried in the Balance Sheet as a non – current financial liability is Nil (2024 - ₹ 13.76 Crores) and as a current financial liability is ₹ 16.35 Crores (2024 - ₹ 71.14 Crores) (Refer Note 16).

Notes to the Standalone Financial Statements

29. Additional Notes to the Financial Statements (Contd.)

(xvii) Financial Ratios:

Ratio	Numerator	Denominator	31st March, 2025	31st March, 2024
Current Ratio (in times)	Current Assets	Current Liabilities	3.03	2.91
Return on Equity Ratio (in %)	Profit for the year (before exceptional items)	Average Shareholder's Equity	29.19	29.22
Inventory Turnover Ratio (in times)	Gross Revenue from sale of products and services	Average Inventory	5.31	5.98
Trade Receivables Turnover Ratio (in times)	Gross Revenue from sale of products and services	Average Trade Receivables	20.72	24.66
Trade Payables Turnover Ratio (in times)	COGS + Other Expenses – Non Cash Expenditure	Average Trade Payables	9.75	8.39
Net Capital Turnover Ratio (in times)	Gross Revenue from sale of products and services	Working Capital (Current Assets – Current Liabilities)	2.76	2.94
Net Profit Ratio (in %)	Profit for the year (before exceptional items)	Gross Revenue from sale of products and services	26.72	29.42
Return on Capital Employed (in %)	Profit before exceptional items, interest and taxes	Average Capital Employed	38.79	37.97
Return on Investment (in %)	Income from investment	Time weighted average Investment	9.67	8.91

Debt-Equity Ratio and Debt Service Coverage Ratio are not relevant for the Company as it has negligible debt.

Note: Ratios for the financial year ended 31st March, 2025 have been computed based on numbers for Continuing Operations pursuant to the demerger of the Hotels Business. Accordingly, the ratios for the financial year ended 31st March, 2024 are not strictly comparable.

(xviii) Figures presented as “...” are below the rounding off norm adopted by the Company.

(xix) Figures for the previous year are re-arranged, wherever necessary, to conform to the figures of the current period. The same does not have any material impact on the standalone financial statements.

(xx) The standalone financial statements were approved for issue by the Board of Directors on May 22, 2025. Such financial statements are required to be placed before the shareholders for adoption in terms of Companies Act, 2013.

Notes to the Standalone Financial Statements

30. Segment Reporting

(₹ in Crores)

	2025			2024		
	External	Inter Segment	Total	External	Inter Segment	Total
1. Segment Revenue - Gross						
FMCG - Cigarettes	32631.27	—	32631.27	30596.59	—	30596.59
FMCG - Others	21975.28	6.29	21981.57	20958.26	8.57	20966.83
FMCG - Total	54606.55	6.29	54612.84	51554.85	8.57	51563.42
Agri Business	12065.64	7688.16	19753.80	8422.39	7369.44	15791.83
Paperboards, Paper and Packaging	6626.23	1796.58	8422.81	6535.96	1808.44	8344.40
Others	166.13	1.24	167.37	143.84	1.42	145.26
Segment Total	73464.55	9492.27	82956.82	66657.04	9187.87	75844.91
Eliminations			(9492.27)			(9187.87)
Gross Revenue from sale of products and services			73464.55			66657.04
2. Segment Results						
FMCG - Cigarettes			20024.87			19089.17
FMCG - Others			1579.66			1778.55
FMCG - Total			21604.53			20867.72
Agri Business			1478.03			1254.43
Paperboards, Paper and Packaging			911.49			1377.60
Others			64.02			53.09
Segment Total			24058.07			23552.84
Eliminations			1.75			(196.05)
Total			24059.82			23356.79
Unallocated corporate expenses net of unallocated income			(1310.30)			(1067.88)
Profit before interest etc. and taxation			22749.52			22288.91
Finance Costs			(36.35)			(34.39)
Interest earned on loans and deposits, income from current and non-current investments, profit and loss on sale of investments etc. - Net			3287.69			3377.60
Exceptional items [Refer Note 29(i)]			527.96			—
Profit before tax			26528.82			25632.12
Tax expense			(6436.97)			(5721.89)
Profit for the year from continuing operations			20091.85			19910.23
Profit for the year from discontinued operations [Refer Note 29(x)]			15103.76			511.74
Profit for the year			35195.61			20421.97
3. Other Information						
	2025		2024			
	Segment Assets	Segment Liabilities	Segment Assets	Segment Liabilities		
FMCG - Cigarettes	9929.46	5516.37	9160.85	5248.89		
FMCG - Others	12911.68	2442.96	12500.83	2501.71		
FMCG - Total	22841.14	7959.33	21661.68	7750.60		
Agri Business	6956.68	2221.65	5024.81	1380.10		
Paperboards, Paper and Packaging	9656.83	1361.09	9413.71	1257.39		
Others	149.52	60.69	134.99	29.22		
Segment Total	39604.17	11602.76	36235.19	10417.31		
Discontinued operations [Refer Note 29(x)]	—	—	6548.66	1128.07		
Unallocated Corporate Assets/Liabilities	44405.03	4506.30	44543.75	3548.92		
Total	84009.20	16109.06	87327.60	15094.30		

Notes to the Standalone Financial Statements

30. Segment Reporting (Contd.)

(₹ in Crores)

	2025		2024	
	Capital expenditure	Depreciation and amortization	Capital expenditure	Depreciation and amortization
FMCG - Cigarettes	320.52	266.20	537.90	257.28
FMCG - Others	515.80	584.26	670.77	559.95
FMCG - Total	836.32	850.46	1208.67	817.23
Agri Business	104.07	67.41	60.92	70.61
Paperboards, Paper and Packaging	381.84	390.18	726.15	359.65
Others	5.42	5.78	8.78	5.49
Segment Total	1327.65	1313.83	2004.52	1252.98
Discontinued operations [Refer Note 29(x)]	171.28	226.95	312.60	290.62
Unallocated	343.35	128.10	300.78	104.22
Total	1842.28	1668.88	2617.90	1647.82
	Non Cash expenditure other than depreciation		Non Cash expenditure other than depreciation	
FMCG - Cigarettes		41.67		4.68
FMCG - Others		131.17		110.19
FMCG - Total		172.84		114.87
Agri Business		43.24		52.81
Paperboards, Paper and Packaging		32.53		34.66
Others		0.18		0.19
Segment Total		248.79		202.53

GEOGRAPHICAL INFORMATION

	2025	2024
1. Revenue from external customers		
– Within India	65635.22	60333.03
– Outside India	7829.33	6324.01
Total	73464.55	66657.04
2. Non-current assets		
– Within India	22022.91	28059.48
– Outside India	...	–
Total	22022.91	28059.48

NOTES :

- The Company's corporate strategy aims at creating multiple drivers of growth anchored on its core competencies. The Company is currently focused on three business groups : FMCG, Paperboards, Paper & Packaging and Agri Business. The Company's organisational structure and governance processes are designed to support effective management of multiple businesses while retaining focus on each one of them.
The Operating Segments have been reported in a manner consistent with the internal reporting provided to the Corporate Management Committee, which is the Chief Operating Decision Maker.
- Pursuant to the Scheme of Demerger and in terms of applicable Accounting Standards (Ind AS), the Company has reported its Hotels Business (excluding ITC Grand Central, Mumbai) as 'Discontinued Operations' [Refer Note 29(x)]. Accordingly, 'Hotels' no longer forms a reportable segment of the Company. The segment information of ITC Grand Central, Mumbai which has been retained with the Company in terms of the Scheme of Demerger, have been disclosed under a new 'Others' segment.
- The business groups comprise the following :

FMCG	: Cigarettes	– Cigarettes, Cigars, etc.
	: Others	– Branded Packaged Foods Businesses (Staples & Meals; Snacks; Dairy & Beverages; Biscuits & Cakes; Chocolates, Coffee & Confectionery); Education and Stationery Products; Personal Care Products; Safety Matches and Agarbattis.
Paperboards, Paper and Packaging		– Paperboards, Paper including Specialty Paper and Packaging including Flexibles.
Agri Business		– Agri commodities such as wheat, rice, spices, coffee, soya and leaf tobacco.
Others		– ITC Grand Central Hotel, Mumbai
- The geographical information considered for disclosure are :

– Revenue within India.
– Revenue outside India.
- Segment results of 'FMCG : Others' are after considering significant business development, brand building and gestation costs of the Branded Packaged Foods businesses and Personal Care Products business.
- As stock options and stock appreciation linked reward units are granted to align the interests of employees with those of shareholders and also to attract and retain talent for the enterprise as a whole, the charge thereof do not form part of the segment performance reviewed by the Corporate Management Committee.
- The Company is not reliant on revenues from transactions with any single external customer and does not receive 10% or more of its revenues from transactions with any single external customer.

Notes to the Standalone Financial Statements

31. Related Party Disclosures

1. ENTERPRISES WHERE CONTROL EXISTS:

Subsidiaries:

- a) Russell Credit Limited
Greenacre Holdings Limited (up to 28.11.2024)
- b) Technico Pty Limited, Australia and its subsidiaries
Technico Technologies Inc., Canada
Technico Asia Holdings Pty Limited, Australia and its subsidiary
Technico Horticultural (Kunming) Co. Limited, China
- c) Technico Agri Sciences Limited
- d) Wimco Limited
- e) Pavan Poplar Limited
- f) Prag Agro Farm Limited
- g) ITC Infotech India Limited and its subsidiaries
ITC Infotech Limited, UK
ITC Infotech (USA), Inc. and its subsidiary
Indivate Inc., USA
ITC Infotech Do Brasil LTDA., Brazil
ITC Infotech Malaysia SDN. BHD.
ITC Infotech France SAS
ITC Infotech GmbH, Germany
ITC Infotech de México, S.A. de C.V.
ITC Infotech Arabia Limited
ITC Infotech Italia s.r.l. (w.e.f. 23.07.2024)
Blazeclan Technologies Private Limited and its subsidiaries (w.e.f. 01.10.2024)
Cloudlytics Technologies Private Limited
Blazeclan Technologies PTE Ltd., Singapore
Blazeclan Technologies SDN. BHD., Malaysia
Blazeclan Technologies Pty. Ltd., Australia
Blazeclan Technologies Limited, New Zealand
Blazeclan Europe SRL., Belgium
Blazeclan Technologies Inc., Canada
Blazeclan Technologies LLC, USA
Blazeclan Americas Inc., USA
Blazeclan Technologies Corporation, Philippines
- h) Gold Flake Corporation Limited
- i) ITC Integrated Business Services Limited and its subsidiary
MRR Trading & Investment Company Limited
- j) Surya Nepal Private Limited and its subsidiary
Surya Nepal Ventures Private Limited
- k) North East Nutrients Private Limited
- l) ITC IndiVision Limited
- m) ITC Fibre Innovations Limited
- n) Greenacre Holdings Limited (w.e.f. 29.11.2024)
- o) ITC Hotels Limited (up to 31.12.2024)
- p) Srinivasa Resorts Limited (up to 31.12.2024)
- q) Fortune Park Hotels Limited (up to 31.12.2024)
- r) Bay Islands Hotels Limited (up to 31.12.2024)
- s) WelcomHotels Lanka (Private) Limited, Sri Lanka (up to 31.12.2024)
- t) Landbase India Limited (up to 31.12.2024)

2. OTHER RELATED PARTIES WITH WHOM THE COMPANY HAD TRANSACTIONS

i) Associates & Joint Ventures:

Associates

- a) Gujarat Hotels Limited (up to 31.12.2024)
- b) International Travel House Limited (up to 31.12.2024)
- c) Delectable Technologies Private Limited
- d) Sproutlife Foods Private Limited
- e) ITC Hotels Limited and its subsidiaries (w.e.f. 01.01.2025)
Srinivasa Resorts Limited
Fortune Park Hotels Limited
WelcomHotels Lanka (Private) Limited, Sri Lanka
Landbase India Limited
– being associates of the Company, and
- f) Tobacco Manufacturers (India) Limited (of which the Company is an associate)
and the subsidiaries of its ultimate parent company (British American Tobacco p.l.c.)

Notes to the Standalone Financial Statements

31. Related Party Disclosures (Contd.)

Associate of the Company's subsidiary

ATC Limited

– being associate of Gold Flake Corporation Limited

Joint Venture

Maharaja Heritage Resorts Limited (up to 31.12.2024)

Joint Venture of the Company's subsidiary

ITC Filtrona Limited

– being joint venture of Gold Flake Corporation Limited

ii) a) Key Management Personnel (KMP):

S. Puri	Chairman & Managing Director
S. Dutta	Executive Director & Chief Financial Officer
H. Malik	Executive Director
B. Sumant	Executive Director
H. Bhargava [#]	Non-Executive Director
A. M. Bharucha [#]	Non-Executive Director
C.K. Mishra [#]	Non-Executive Director (w.e.f. 14.09.2024)
S. Mohanty	Non-Executive Director (w.e.f. 01.01.2025)
S. Mukherjee [#]	Non-Executive Director
A. Nayak [#]	Non-Executive Director
A. Pande	Non-Executive Director (w.e.f. 27.07.2024)
S. Panray	Non-Executive Director
N. Rao [#]	Non-Executive Director
A. K. Seth [#]	Non-Executive Director
A. Singh	Non-Executive Director (w.e.f. 02.04.2024)
P. Subrahmanyam [#]	Non-Executive Director (w.e.f. 02.04.2024)
S. Banerjee [#]	Non-Executive Director (up to 29.07.2024)
A. Duggal [#]	Non-Executive Director (up to 14.09.2024)
M. Gupta	Non-Executive Director (up to 26.10.2024)
R. Jain	Non-Executive Director (up to 30.05.2024)
M. Shankar [#]	Non-Executive Director (up to 14.09.2024)

[#] Independent Directors

Company Secretary

R. K. Singhi

Members - Corporate Management Committee

S. Puri

S. Dutta

S. Kaul

H. Malik

A. Rajput

S. Sivakumar

B. Sumant

b) Related Parties of KMP:

I) Close Members of KMP:

N. Singhi (wife of R. K. Singhi)

Y. Singhi (son of R. K. Singhi)

II) Entities in which KMP/close member of KMP is interested:

Bharucha & Partners

iii) Employee Trusts:

- IATC Provident Fund
- ITC Defined Contribution Pension Fund
- ITC Management Staff Gratuity Fund
- ITC Employees Gratuity Fund
- ITC Gratuity Fund 'C'
- ITC Pension Fund
- ILTD Seasonal Employees Pension Fund
- ITC Platinum Jubilee Pension Fund
- ITC Bhadrachalam Paperboards Limited Management Staff Pension Fund
- ITC Bhadrachalam Paperboards Limited Gratuity Fund 'A'
- ITC Bhadrachalam Paperboards Limited Gratuity Fund 'C'
- ITC Hotels Limited Employees Superannuation Scheme (up to 31.12.2024)
- Sunrise Spices Limited Employees Gratuity Fund

Notes to the Standalone Financial Statements

31. Related Party Disclosures (Contd.)

3. DISCLOSURE OF TRANSACTIONS BETWEEN THE COMPANY AND RELATED PARTIES AND THE STATUS OF OUTSTANDING BALANCES AS AT 31.03.2025

(₹ in Crores)

RELATED PARTY TRANSACTIONS SUMMARY	Enterprises where control exists		Associates		Joint Ventures		Key Management Personnel (KMP)		Related Parties of KMP [^]		Employee Trusts		Total	
	2025	2024	2025	2024	2025	2024	2025	2024	2025	2024	2025	2024	2025	2024
1. Sale of Goods / Services	378.00	360.26	1495.62	1410.78	87.91	100.55							1961.53	1871.59
2. Purchase of Goods / Services	491.40	472.27	175.65	169.79	637.68	639.27			2.67	0.76			1307.40	1282.09
3. Acquisition cost of Property, Plant and Equipment	4.64	32.94											4.64	32.94
4. Sale of Property, Plant and Equipment	–	0.40					–	0.21					–	0.61
5. Investment Purchased from Subsidiary ¹	164.25	22.12											164.25	22.12
6. Investment in Subsidiaries/ Associate	823.97	1050.35	29.99	65.04									853.96	1115.39
7. Value of Share-based Payment														
7A. Capital Contribution for Share-based Payments	(0.68)	(0.83)											(0.68)	(0.83)
7B. Recovery for Share-based Payments	4.30	5.87	3.37	0.96	0.08	0.14							7.75	6.97
7C. Reimbursement for Share-based Payments			2.37	–									2.37	–
8. Rent Received	38.19	27.94	1.32	0.73									39.51	28.67
9. Rent Paid*	7.76	13.26	3.46	4.06			0.72	0.87	0.07	0.27			12.01	18.46
10. Remuneration of Managers on Deputation reimbursed	0.38	2.44	6.54	6.45									6.92	8.89
11. Remuneration of Managers on Deputation recovered	53.22	52.71	9.90	9.37	1.61	1.71					169.05	154.28	64.73	63.79
12. Contribution to Employees' Benefit Plans													169.05	154.28
13. Dividend Income	1006.89	980.45	2.39	0.45									1009.28	980.90
14. Dividend Payments			4455.87	5700.89			8.59	9.28					4464.46	5710.17
15. Interest Income	20.25	18.19											20.25	18.19
16. Expenses Recovered	19.47	21.50	113.43	6.84	0.20	0.27							133.10	28.61
17. Expenses Reimbursed	8.43	6.33	15.30	0.27	0.03	0.01	0.02	0.03					23.78	6.64
18. Advances Received during the year	282.29	89.33	1690.64	981.64									1972.93	1070.97
19. Adjustment / Payment towards Refund of Advances	103.49	27.73	1417.65	1333.30									1521.14	1361.03
20. Adjustment / Receipt towards Refund of Deposit	0.48						–	0.05	–	0.05			0.48	0.10
21. Remuneration to KMP														
21A. – Short term benefits														
21B. – Other long-term incentives							56.77	60.59					56.77	60.59
21C. – Post employment benefits ²							26.00	40.34					26.00	40.34
21D. – Share-based Payments ³														
22. Outstanding Balances [^]														
i) Receivables	55.02	82.30	47.13	29.56	17.10	6.24							119.25	118.10
ii) Advances Given														
iii) Deposits Given	0.12	0.60					0.01	0.01	0.03	0.03	–	21.30	–	21.30
iv) Advances Taken	267.36	88.56	640.75	367.76									0.16	0.64
v) Deposits Taken				0.04									908.11	456.32
vi) Payables	7.54	11.77	29.92	5.77	7.03	9.65					27.60	38.01	0.04	0.04
23. Commitments	–	0.38											72.09	65.20
													–	0.38

[^] includes transactions with close member of KMP & entities in which KMP/close member of KMP is interested.

^{*} Includes rent pertaining to leases classified as Right-of-Use assets.

[#] The amounts outstanding are unsecured and will be settled in cash.

1. Denotes inter-se transfer of investments by a subsidiary to the Company at book value;

2. Post employment benefits are actuarially determined on overall basis and hence not separately provided. Payments made on settlement of leave liability upon retirement - Nil (2024 - ₹ 1.50 Crores) has not been included in the above;

3. During the year, the Company granted Stock Options to eligible employees, including Executive Directors and KMPs, under its Employee Stock Option Schemes at 'market price' (within the meaning of the Securities and Exchange Board of India (Share Based Employee Benefits and Sweat Equity) Regulations, 2021). The Company has also granted Employee Stock Appreciation Linked Reward Units (ESAR Units) to the aforesaid persons in the previous years under the 'ITC Employee Cash Settled Stock Appreciation Linked Reward Plan'. Further, in terms of the Scheme of Demerger, ITC HL has granted stock options to the eligible employees of the Company under the ITC Hotels Special Purpose Employee Stock Option Scheme (Refer Note 29(xv)) (B). Since such Stock Options and ESAR Units are not tradeable, no perquisite or benefit is immediately conferred upon the employee by grant of such Stock Options/ESAR Units, and accordingly the said grants have not been considered as 'remuneration'. However, in accordance with Ind AS -102, the Company has recorded employee benefits expense by way of share-based payments to employees at ₹ 140.37 Crores for the year ended 31st March, 2025 (2024 - ₹ 135.16 Crores), of which ₹ 32.69 Crores (2024 - ₹ 30.85 Crores) is attributable to Executive Directors and KMPs.

4. All Related Party Transactions entered during the year were in ordinary course of the business and on arm's length basis other than those mentioned in Note 1 above for which requisite approvals of the Board of Directors have been obtained.

5. In addition to the above, the Company has transferred assets (₹ 12088.44 Crores) and liabilities (₹ 1393.68 Crores) to ITC Hotels Limited consequent to Scheme of Arrangement for demerger of the Company into ITC Hotels Limited. Refer Note 29(x) for details of the same.

Notes to the Standalone Financial Statements

31. Related Party Disclosures (Contd.)

4. INFORMATION REGARDING SIGNIFICANT TRANSACTIONS/BALANCES (Generally in excess of 10% of the total transaction value of the same type)

(₹ in Crores)

RELATED PARTY TRANSACTIONS SUMMARY			RELATED PARTY TRANSACTIONS SUMMARY			RELATED PARTY TRANSACTIONS SUMMARY		
	2025	2024		2025	2024		2025	2024
1. Sale of Goods /Services			10. Remuneration of Managers on Deputation recovered			20. Remuneration to KMP #		
British American Tobacco (GLP) Limited	1445.27	1070.96	ITC Infotech India Limited	15.72	15.51	20A Short term benefits		
Surya Nepal Private Limited	328.39	322.94	Fortune Park Hotels Limited	7.09	7.82	S. Puri	13.94	13.06
2. Purchase of Goods /Services			11. Contribution to Employees' Benefit Plans			B. Sumant	5.73	5.74
ITC Filtrona Limited	637.68	639.27	IATC Provident Fund	45.10	43.07	H. Malik	5.13	4.38
ITC Infotech India Limited	218.92	209.95	ITC Defined Contribution Pension Fund	34.42	6.10	S. Dutta	5.12	5.08
North East Nutrients Private Limited	173.12	168.16	ITC Employees Gratuity Fund	33.57	13.51	Other long-term incentives		
3. Acquisition cost of Property, Plant and Equipment			ITC Pension Fund	20.75	56.40	S. Puri	8.82	13.37
ITC Infotech India Limited	3.64	32.47	ITC Management Staff Gratuity Fund	20.33	21.10	B. Sumant	5.00	6.69
ITC Integrated Business Services Limited	0.95	–	12. Dividend Income			S. Dutta	4.29	4.15
4. Investment Purchased from Subsidiary			ITC Infotech India Limited	488.32	488.40	H. Malik	3.37	2.67
Russell Credit Limited	164.25	22.12	Surya Nepal Private Limited	405.52	418.14	Outstanding Balances		
5. Investment in Subsidiaries /Associate			13. Dividend Payments			<i>(i) Receivables</i>		
WelcomHotels Lanka (Private) Limited	334.97	704.37	Tobacco Manufacturers (India) Limited	3558.09	4690.90	Surya Nepal Private Limited	47.93	65.87
ITC Infotech India Limited	399.00	–	Myddleton Investment Company Limited	680.84	765.94	ITC Hotels Limited	18.99	–
ITC Fibre Innovations Limited	90.00	199.99	14. Interest Income			British American Tobacco (GLP) Limited	17.23	23.70
6. Value of Share Based Payment			ITC Indivision Limited	19.80	17.74	ITC Filtrona Limited	17.10	5.77
<i>6A. Capital Contribution for Share Based Payments</i>			15. Expenses Recovered			<i>(ii) Deposits Given</i>		
ITC Infotech India Limited	(0.68)	(0.83)	ITC Hotels Limited	95.17	–	Russell Credit Limited ¹	0.12	0.36
<i>6B. Recovery for Share-based Payments</i>			16. Expenses Reimbursed			N. Singhi	0.03	0.03
ITC Hotels Limited	2.69	–	ITC Hotels Limited	15.10	–	<i>(iii) Advances Taken</i>		
Surya Nepal Private Limited	1.57	1.33	ITC Infotech India Limited	4.21	0.05	British American Tobacco (GLP) Limited	639.92	367.65
Fortune Park Hotels Limited	0.80	1.11	17. Advances Received during the year			Surya Nepal Private Limited	267.36	88.56
<i>6C. Reimbursement for Share-based Payments</i>			British American Tobacco (GLP) Limited	1689.92	881.77	<i>(iv) Payables</i>		
ITC Hotels Limited	2.37	–	Surya Nepal Private Limited	282.29	89.21	ITC Hotels Limited	21.47	–
7. Rent Received			18. Adjustment /Payment towards Refund of Advances			Employee Trust - Gratuity Funds	14.94	38.01
ITC Infotech India Limited	32.78	22.95	British American Tobacco (GLP) Limited	1417.65	1034.64	Employee Trust - Pension Funds	12.66	–
8. Rent Paid			19. Adjustment /Receipt towards Refund of Deposit					
Landbase India Limited	5.68	7.59	British American Tobacco (GLP) Limited	0.24	–			
Gujarat Hotels Limited	3.29	4.06	Russell Credit Limited	0.24	–			
Technico Agri Sciences Limited	1.60	1.47	Greenacre Holdings Limited	0.24	–			
9. Remuneration of Managers on Deputation reimbursed								
Gujarat Hotels Limited	4.90	6.45						
ITC Hotels Limited	1.64	–						

In accordance with Ind AS - 102, the Company has recognised employee benefits expense by way of share-based payments [refer Note 31.3], of which ₹ 32.69 Crores (2024 - ₹ 30.85 Crores) is attributable to Executive Directors and KMPs.

S. Puri ₹ 11.71 Crores (2024 - ₹ 10.90 Crores), B. Sumant ₹ 5.91 Crores (2024 - ₹ 5.52 Crores), S. Dutta ₹ 5.49 Crores (2024 - ₹ 3.08 Crores), H. Malik ₹ 3.22 Crores (2024 - ₹ 1.81 Crores) and R. K. Singhi ₹ 1.11 Crores (2024 - ₹ 0.87 Crores).

¹ The maximum indebtedness during the year was ₹ 0.36 Crore (2024 - ₹ 0.36 Crore).

Notes to the Standalone Financial Statements

32. Financial Instruments and Related Disclosures

1. Capital Management

The Company's financial strategy aims to support its strategic priorities and provide adequate capital to its businesses for growth and creation of sustainable stakeholder value. The Company funds its operations through internal accruals and aims at maintaining a strong capital base to support the future growth of its businesses.

During the year, the Company issued 2,93,98,310 Ordinary Shares (2024 – 5,67,03,730 Ordinary Shares) of ₹ 1.00 each amounting to ₹ 2.94 Crores (2024 – ₹ 5.67 Crores) towards its employee stock options. The securities premium stood at ₹ 15834.70 Crores as at 31st March, 2025 (2024 - ₹ 14842.78 Crores).

2. Categories of Financial Instruments

(₹ in Crores)

	Particulars	Note	As at 31st March, 2025		As at 31st March, 2024	
			Carrying Value	Fair Value	Carrying Value	Fair Value
A.	Financial assets					
a)	Measured at amortised cost					
i)	Cash and cash equivalents	11	222.06	222.06	197.63	197.63
ii)	Bank Balances other than (i) above	12	2962.32	2962.32	6020.06	6020.06
iii)	Investment in Bonds / Debentures, Preference Shares & Government or Trust Securities	4, 9	7419.15	7484.91	7384.61	7238.15
iv)	Investment in Mutual Funds	4, 9	389.10	392.57	366.88	362.91
v)	Loans	5	15.24	13.84	11.73	11.24
vi)	Trade receivables	10	3910.77	3910.77	3311.45	3311.45
vii)	Other financial assets	6	2744.19	2738.46	1220.16	1173.66
	Sub-total		17662.83	17724.93	18512.52	18315.10
b)	Measured at Fair value through OCI					
i)	Investment in Equity Shares	4	3629.98	3629.98	3979.47	3979.47
ii)	Investment in Mutual Funds	4, 9	5309.12	5309.12	4912.78	4912.78
	Sub-total		8939.10	8939.10	8892.25	8892.25
c)	Measured at Fair value through Profit or Loss					
i)	Investment in Mutual Funds	9	10518.05	10518.05	9355.06	9355.06
ii)	Investment in Bonds / Debentures, Certificates of Deposit	9	1586.96	1586.96	2524.47	2524.47
iii)	Investment in Venture Capital Funds	4	132.81	132.81	121.96	121.96
iv)	Investment in Equity & Preference Shares	4	32.97	32.97	39.34	39.34
	Sub-total		12270.79	12270.79	12040.83	12040.83
d)	Derivatives measured at fair value					
i)	Derivative instruments not designated as hedging instruments	6	15.71	15.71	2.05	2.05
ii)	Derivative instruments designated as hedging instruments	6	24.20	24.20	0.53	0.53
	Sub-total		39.91	39.91	2.58	2.58
	Total financial assets		38912.63	38974.73	39448.18	39250.76

Notes to the Standalone Financial Statements

32. Financial Instruments and Related Disclosures (Contd.)

(₹ in Crores)

	Particulars	Note	As at 31st March, 2025		As at 31st March, 2024	
			Carrying Value	Fair Value	Carrying Value	Fair Value
B.	Financial liabilities					
a)	Measured at amortised cost					
i)	Sales tax deferment loans	14	1.76	1.76	3.28	2.90
ii)	Trade payables	19	4489.82	4489.82	4489.55	4489.55
iii)	Lease liabilities	15	154.99	154.99	308.69	308.69
iv)	Other financial liabilities	16	1512.37	1496.69	1750.52	1730.19
	Sub-total		6158.94	6143.26	6552.04	6531.33
b)	Measured at fair value					
	Derivative instruments not designated as hedging instruments	16	8.40	8.40	1.43	1.43
	Derivative instruments designated as hedging instruments	16	3.16	3.16	4.60	4.60
	Contingent Consideration	16	12.65	12.65	12.65	12.65
	Sub-total		24.21	24.21	18.68	18.68
	Total financial liabilities		6183.15	6167.47	6570.72	6550.01

3. Financial risk management objectives

The Company has a system-based approach to risk management, anchored to policies and procedures and internal financial controls aimed at ensuring early identification, evaluation and management of key financial risks (such as market risk, credit risk and liquidity risk) that may arise as a consequence of its business operations as well as its investing and financing activities. Accordingly, the Company's risk management framework has the objective of ensuring that such risks are managed within acceptable and approved risk parameters in a disciplined and consistent manner and in compliance with the applicable regulations. It also seeks to drive accountability in this regard.

Liquidity Risk

The Company's Current assets aggregate ₹ 39755.94 Crores (2024 – ₹ 36070.67 Crores) including Current Investments, Cash and cash equivalents and Bank Balances other than cash and cash equivalents of ₹ 18470.29 Crores (2024 – ₹ 18134.57 Crores) against an aggregate Current liability of ₹ 13122.14 Crores (2024 – ₹ 12415.61 Crores). As part of its surplus liquidity management operations, the Company may sell instruments that are held at amortised cost. Such sales may be infrequent (even if significant in value) or insignificant in value both individually and in aggregate (even if frequent). During the year, the net loss arising on such sale amounted to Nil (2024 – ₹ 16.37 Crores) (Refer Note 23).

Non-current liabilities (other than derivatives and lease liabilities) due between one year to three years amounted to ₹ 87.89 Crores (2024 – ₹ 110.07 Crores) and Non-current liabilities (other than derivatives and lease liabilities) due after three years amounted to Nil (2024 – ₹ 1.56 Crores) on the reporting date. Derivative liabilities are current in nature. The maturity analysis of undiscounted lease liabilities are disclosed under Note 29(viii).

Further, while the Company's total equity stands at ₹ 66648.73 Crores (2024 – ₹ 70984.83 Crores), the amount carried in the Balance Sheet as non-current borrowings is Nil (2024 – ₹ 1.76 Crores). In such circumstances, liquidity risk or the risk that the Company may not be able to settle or meet its obligations as they become due does not exist.

Market Risk

A. Foreign Currency Risk

The Company undertakes transactions denominated in foreign currency (mainly US Dollar, Pound Sterling, Euro and Japanese Yen) which are subject to the risk of exchange rate fluctuations. Financial assets and liabilities denominated in foreign currency, including the Company's net investments in foreign operations (with a functional currency other than Indian Rupee), are also subject to reinstatement risks.

Notes to the Standalone Financial Statements

32. Financial Instruments and Related Disclosures (Contd.)

The carrying amounts of foreign currency denominated financial assets and liabilities including derivative contracts, are as follows: (₹ in Crores)

As at 31st March, 2025	USD	Euro	GBP	JPY	Others	Total
Financial Assets	1172.20	118.60	36.74	0.12	0.58	1328.24
Financial Liabilities	108.60	23.22	1.71	1.78	1.46	136.77
As at 31st March, 2024	USD	Euro	GBP	JPY	Others	Total
Financial Assets	608.02	74.58	27.00	–	1.66	711.26
Financial Liabilities	77.59	22.61	1.18	2.02	0.98	104.38

The Company uses foreign exchange forward, futures and options contracts to hedge its exposures in foreign currency arising from firm commitments and highly probable forecast transactions.

a. Forward exchange contracts that were outstanding on respective reporting dates:

(In Million)

Designated under Hedge Accounting		As at 31st March, 2025		As at 31st March, 2024	
Currency	Cross Currency	Buy	Sell	Buy	Sell
US Dollar	Indian Rupee	19.28	222.17	13.59	98.15
Euro	US Dollar	14.45	–	11.15	–
CHF	US Dollar	0.01	–	0.15	–
GBP	US Dollar	0.01	–	0.02	–
JPY	US Dollar	29.45	–	36.03	–

The aforesaid hedges have a maturity of less than 1 year from the year end.

(In Million)

Not designated under Hedge Accounting		As at 31st March, 2025		As at 31st March, 2024	
Currency	Cross Currency	Buy	Sell	Buy	Sell
US Dollar	Indian Rupee	28.05	100.59	–	45.35
Euro	US Dollar	0.25	21.28	1.24	9.94
CAD	US Dollar	–	0.15	–	0.22
CHF	US Dollar	1.10	–	0.14	3.56
GBP	US Dollar	–	5.99	–	2.98
KWD	US Dollar	0.15	–	0.06	–
JPY	US Dollar	148.75	–	203.75	–
SEK	US Dollar	0.36	–	0.52	–
SGD	US Dollar	0.11	–	–	–

b. Currency options that were outstanding on respective reporting dates (Not designated under Hedge Accounting):

(In Million)

		As at 31st March, 2025		As at 31st March, 2024	
Currency	Cross Currency	Buy	Sell	Buy	Sell
US Dollar	Indian Rupee	4.00	36.50	–	–

Hedges of foreign currency risk and derivative financial instruments

The Company has established risk management policies to hedge the volatility in cashflows arising from exchange rate fluctuations in respect of firm commitments and highly probable forecast transactions, through foreign exchange forward, futures and options contracts. The proportion of forecast transactions that are to be hedged is decided based on the size of the forecast transaction and market conditions. As the counterparty for such transactions are highly rated banks or recognised exchange(s), the risk of their non-performance is considered to be insignificant.

The Company uses derivatives to hedge its exposure to foreign exchange rate fluctuations. Where such derivatives are not designated under hedge accounting, changes in the fair value of such hedges are recognised in the Statement of Profit and Loss.

Notes to the Standalone Financial Statements

32. Financial Instruments and Related Disclosures (Contd.)

The Company may also designate certain hedges as cash flow hedges to mitigate the risk of foreign exchange exposure on highly probable forecasted cash transactions. The currency, amount and tenure of such hedges are generally matched to the underlying transaction(s). Changes in the fair value of the effective portion of cash flow hedges are recognised as cash flow hedging reserve in Other Comprehensive Income. While the probability of such hedges becoming ineffective is very low, the ineffective portion, if any, is immediately recognised in the Statement of Profit and Loss.

The movement in the cash flow hedging reserve in respect of designated cash flow hedges is summarised below:

(₹ in Crores)

Particulars	2025	2024
At the beginning of the year	1.29	2.48
Add: Changes in the fair value of effective portion of matured cash flow hedges during the year	(15.31)	(6.43)
Add: Changes in fair value of effective portion of outstanding cash flow hedges	(3.94)	(3.45)
Less: Amounts transferred to the Statement of Profit and Loss on occurrence of forecast hedge transactions during the year	(9.45)	(17.73)
Less: Amounts transferred to the Statement of Profit and Loss due to cash flows no longer expected to occur	(1.81)	(1.40)
Less: Amounts transferred to initial cost of non-financial assets	(0.20)	10.85
Less: Net gain/(loss) transferred to the Statement of Profit and Loss on Ineffectiveness	—	—
(Less)/Add: Deferred tax	1.96	0.41
At the end of the year	(4.54)	1.29
Of the above, balances remaining in cash flow hedge reserve for matured hedging relationships	(1.63)	2.19

Once the hedged transaction materialises, the amount accumulated in the cash flow hedging reserve will be included in the initial cost of the non-financial hedged item on its initial recognition or reclassified to profit or loss, as applicable, in the anticipated timeframes given below:

(₹ in Crores)

Outstanding balance in Cash Flow Hedge Reserve to be subsequently recycled from OCI	As at 31st March, 2025	As at 31st March, 2024
Within one year	(4.54)	1.31
Between one and three years	—	(0.02)
Total	(4.54)	1.29

Foreign Currency Sensitivity

For every percentage point increase/decrease in the underlying exchange rate of the outstanding foreign currency denominated assets and liabilities, including derivative contracts, holding all other variables constant, the profit before tax for the year ended 31st March, 2025 would decrease/increase by ₹ 5.08 Crores (2024 - ₹ 1.71 Crores) and other equity as at 31st March, 2025 would decrease/increase by ₹ 16.06 Crores (2024 - ₹ 4.91 Crores) on a pre-tax basis.

B. Interest Rate Risk

As the Company is virtually debt-free and its deferred payment liabilities do not carry interest, the exposure to interest rate risk from the perspective of financial liabilities is negligible. Further, treasury activities, focused on managing investments in debt instruments, are centralised and administered under a set of approved policies and procedures guided by the tenets of safety, liquidity and returns. This ensures that investments are made within acceptable risk parameters after due evaluation.

The Company's investments are predominantly held in Government securities, bonds/debentures, fixed deposits, certificates of deposit, commercial papers and debt mutual funds. Mark to market movements in respect of the Company's investments in

Notes to the Standalone Financial Statements

32. Financial Instruments and Related Disclosures (Contd.)

bonds/debentures that are held at amortised cost are temporary and get recouped through coupon accruals. Other investments in bonds/debentures, certificates of deposit, commercial papers are fair valued through the Statement of Profit and Loss to recognise market volatility, which is not considered to be significant. Fixed deposits are held with highly rated banks and companies and have a short tenure and are not subject to interest rate volatility.

The Company also invests in debt mutual fund schemes of leading fund houses. Such investments are susceptible to market price risks that arise mainly from changes in interest rate which may impact the return and value of such investments. However, given the relatively short tenure of underlying portfolio of the debt mutual fund schemes in which the Company has invested, such price risk is not significant.

C. Other Price Risk

The Company is not an active investor in equity markets; it holds certain investments in equity for long term value accretion which are accordingly measured at fair value through Other Comprehensive Income. The value of investments in such equity instruments as at 31st March, 2025 is ₹ 3629.98 Crores (2024 - ₹ 3979.47 Crores). Accordingly, fair value fluctuations arising from market volatility is recognised in Other Comprehensive Income.

For select agricultural commodities primarily held for trading, futures contracts are used to hedge price risks till positions in the physical market are matched. Such activities are managed by the business team within an approved policy framework. The carrying value of inventories is adjusted to the extent of fair value movement of the risk being hedged. Such hedges are generally for short time horizons and recognised in profit or loss within the crop cycle. Accordingly, the Company's net exposure to commodity price risk is considered to be insignificant.

Credit Risk

Company's deployment in debt instruments are primarily in Government securities, fixed deposits with highly rated banks and companies, bonds issued by Government institutions, public sector undertakings, mutual fund schemes of leading fund houses and certificates of deposit/commercial papers issued by highly rated banks and financial institutions. Of this, investments that are held at amortised cost stood at ₹ 12455.86 Crores (2024 - ₹ 13802.74 Crores). With respect to the Company's investing activities, debt mutual fund schemes and counter parties are shortlisted and exposure limits determined on the basis of their credit rating (by independent agencies), financial statements and other relevant information. As these counter parties are Central/State Government, Government institutions/public sector undertakings with investment grade/sovereign credit ratings and taking into account the experience of the Company over time, the counter party risk attached to such assets is considered to be insignificant.

The Company's customer base is large and diverse limiting the risk arising out of credit concentration. Company's payment terms generally ranges from advance (generally settled within the operating cycle) to a credit period of up to 180 days, depending upon specific circumstances and industry practices. Credit is extended in business interest in accordance with guidelines issued centrally and business-specific credit policies that are consistent with such guidelines. Exceptions are managed and approved by appropriate authorities, after due consideration of the counterparty's credentials and financial capacity, trade practices and prevailing business and economic conditions. There is no significant financing component and/or remaining performance obligation in respect of its transaction with the customers for sale of goods and services. The Company's exposure to trade receivables on the reporting date, net of expected loss provisions, stood at ₹ 3910.77 Crores (2024 - ₹ 3311.45 Crores).

The Company's historical experience of collecting receivables and the level of default indicate that credit risk is low and generally uniform across markets; consequently, trade receivables are considered to be a single class of financial assets. All overdue customer balances are evaluated taking into account the age of the dues, specific credit circumstances, the track record of the counterparty etc. Loss allowances and impairment is recognised, where considered appropriate by responsible management.

The movement of the expected loss provision (allowance for bad and doubtful loans, advances and receivables etc.) made by the Company are as under:

(₹ in Crores)

Particulars	Expected Loss Provision	
	31st March, 2025	31st March, 2024
Opening Balance	203.76	210.44
Add: Provisions made (net)	11.98	9.68
Less: Utilisation for impairment/de-recognition	17.02	16.36
Less: Transferred pursuant to Scheme of Demerger [Refer Note 29(x)]	2.96	—
Closing Balance	195.76	203.76

Notes to the Standalone Financial Statements

32. Financial Instruments and Related Disclosures (Contd.)

4. Fair value measurement

The following table presents the fair value hierarchy of financial assets and liabilities measured at fair value on a recurring basis:
(₹ in Crores)

Particulars	Fair Value Hierarchy (Level)	As at 31st March, 2025	As at 31st March, 2024
A. Financial assets			
a) Measured at amortised cost			
i) Investment in Bonds/Debentures, Preference Shares & Government or Trust Securities	2	7484.91	7238.15
ii) Investment in Mutual Funds	1	392.57	362.91
iii) Loans*	3	4.88	2.14
iv) Other Financial assets*	3	1517.17	326.38
Sub-total		9399.53	7929.58
b) Measured at Fair value through OCI			
i) Investment in Equity Shares – Quoted	1	3629.93	3979.42
ii) Investment in Equity Shares – Unquoted	3	0.05	0.05
iii) Investment in Mutual Funds	1	5309.12	4912.78
Sub-total		8939.10	8892.25
c) Measured at Fair value through Profit or Loss			
i) Investment in Mutual Funds	1	10518.05	9355.06
ii) Investment in Bonds/Debentures, Certificates of Deposit	2	1586.96	2524.47
iii) Investment in Venture Capital Funds	2	132.81	121.96
iv) Investment in Equity & Preference Shares	3	32.97	39.34
Sub-total		12270.79	12040.83
d) Derivatives measured at fair value			
i) Derivative instruments not designated as hedging instruments	2	15.71	2.05
ii) Derivative instruments designated as hedging instruments	2	24.20	0.53
Sub-total		39.91	2.58
Total financial assets		30649.33	28865.24
B. Financial Liabilities			
a) Measured at amortised cost			
i) Sales tax deferment loans*	3	–	1.38
ii) Lease liabilities*	3	117.45	261.95
iii) Other Financial liabilities*	3	72.21	89.54
Sub-total		189.66	352.87
b) Measured at fair value			
i) Derivative instruments not designated as hedging instruments	2	8.40	1.43
ii) Derivative instruments designated as hedging instruments	2	3.16	4.60
iii) Contingent Consideration	3	12.65	12.65
Sub-total		24.21	18.68
Total financial liabilities		213.87	371.55

* Represents fair value of non-current financial instruments.

Notes to the Standalone Financial Statements

32. Financial Instruments and Related Disclosures (Contd.)

Reconciliation of fair value movement of financial assets and liabilities measured at fair value on a recurring basis and categorised within Level 3 of the fair value hierarchy is as under:

(₹ in Crores)

	31st March, 2025			31st March, 2024		
	Financial Assets at FVTPL	Financial Assets at FVTOCI	Financial Liabilities at FVTPL	Financial Assets at FVTPL	Financial Assets at FVTOCI	Financial Liabilities at FVTPL
Opening Balance	39.34	0.05	12.65	39.34	0.05	12.65
Additions during the year	3.00	—	—	—	—	—
Sale/Transfer/Settlement during the year	—	—	—	—	—	—
Gain/(Loss) during the year recognised in Other Income	(9.37)	—	—	—	—	—
Gain/(Loss) during the year recognised in Other Comprehensive Income	—	—	—	—	—	—
Closing Balance	32.97	0.05	12.65	39.34	0.05	12.65

Fair value hierarchy

Fair value of the financial instruments is classified in various fair value hierarchies based on the following three levels:

Level 1: Quoted prices (unadjusted) in active market or Net Asset Value (NAV) for identical assets or liabilities.

Level 2: Inputs other than quoted price included within Level 1 that are observable for the asset or liability, either directly (i.e. as prices) or indirectly (i.e. derived from prices).

The fair value of financial instruments that are not traded in an active market is determined using market approach and valuation techniques which maximize the use of observable market data and rely as little as possible on entity-specific estimates. If significant inputs required to fair value an instrument are observable, the instrument is included in Level 2.

Derivatives are valued using valuation techniques with market observable inputs such as foreign exchange spot rates and forward rates at the end of the reporting period, yield curves, risk free rate of returns, volatility etc., as applicable. The fair value of investment in Bonds/Debentures, Certificates of Deposit/Commercial Papers, Venture Capital Funds etc. and financial liabilities, where applicable, is determined using market observable inputs such as quotes from market participants, value published by the issuer etc.

Level 3: Inputs for the assets or liabilities that are not based on observable market data (unobservable inputs).

If one or more of the significant inputs is not based on observable market data, the fair value is determined using generally accepted methodologies such as discounted cash flow analysis, with the most significant inputs being the discount rate that reflects the credit risk of counterparty.

The fair value of trade receivables, trade payables and other current financial assets and liabilities is considered to be equal to the carrying amounts of these items due to their short – term nature. Where such items are non-current in nature, the same has been classified as Level 3 and fair value determined using discounted cash flow basis. Similarly, unquoted equity instruments where most recent information to measure fair value is insufficient, or if there is a wide range of possible fair value measurements, cost has been considered as best estimate of fair value.

There has been no change in the valuation methodology for Level 3 inputs during the year. The Company has not classified any material financial instruments under Level 3 of the fair value hierarchy. The sensitivity of change in the unobservable inputs used in fair valuation of Level 3 financial assets and liabilities does not have a significant impact on their value. There were no transfers between Level 1, Level 2 and Level 3 during the year.

In terms of our report attached
For S R B C & CO LLP
Chartered Accountants
Firm Registration Number: 324982E/E300003

Arvind Sethi
Partner
(Membership No.: 89802)

Kolkata, May 22, 2025

On behalf of the Board

S. PURI
(DIN : 00280529) *Chairman & Managing Director*

S. DUTTA
(DIN : 01804345) *Director & Chief Financial Officer*

R. K. SINGHI
(Membership No.: FCS 3770) *Company Secretary*

INDEPENDENT AUDITOR'S REPORT

To the Members of ITC Limited

Report on the Audit of the Standalone Ind AS Financial Statements

Opinion

We have audited the accompanying standalone Ind AS financial statements of ITC Limited ("the Company"), which comprise the Balance Sheet as at March 31, 2025, the Statement of Profit and Loss, including Other Comprehensive Income, the Statement of Cash Flows and the Statement of Changes in Equity for the year then ended, and notes to the standalone Ind AS financial statements, including a summary of material accounting policies and other explanatory information.

In our opinion and to the best of our information and according to the explanations given to us, the aforesaid standalone Ind AS financial statements give the information required by the Companies Act, 2013, as amended ("the Act") in the manner so required and give a true and fair view in conformity with the accounting principles generally accepted in India, of the state of affairs of the Company as at March 31, 2025, its profit including other comprehensive income, its cash flows and the changes in equity for the year ended on that date.

Basis for Opinion

We conducted our audit of the standalone Ind AS financial statements in accordance with the Standards on Auditing (SAs), as specified under section 143(10) of the Act. Our responsibilities under those Standards are further described in the 'Auditor's Responsibilities for the Audit of the Standalone Ind AS Financial Statements' section of our report. We are independent of the Company in accordance with the 'Code of Ethics' issued by the

Institute of Chartered Accountants of India together with the ethical requirements that are relevant to our audit of the financial statements under the provisions of the Act and the Rules thereunder, and we have fulfilled our other ethical responsibilities in accordance with these requirements and the Code of Ethics. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion on the standalone Ind AS financial statements.

Key Audit Matters

Key audit matters are those matters that, in our professional judgement, were of most significance in our audit of the standalone Ind AS financial statements for the financial year ended March 31, 2025. These matters were addressed in the context of our audit of the standalone Ind AS financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters. For each matter below, our description of how our audit addressed the matter is provided in that context.

We have determined the matters described below to be the key audit matters to be communicated in our report. We have fulfilled the responsibilities described in the Auditor's responsibilities for the audit of the standalone Ind AS financial statements section of our report, including in relation to these matters. Accordingly, our audit included the performance of procedures designed to respond to our assessment of the risks of material misstatement of the standalone Ind AS financial statements. The results of our audit procedures, including the procedures performed to address the matters below, provide the basis for our audit opinion on the accompanying standalone Ind AS financial statements.

Key audit matters	How our audit addressed the key audit matter
Revenue recognition	
Revenue from the sale of goods (hereinafter referred to as "Revenue") is recognised when the Company performs its obligations to its customers and the amount of revenue can be measured reliably and recovery of the consideration is probable. The timing of such recognition in case of sale of goods is when the control over the same is transferred to the customer, which is mainly upon delivery. The timing of revenue recognition is relevant to the reported performance of the Company. The management considers revenue as a key measure for	Our audit procedures included the following: - Assessed the Company's revenue recognition accounting policies in line with Ind AS 115 ("Revenue from Contracts with Customers") and tested thereof. - Evaluated the integrity of the general information and technology control environment and testing the operating effectiveness of key IT application controls over recognition of revenue. - Evaluated the design, implementation and operating effectiveness of Company's controls in respect of revenue recognition.